Nov 2026 attempt

# Ind AS 32 & 109 — Financial Instruments

Condensed from ICAI SM Chapter 11 (Units 1–7) for revision. Exam focus last 3 attempts: **compound instruments** (10-mark Q every attempt + MCQs) · **amortised cost / EIR with transaction costs** · **loan refinancing & modification** · **interest-free loans to subsidiaries** · **fixed-for-fixed** on own shares · FX loans at amortised cost.

## ① The three definitions — one table

Ind AS 32.11

| | Financial asset | Financial liability | Equity instrument |
|---|---|---|---|
| 1 | Cash | — | Residual interest in assets after all liabilities |
| 2 | Equity instrument of **another** entity | — | — |
| 3 | Contractual **right to receive** cash / FA, or to exchange FA/FL on **potentially favourable** terms | Contractual **obligation to deliver** cash / FA, or to exchange on **potentially unfavourable** terms | **No** contractual obligation to deliver cash or exchange on unfavourable terms |
| 4 | Contract settled in **own** equity: non-derivative → **receive variable** number; derivative → **not** fixed-for-fixed | Contract settled in **own** equity: non-derivative → **deliver variable** number; derivative → **not** fixed-for-fixed | Settled in own equity: non-derivative → **fixed number**; derivative → **fixed cash for fixed number** (fixed-for-fixed) |

Two tests for equity (Ind AS 32.16) — both must pass: **(a) no obligation to pay cash · (b) if settled in own shares → fixed-for-fixed**. Fail either → liability (or a liability component).

- → **Contract** needed — need not be written. **Not financial**: income tax (statutory), constructive obligations (Ind AS 37), PPE, inventory, ROU assets, intangibles, **prepaid expenses and advances for goods/services** (benefit is goods/services, not cash), deferred revenue, most warranties.
- → Contingent rights/obligations (e.g. **financial guarantee**) are financial instruments — a financial guarantee is **not** a contingent liability disclosure (Ind AS 37 excludes Ind AS 109 items).
- → **Carve-out:** foreign-currency variability is **ignored** in classifying an FCCB — conversion into a fixed number of shares for a fixed amount in **any currency** can still be equity.
- → **Rights issue carve-in:** rights/options/warrants for a fixed number of own shares for a fixed amount of **any currency**, offered **pro rata** to all existing owners of that class → **equity**.
- → Ordinary share dividend → liability only when **approved by shareholders (AGM)**; a board proposal creates no obligation.

### Preference shares — the classification table (SM)

| Terms | Classification (issuer) |
|---|---|
| Redeemable on a **fixed date** or at **holder's option** | **Financial liability — inability to pay (no funds, no profits, legal limit) does not negate the obligation** |
| Redeemable at **issuer's option** | **Equity — becomes a liability when the issuer notifies its intention to redeem** |
| Irredeemable, dividend at issuer's **discretion** (cumulative or not) | **Equity — history of paying, intention, share-price impact, reserves, expected profits are irrelevant** |
| Irredeemable, dividend **mandatory** (no right to defer) | **Compound** — liability = PV of dividends; equity = rest |
| Redeemable + discretionary dividend | Liability for the **redemption amount** only; dividends equity when declared |

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**Illus. 3:** perpetual bond, 8% forever, redeemable only at issuer's option/liquidation → holder: FA; issuer: ICAI treats as **compound** (para 28) — interest stream is the obligation. **Illus. 5:** loan rescheduled to one-time 13,00,000 vs 12,54,400 due → extra 45,600 = exchange on **unfavourable** terms → FL. **Illus. 6:** irredeemable pref. (₹10 + ₹90 premium), 8% dividend only if equity dividend declared → **equity**. **Illus. 7:** CCPS converting 1:1, discretionary dividend → **equity**. **Illus. 8:** loan settled by shares **worth ₹10 lakh** (variable number) → shares used as currency → **FL**.

## ② Scope — what Ind AS 109 / 32 do NOT cover Ind AS 109.2

| Excluded item | Goes to |
|---|---|
| Interests in subsidiaries, associates, JVs (Ind AS 110/27/28) — but derivatives on them are in scope unless own equity | Ind AS 27/28/110 |
| Leases — **except**: lessor's lease receivables (derecognition + impairment), lessee's lease liability (derecognition), embedded derivatives | Ind AS 116 |
| Employee benefit plans | Ind AS 19 |
| Insurance contracts (financial guarantees are in scope unless issuer elected insurance accounting) | Ind AS 117 |
| Forward to buy/sell an acquiree for a business combination (reasonable period) | Ind AS 103 |
| Loan commitments — **except** those designated FVTPL, net-settled ones (derivatives), and below-market-rate commitments | Impairment and derecognition still apply |
| Share-based payments | Ind AS 102 |
| Reimbursement rights for Ind AS 37 provisions | Ind AS 37 |
| Rights/obligations under Ind AS 115 (except as Ind AS 115 says, e.g. receivables) | Ind AS 115 |

### Own-use exemption — contracts for non-financial items 109.2.4-2.7

- → A contract to buy/sell a non-financial item that **can be settled net** is treated like a derivative — **unless** entered into and held for the entity's **expected purchase, sale or usage** (own use) → executory contract, outside Ind AS 109.
- → "Settled net" includes: terms allow net settlement · **practice** of net-settling similar contracts · **practice** of taking delivery and selling quickly for trading profit · item **readily convertible to cash**.
- → May irrevocably **designate FVTPL** at inception if it removes an accounting mismatch. **Written options** that can be net settled are never own use.
- → **Example 4:** buy 100 t cocoa at 1,000 for delivery in 12 months, can't be net settled, for own use → **not a derivative** even though market moves to 1,500.

# ③ Liability or equity — the decision path Ind AS 32.15–22

1. Is there a **contractual** obligation? No → not a financial instrument (other Ind AS).
2. Obligation to **deliver cash / FA** that the issuer **can't unconditionally avoid**? → **Liability** (even if amount tied to an index; even if indirect).
3. Obligation to **exchange** on **potentially unfavourable** terms? → **Liability**. (Ex. 1: written call at ₹100 settled net; share at ₹110 → issuer pays ₹10 → liability.)
4. Settled in **own shares** — is **either** the consideration **or** the number of shares variable? Yes → **liability**. Both fixed → **equity**.

→ Classify from the **issuer's** view, **component by component**, on **substance** — but substance never overrides the contract, and the contract can't override law in force (ignore expected future changes in law).

→ **Can't avoid = liability** even if: lack of funds, insufficient profits, need for regulatory/forex approval (Illus. 4).

→ Issuer's alternative is to transfer a **non-financial asset** worth much more (Illus. 6: a building) → still **liability** — it can avoid cash only by settling the non-financial obligation.

## Fixed-for-fixed test — the 4 boxes

| Consideration | No. of own shares | Result |
|---|---|---|
| Fixed | Variable | **Liability — shares used as currency (Illus. 8, 12, 13)** |
| Fixed | Fixed | **Equity — fixed-for-fixed (Illus. 14: ₹100 cr → 15 cr shares)** |
| Variable | Fixed | **Liability — holder exposed to variability (Illus. 16, 17)** |
| Variable | Variable | **Liability** |

| Conversion ratio changes because… | Fixed-for-fixed? |
|---|---|
| Passage of time only (1:1 → 1.5:1 → 2:1 by date) — Illus. 18 | **Yes — equity** |
| Anti-dilution for **splits / bonus issues** (protects holder vs other shareholders) — Illus. 19 | **Yes — equity** |
| **Down-round protection** — compensates if later shares issued below ₹10 (underwrites return) — Illus. 20 | **No — liability** |
| Converts at FV within a band (stake 15%–40%) — Illus. 21 | **No — liability** |
| **Independent** events in different periods (each a separate fixed contract) — Illus. 22 | **Yes — equity** |
| **Inter-dependent** valuation-linked events (EV 100/150/200m) — one contract — Illus. 23 | **No — liability** |
| **Written option**: fixed shares at fixed ₹50 (premium ₹2) — Illus. 15 | **Equity; premium credited to equity, no FV changes. Price linked to index → derivative liability at FVTPL** |

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- → **Settlement options** (32.26): a derivative giving **either party a choice** of settlement is an FA/FL **unless all** alternatives would be equity (e.g. option issuer can settle net in cash or gross in shares → liability).
- → **Obligation to buy own shares** (32.23): forward/written put to repurchase own shares for cash → **liability for PV of redemption amount**, even if fixed-for-fixed.
- → **FCCB carve-out:** USD 100 bond → 1,000 shares: conversion option is **equity** (fixed in any currency); the 6% coupon is a liability → **compound** (Illus. 24). IFRS: derivative liability.
- → **Contingent settlement** (event outside both parties' control): **liability** — unless the liability feature is **not genuine**, or cash payable **only on liquidation**, or the puttable/liquidation exception applies. Event within issuer's control → equity.
- → **Group view (CFS):** a parent's guarantee or put given to holders of a subsidiary's instrument → **liability in the consolidated FS**, even if equity in the subsidiary's own FS (written puts over NCI).

### Puttable instruments & obligations only on liquidation — exception (32.16A–D)

Normally liabilities (mutual fund units, limited-life SPVs), but **equity** if: (1) **pro rata share of net assets on liquidation** (no cap — Illus. 7: Class B capped at ₹1 crore → not equity) · (2) in the **most subordinate class** (Illus. 8: manager's token units ranking last → equity; other units → liability) · (3) all instruments in that class have **identical features** (Illus. 9: different voting rights → neither is equity) · (4) **no other obligation** to pay cash or deliver variable shares (Illus. 10: extra conversion into variable shares → fails) · (5) cash flows based substantially on **profit, change in net assets or FV of net assets** · (6) issuer has **no other contract** with the holder that substantially fixes/restricts their return (Illus. 11: management contract for 50% of profit vs market 4–6% → fails). **Puttables: 1–6. Liquidation-only: 1–3 and 6.** Reclassify when conditions start/stop: liability → equity at **carrying amount**; equity → liability at **FV**, difference in equity.

## ④ Compound instruments — split accounting

Ind AS 32.28–32 · AG30–AG35

**Step 1 — Liability component** = PV of contractual cash flows (interest + principal / redemption premium), **ignoring conversion**, at the **market rate for a similar instrument without the conversion option**.

**Step 2 — Equity component** = Proceeds (FV of whole instrument) − Liability. **Residual**, never remeasured. No day-1 gain/loss.

**Step 3 — Transaction costs** → split **in proportion to the allocation of proceeds**; liability share goes into EIR, equity share deducted from equity.

**Step 4 — Each year**: finance cost = opening liability × **market rate (EIR)** → P&L; liability = opening + finance cost − coupon paid. It accretes to the redemption amount.

**Other embedded derivatives** (issuer's call / prepayment option) → included in the **liability** component, not equity.

| SM | Facts | Split |
|---|---|---|
| Illus. 28 | Perpetual loan ₹12 lakh, 8% mandatory interest; market 12% | Liability = 96,000 ÷ 12% = **8,00,000**; equity **4,00,000** (perpetual principal) |
| Illus. 29 | OCRPS ₹10 lakh, 6% p.a., convert anytime (fixed) or redeem in 3 years; market 9% | PV principal 7,72,183 + PV interest 1,51,878 = **9,24,061**; equity **75,939** |
| Illus. 30 | ₹10 lakh, coupon RBI base + 1% (=10%), market base + 4% (=13%), 3 years | 6,93,050 + 2,36,115 = **9,29,165**; equity **70,835** |

| Illus. 32 schedule (₹) | Cash flow | Finance cost @9% | Liability |
|---|---|---|---|
| 1 Jul 20X1 | 10,00,000 | — | 9,24,061 |
| 30 Jun 20X2 | (60,000) | 83,165 | 9,47,226 |
| 30 Jun 20X3 | (60,000) | 85,250 | 9,72,476 |
| 30 Jun 20X4 | (10,60,000) | 87,524 | — |

### Later events

- → ***Likelihood of conversion changes → no reclassification.***
- → ***Conversion at maturity*** *→ transfer liability to equity; original equity component stays in equity (may move between lines);* ***no gain/loss.***
- → ***Early redemption / repurchase*** *(conversion terms unchanged): split the* ***payment*** *the same way as at issue, using the* ***current market rate*** *at settlement → liability part vs its carrying amount →* ***P&L****; rest →* ***equity.***
- → ***Induced conversion*** *(sweetened terms before a date): FV of what holder gets under new terms − FV under original terms →* ***loss in P&L*** *at amendment date.*

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***Illus. 32 — early redemption:*** *on 30 Jun 20X3 D pays ₹11 lakh; a 1-year straight instrument would now cost 5%. Liability FV = 10,00,000/1.05 (9,52,381) + 60,000/1.05 (57,142) =* ***10,09,523*** *vs carrying 9,72,476 →* ***loss 37,047 to P&L****; equity part 11,00,000 − 10,09,523 =* ***90,477*** *→ equity.*

## ⑤ Treasury shares · distributions · transaction costs · offsetting

32.33–50

| Item | Rule |
|---|---|
| Treasury shares | Cost ***deducted from equity***; never an asset; no P&L on buy/sell/cancel. In CFS, shares held by group members deducted too. Held as agent for clients → not in balance sheet. |
| Interest / dividends / gains | On a ***liability*** (or component) → ***P&L*** (dividend on a liability-classified preference share = finance cost). On ***equity*** → directly in ***equity***. FV changes of own equity not recognised. |
| Transaction costs | Equity issue → ***deduct from equity*** (incremental, directly attributable; abandoned issue → expense). Liability → in ***EIR***. Compound → ***pro rata*** to proceeds split. Tax on these → Ind AS 12. |
| Offsetting (32.42) | Only if ***both***: (a) ***currently legally enforceable right*** — not contingent on a future event, enforceable in normal course, default ***and*** insolvency of all parties; and (b) ***intention*** to settle net or simultaneously (gross settlement with insignificant credit/liquidity risk in one cycle counts). Not for: synthetic instruments (floating loan + swap), same-risk derivatives with different counterparties, collateral for non-recourse debt, sinking funds, insurance recoveries. |

| | Financial liability | Equity |
|---|---|---|
| Remeasured? | Yes — Ind AS 109 | No |
| Interest / dividends / gains | P&L | Retained earnings |
| Transaction costs | In EIR, amortised | Deducted from equity |

# ⑥ Classifying a financial asset — the 2 tests Ind AS 109.4.1

***Step 1 — What is it?*** *Derivative → **FVTPL** (unless hedging instrument). Equity share → **FVTPL**, or irrevocable **FVOCI election** if not held for trading. Debt → go to Step 2.*

***Step 2 — SPPI test*** *(instrument level): are cash flows **solely payments of principal and interest** on principal outstanding? Fail → **FVTPL**.*

***Step 3 — Business model test*** *(portfolio level, set by KMP): **Hold to collect** → **Amortised cost** · **Collect and sell** → **FVOCI (debt, with recycling)** · **Other** (trading, managed on FV) → **FVTPL**.*

***Step 4 — FV option**: AC / FVOCI debt may be irrevocably **designated FVTPL** at initial recognition only if it removes or significantly reduces an **accounting mismatch**.*

| Business model | What it looks like (SM) |
|---|---|
| *Hold to collect* | *Sales **infrequent** or **insignificant** in value, or due to **credit deterioration** (Illus. 1), or close to maturity. Selling more in one year ≠ change of model and ≠ prior-period error (Illus. 12–13). Sales forced by a **stress case** don't count (Illus. 6), but **regulator-forced significant sales** → not HTC.* |
| *Collect & sell* | *Both are **integral** — e.g. liquidity management, matching asset duration to liabilities (Illus. 4); govt bonds likely sold for liquidity needs (Illus. 19).* |
| *Other / FVTPL* | *Held for trading; managed and evaluated on **fair value** basis; collection only incidental.* |

- → *Evidence of BM: how performance is **evaluated and reported to KMP**, the **risks** and how they're managed, how **managers are paid** (FV-based or cash-flow-based).*
- → ***Securitisation (Illus. 5):** loans sold to an SPV that the group consolidates → in **CFS** still hold to collect; in the transferor's **separate FS** → not HTC if sale derecognises.*

## SPPI — passes vs fails

| Passes SPPI | Fails SPPI (→ FVTPL) |
|---|---|
| *Interest = **time value** + **credit risk** + liquidity/other lending risk + costs + profit margin (principal = FV at initial recognition)* | *Exposure to **equity or commodity prices**, **leverage** (e.g. options, forwards, swaps)* |
| *Inflation-linked, unleveraged, in the instrument's currency (Illus. 7)* | ***Convertible bond** — holder's return linked to equity (Illus. 8); **OCPS** convertible 1:1 or redeemable at 20% premium (Illus. 24)* |
| ***Prepayment** at unpaid principal + interest + reasonable compensation; **negative compensation** OK if FV of prepayment feature is insignificant at recognition* | ***Deferred interest** with no interest-on-interest (Illus. 9)* |
| *Floating with a **cap** (Illus. 16); full-recourse loan with **collateral** (Illus. 10)* | ***Inverse floater** — rate moves opposite to market (Illus. 11)* |
| ***Interest-free loan to subsidiary** — on demand or fixed term (Illus. 14–15); trade receivables (Illus. 17); **security deposit** (Illus. 18)* | *Equity shares, mutual-fund units (no contractual P&I)* |

| Category | Interest / dividend | FV changes | On sale | ECL? |
|---|---|---|---|---|
| *Amortised cost* | *EIR → P&L* | *Not recognised* | *Gain/loss → P&L* | *Yes* |
| *FVOCI — debt* | *EIR → P&L* | *OCI* | ***Recycled** to P&L* | *Yes (allowance in OCI, not on asset)* |
| *FVOCI — equity* | *Dividend → P&L* | *OCI* | ***Never recycled** (may move within equity)* | *No* |
| *FVTPL* | *P&L* | *P&L* | *P&L* | *No* |

## ⑦ Measurement — initial, EIR, transaction costs 109.5.1 · B5.4

| Point | Rule |
|---|---|
| *Initial measurement* | ***Fair value** (normally transaction price) **± transaction costs** — except **FVTPL** (costs expensed: Illus. 26, ₹500 → P&L) and trade receivables without significant financing (transaction price under Ind AS 115).* |
| *Off-market terms* | *FV = PV of future cash flows at **market rate**. Difference: FV is Level 1 / only observable data → **P&L day 1**; any other basis → **deferred** (asset if it qualifies, else amortised).* |
| *Transaction costs* | ***Incremental** and directly attributable: agents' fees, advisers, brokers, levies, transfer duties. **Not**: premiums/discounts, financing costs, internal admin or holding costs.* |
| *Fees **in** EIR* | *Origination / processing fee · commitment fee where the loan is **probable** (if it lapses → revenue on expiry) · fees paid on issuing a liability at AC.* |
| *Fees **not** in EIR* | *Loan **servicing** fee · commitment fee where loan **unlikely** · **syndication** fee when no part retained (or retained at same EIR).* |
| *Floating rate* | *Re-estimating cash flows changes the EIR; if recognised at par, no significant effect — interest at current market rate.* |
| *Change in estimated cash flows* | *Recompute gross carrying amount = PV of revised cash flows at **original EIR**; difference → **P&L** (catch-up). Not for renegotiation of terms.* |
| *Unquoted equity* | ***Cost** may approximate FV only in limited cases (no recent info / wide range). Never for **quoted** equity. Watch indicators: performance vs budget, market changes, fraud, fresh issues.* |

*EIR in one line: the rate that discounts **all** future cash flows to the **net** amount on day 1 (loan − processing fee). Exam: interpolate between two rates.*

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***Illus. 31 (loan, books of borrower):** ₹10,000 at 10%, fee 500, bullet in 5 years. Initial = **9,500**. PV @10% = 10,000; @13% = 8,945 → EIR = 10% + 3% × 500/1,055 = **11.42%**. Year 1: 9,500 + 1,085 − 1,000 = 9,585 → 9,679 → 9,785 → 9,902 → nil (yr-5 interest 1,098 rounding). **Illus. 20:** 1% fee on ₹10 lakh / ₹8 lakh → initial 9,90,000 / 7,92,000; EIR above coupon. **Illus. 22 (FVOCI):** bought 100 + commission 2 = 102; FV next day 100 → loss 2 in OCI (ignore selling cost 3).*

### Interest-free loans & deposits — the exam favourite

| Situation | Measurement | Day-1 difference goes to |
|---|---|---|
| **Repayable on demand** | FV = **face value** (Ind AS 113.47 — can't be less than amount payable on demand). No interest accrues. | None |
| **Fixed term** (Illus. 28b: ₹10 lakh, 3 yrs, 10%) | PV = **7,51,315**; unwind 75,131 / 82,645 / 90,909 → 10,00,000 | Parent: **deemed investment in sub** 2,48,685 · Sub: **equity (capital contribution)** 2,48,685 |
| **When funds available** (Illus. 28c / 23) | Not on demand → **estimate repayment date** (e.g. from expected dividends) and discount at market rate | From shareholder → **equity contribution** in investee; **investment** in shareholder's books |
| **Security deposit** under lease (Illus. 25: ₹10 lakh, 5 yrs, 12%) | PV = **5,67,427**; interest yr 1 = 68,091 … yr 5 = 1,07,143 | **ROU asset / prepaid rent** 4,32,573 — depreciated SL (Illus. 21: 10,000 → 8,163; 1,837 prepaid rent) |
| Below-market loan to get cheap goods/services | FV at market rate | Asset (prepayment) if it qualifies, else P&L |

- → **CFS:** intra-group loan, interest and deemed investment all **eliminate** — no impact. But if the loan is in **foreign currency**, the exchange difference stays in P&L (Ind AS 21).
- → Entries (Illus. 28b, parent): Loan to sub Dr 7,51,315 · Deemed investment Dr 2,48,685 · To Bank 10,00,000. Each year: Loan Dr / Interest income Cr.

### Journal pattern — equity investments

- → **FVTPL (Illus. 26):** buy 10,000 + cost 500 → asset 10,000, cost 500 → P&L; FV 11,200 → gain 1,200 P&L.
- → **FVOCI election (Illus. 27):** 10,000 shares for 5,00,000; FV ₹45 → loss 50,000 to **OCI (items not reclassified)** → equity investment FV reserve.

## ⑧ Financial liabilities — classification & measurement 109.4.2 · 5.3

| Category | Includes / measurement |
|---|---|
| Amortised cost (default) | Borrowings, trade payables (Illus. 29 — price per tonne is FV; interest only if paid late), debentures. EIR → P&L. |
| FVTPL — mandatory | **Held for trading**: derivatives (not hedges), short sales (deliver borrowed securities), debt to repurchase near term, short-term profit portfolios · **contingent consideration** of acquirer (Ind AS 103). A loan merely **funding** trading is not HFT. |
| FVTPL — designated | (i) removes accounting **mismatch** (Illus. 30: fixed-rate assets funded by fixed-rate debentures → both FVTPL) or (ii) group **managed on FV** basis and reported so to KMP. |
| Special basis | Transfers that fail derecognition / continuing involvement · **Financial guarantees** & below-market loan commitments: **higher of** (ECL allowance) and (initial amount − cumulative Ind AS 115 income). |

- → **Designated FVTPL liability:** FV change due to **own credit risk** → **OCI** (never recycled), rest → P&L; all in P&L if OCI would create a mismatch.
- → **Financial liabilities can never be reclassified.**
- → Shares held as **stock-in-trade** by a broker → Ind AS 109/32/107, not Ind AS 2 (Illus. 35).

### Modification, refinancing & processing fees

**10% test:** PV of **new** cash flows (incl. fees paid net of fees received, only between borrower and lender) discounted at the **original EIR** vs PV of **remaining old** cash flows (also at original EIR). Difference ≥ **10%** → substantial.

**Substantial → extinguishment:** derecognise old (with its **unamortised fees**), recognise new at **FV**; new EIR on revised terms; costs/fees → part of **gain/loss on extinguishment** (P&L).

**Not substantial → modification:** revised cash flows discounted at **original EIR**; difference → **P&L** now; costs/fees **adjust the carrying amount** and amortise over remaining term.

| Refinancing (Illus. 34) — Bank A loan taken over by Bank B | Treatment |
|---|---|
| **Prepayment premium** paid to Bank A | **P&L** — part of loss on extinguishment of the old loan |
| **Unamortised processing fee** of old loan | **P&L** — it was inside the old loan's carrying amount |
| **Processing fee** for new Bank B loan | **Transaction cost** of the new loan → deduct, include in **EIR** |
| Fee for undisbursed tranches (Illus. 33) | Drawdown **probable** → defer, deduct when drawn, into EIR · **not probable** → expense SL over loan term |

## ⑨ Reclassification 109.4.4 · 5.6

- → Financial **assets only**, and only when the **business model changes** — very rare, decided by senior management, significant, demonstrable (start/stop a business line: acquire a loan-servicing company; shut a mortgage business). **Prospective** from the **first day of the next reporting period**; no restatement.
- → **Not** a change: intention on particular assets, temporary disappearance of a market, transfer between divisions. **Not** reclassifications: start/stop of cash-flow / net-investment hedge, credit-derivative FV designation.

| From → To | On reclassification date (bond 1,00,000, FV 90,000) |
|---|---|
| AC → FVTPL | Measure at FV; difference 10,000 → **P&L** |
| AC → FVOCI | Measure at FV; difference 10,000 → **OCI**; EIR and ECL unchanged |
| FVTPL → AC | FV becomes new **gross carrying amount**; new EIR on that FV |
| FVTPL → FVOCI | Stays at FV; EIR set on FV at reclassification date |
| FVOCI → AC | Reverse cumulative OCI **against the asset** → as if always at AC (1,00,000); no P&L; EIR and ECL unchanged |
| FVOCI → FVTPL | Stays at FV; cumulative OCI loss 10,000 **recycled to P&L** |

## ⑩ Impairment — expected credit loss (ECL) 109.5.5

| ECL applies to | ECL does NOT apply to |
|---|---|
| Debt at **AC** · debt at **FVOCI** · lease receivables · contract assets · loan commitments · financial guarantees | **Equity** instruments (FVTPL or FVOCI) · anything at **FVTPL** |

| | Stage 1 | Stage 2 | Stage 3 |
|---|---|---|---|
| Credit risk since initial recognition | No significant increase | **Significant increase** | **Credit-impaired** |
| Allowance | **12-month** ECL | **Lifetime** ECL | **Lifetime** ECL |
| Interest on | Gross carrying amount | Gross carrying amount | **Amortised cost** (net of allowance) |

- → **Credit loss** = PV (at original EIR; credit-adjusted EIR for POCI) of **cash shortfalls** = contractual − expected cash flows, incl. collateral proceeds. Probability-weighted, time value, reasonable and supportable forward-looking info. Period = max **contractual** period incl. extensions.
- → **12-month ECL** = lifetime losses from defaults possible in the next 12 months — not cash shortfalls over 12 months.
- → **Simplified approach** (lifetime from day 1, no tracking): **mandatory** for trade receivables / contract assets **without a significant financing component**. **POCI** assets: only cumulative changes in lifetime ECL.
- → **30 days past due** → rebuttable presumption of significant increase. Indicators: credit spread, CDS prices, rating downgrades, adverse business/economic changes, covenant breaches expected, collateral or guarantee quality falls, parent support reduced.
- → **Credit-impaired** evidence: significant financial difficulty, default/past due, concession granted, probable bankruptcy, active market lost, bought at deep discount.

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**Illus. 42 (PD approach):** loan 10,00,000 × LGD 25% × 12-m PD 0.5% = **1,250**. **Illus. 43 (loss rate):** Group X loss 600 ÷ 2,00,000 = **0.3%**; Group Y 450 ÷ 3,00,000 = **0.15%**. **Illus. 44 (provision matrix):** receivables 3 crore — current 1.5 cr × 0.3% = 45,000; 1–30 days 75 lakh × 1.6% = 1,20,000; 31–60 40 lakh × 3.6% = 1,44,000; 61–90 25 lakh × 6.6% = 1,65,000; >90 10 lakh × 10.6% = 1,06,000 → **lifetime ECL 5,80,000**.

MCQ + 5–8 marks

## 11 Recognition & regular-way trades 109.3.1 · Unit 5

| Contract | Recognise when |
|---|---|
| Receivables / payables | Entity becomes party to the contract (legal right/obligation) |
| Firm commitment to buy/sell goods | Not until one party performs (goods delivered) — unless designated FVTPL (net FV recognised on commitment date) |
| Forward · option | On commitment date (forward usually FV nil; option has a premium) |
| Planned future transaction | **Never** |

- → ***Regular way*** = delivery within the market's normal time frame (e.g. T+2). Choose ***trade date*** or ***settlement date*** accounting, consistently per category. Applies to ***financial assets only***.
- → ***Settlement date***: buyer still records FV change between trade and settlement date like the asset — AC: none; FVTPL: P&L; FVOCI: OCI. Seller derecognises on settlement, ignores FV changes.
- → ***Illus. 3:*** bought 10,00,000 on 1 Jan; FV 10,50,000 on 4 Jan → AC: asset 10,00,000 (no gain); FVTPL: gain 50,000 P&L; FVOCI: 50,000 OCI — same under either date method.
- → ***Illus. 1:*** forward via a broker for listed shares in one month (market is 2 days) → ***not regular way*** → derivative, FV changes to P&L. ***Illus. 2:*** exchange-traded option with 7-day settlement under market rules → regular way.

## 12 Derecognition of financial assets — the flowchart 109.3.2 · B3.2.1

***0. Consolidate*** subsidiaries first (incl. SPVs/trusts) — test at group level.

***1.*** Apply to a ***part*** only if the part is: specifically identified cash flows (interest strip) · fully proportionate share (90% of all cash flows) · proportionate share of identified flows (90% of interest). ***Otherwise whole asset*** (first 90% of collections; 90% sold with an 8% loss guarantee — Illus. 5).

***2.*** Rights to cash flows ***expired***? → derecognise. (Renegotiation can count: moratorium/extension, big rate cut, conversion right.)

***3. Transferred*** the rights (sale, assignment, factoring)? — or a ***pass-through*** meeting all 3 conditions (pay only what is collected · can't sell/pledge the asset · remit without material delay, no reinvestment)? No → keep asset.

***4.*** Transferred ***substantially all risks & rewards***? → ***derecognise***. Retained substantially all? → ***keep asset***, cash received = ***liability***.

***5.*** Neither? → ***Control retained***? (Can the transferee ***practically sell*** the asset unilaterally to a third party?) No → derecognise. Yes → ***continuing involvement***.

| Risks & rewards transferred → derecognise | Risks & rewards retained → keep asset |
|---|---|
| Unconditional sale · sale with repurchase at ***FV*** · right of first refusal at FV (Illus. 7) · put/call ***deep out of the money*** (Illus. 8–9) · ***without-recourse*** factoring (Illus. 11: receivables 10 lakh for 9 lakh, no recourse → derecognise, ***loss 1 lakh***) | Repo at ***fixed price or price + lender's return*** (same, substantially same, or substitutable asset) · securities lending · total return swap back to seller · put/call ***deep in the money*** · guarantee of ***likely*** credit losses on short-term receivables (full recourse) |

- Call option **neither** deep in nor out, asset **readily available** in market → transferee can sell → control lost → **derecognise** (Illus. 9iii). Asset not traded / valuable put or guarantee held by transferee → control retained.
- **Pass-through (Illus. 6):** loan 100 cr to trust; investor pays 90 cr for 90% of collections, no guarantee → derecognise **90 cr**, keep **10 cr**.
- Short-term receivables: key risk = **credit risk**. Long-term: interest-rate and slow-payment risk.
- On derecognition: gain/loss = carrying amount − consideration (new assets at FV are part of consideration; liabilities assumed reduce it); **FVOCI debt** reserve recycled. Retained-risk case: liability at FV less costs, then AC.

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**Illus. 12 (factoring with recourse — continuing involvement):** receivables face 100 cr, carrying **95 cr**; factor pays 91.5 cr less service 1.5 cr = **90 cr**; C guarantees losses up to **5 cr** over expected 5 cr; guarantee FV 0.5 cr. Continuing involvement asset = lower of asset 95 and guarantee amount **5.5 cr** → 5.5 cr. Associated liability = guarantee 5 + FV 0.5 = **5.5 cr**. Entry: Cash Dr 90 · Loss Dr 5 · CI asset Dr 5.5 · To Receivables 95 · To Associated liability 5.5. The 0.5 cr guarantee is amortised to P&L.

## 13 Derecognition of financial liabilities 109.3.3 · B3.3

- Remove only when **extinguished** — paid, or **legally released** by law/creditor. Paying a third party to assume the debt **without** legal release → no derecognition. Released but guarantee given → new liability at FV of guarantee.
- Gain/loss = **carrying amount − consideration paid** (incl. non-cash assets/liabilities assumed) → P&L.
- Renegotiation **after year-end** (before approval) → gain/loss in the period it is **contractually agreed** (next year) — Illus. 13.

| Example 3 — extinguishment (10% test met) | Example 4 — modification (10% test failed) |
|---|---|
| Bond 10 lakh, 10%, 10 yrs. After 5 yrs: extend to 7 more yrs, coupon 5%, redeem at **15 lakh**, fees **1 lakh**; market rate 11%.<br>PV at **original 10%**: 7,69,737 + 2,43,421 + 1,00,000 = **11,13,158** vs 10,00,000 → **11.32%** → extinguish.<br>New liability FV @11% = 7,22,487 + 2,35,610 = **9,58,097**.<br>Loss = 10,00,000 − 9,58,097 − 1,00,000 = **(58,097)**. New EIR 11%. | Same bond. After 5 yrs: no more interest, redeem at **16 lakh** on original date, fee **50,000**.<br>PV at 10%: 9,93,474 + 50,000 = **10,43,474** → **4.35%** → modification.<br>Carrying 10,00,000 − fee 50,000 = **9,50,000**; new EIR **10.99%** → 1,04,405 / 1,15,879 / 1,28,614 / 1,42,749 / 1,58,353 → 16,00,000. |

Two ways the SM handles a non-substantial modification of a liability: Unit 2 says re-discount at the **original EIR** and take the difference to P&L; Unit 5 Example 4 instead nets the fee and **resets the EIR** (no day-1 P&L), noting the standard isn't explicit. Follow what the question asks; if silent, state which approach you used.

### Debt-for-equity swap Appendix D

- Shares issued to extinguish a liability: measure at **FV of shares**; if not reliable, at **FV of liability** extinguished. Difference vs carrying amount → **P&L**.
- Not applied if: creditor acts as an existing **shareholder**; common control with a distribution/contribution in substance; conversion is per the **original terms** (that's Ind AS 32 conversion).
- Part extinguished → allocate consideration; test remaining part for substantial modification.

MCQ + 5–8 marks

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**Example 5:** JK owes 90 cr (EIR 10%). 2/3 (60 cr) → 70% equity; FV net assets 80 cr → shares FV **56 cr** → **gain 4 cr**. Remaining 1/3 = 30 cr; revised terms PV at original EIR 25 cr (>10% change) → extinguish 30, new liability at FV **28 cr** → **gain 2 cr**.

## 14 Derivatives & embedded derivatives Unit 4

| Derivative — all 3 | Points / SM cases |
|---|---|
| (i) Value changes with an **underlying** | Rate, price, FX, index, credit rating; a non-financial variable must **not be specific to a party** (fire damage to own asset, residual value from condition → not derivative; city temperature index → OK). |
| (ii) **No / small** initial net investment | Prepaid **fixed leg** of swap (Illus. 1) → still derivative · prepaid **variable leg** (Illus. 2: pay 36 cr, receive 10 cr p.a.) → a loan, **not** derivative · **prepaid forward** at spot (Illus. 3) → not derivative. |
| (iii) Settled at a **future date** | Gross or net doesn't matter; option lapsing unexercised is also settlement (Illus. 5). Euro sales converted at fixed 80 → derivative with 2 underlyings (Illus. 4). |

→ All derivatives at **FVTPL** unless a designated hedge. **Illus. 6:** gold bought, paid in shares worth the gold price at ₹10 each → variable shares → **derivative liability FVTPL**. **Illus. 7:** written call on Target's shares at ₹100 → derivative liability. **Illus. 8:** warrants to all shareholders at fixed ₹150 → derivative but **equity** (fixed-for-fixed).

→ **Own-use (Illus. 14 — oil seeds):** import contract, 30% net settled in practice → **derivative**. Domestic contract, only 1% net settled, delivery for processing → **own use**, executory. Exchange contract settled net → **derivative FVTPL**.

**Embedded derivative** = part of a hybrid contract with a **non-derivative host** that makes some cash flows vary like a derivative. Separately transferable or different counterparty → separate instrument, not embedded. Fixed annual increase of ₹3 m in rent → no underlying → none (Illus. 9).

**Separate only if all:** (1) host is **not** a financial asset in Ind AS 109 (FA hosts → classify whole thing, usually FVTPL if SPPI fails) · (2) **not closely related** to host · (3) a stand-alone instrument would be a derivative · (4) hybrid **not** at FVTPL.

**Accounting:** derivative at FV (FVTPL); host = **residual**. Non-option derivative separated at **FV nil**; option-based on stated terms (may have value). Can't measure → whole hybrid FVTPL; may elect FVTPL for whole hybrid (non-FA host). **No reassessment** unless terms change cash flows significantly.

| Not closely related → separate | Closely related → don't separate |
|---|---|
| Debt with interest/principal indexed to **equity or commodity** (Illus. 10) · lease rent linked to **US inflation** for Indian parties (Illus. 11) · rent linked to **profit after tax** (Illus. 12) · FX in a currency that's nobody's functional currency and not routine (Illus. 15) | Inflation index of **own economic environment** · contingent rent based on **sales** · prepayment option with exercise price ≈ **amortised cost**, or reimbursing lost interest · FX in a party's functional currency, routinely used for that good (USD crude), or commonly used locally |

→ **Illus. 13 (prepayment option):** 100 cr at 12%, 6 yrs, prepay with 3% penalty (103 cr); rate without option 11% → host AC 104.22 → 103.68, 103.09, 102.43, 101.70, 100.90. Differences +0.7%, +0.1%, −0.6%, −1.3%, −2.1% → policy decides "approximately equal" (e.g. >2% → separate).

→ **Illus. 15 (USD machine bought from Indian supplier):** USD 10 lakh, forward 67.8 at order → embedded forward FV nil. 30 Sep forward 67.5 → derivative asset **3,00,000** (P&L); 31 Dec spot 67.0 → further **5,00,000**. PPE at forward rate **6,78,00,000** = creditor 6,70,00,000 + derivative 8,00,000.

## 15 Hedge accounting Unit 6 · optional

| Element | Rule |
|---|---|
| Hedged item | Recognised asset/liability, unrecognised **firm commitment**, **highly probable** forecast transaction, net investment in a foreign operation; whole item or a component (risk component, selected cash flows, part of nominal); reliably measurable. |
| Hedging instrument | Derivative at FVTPL (**not a net written option**) · non-derivative FA/FL at FVTPL (not an FVTPL liability with own-credit in OCI) · FX risk component of a non-derivative (not FVOCI equity). **External** party only. Whole instrument, except: intrinsic value only, spot element only, a **proportion** (e.g. 50%) — never a part of its life. |
| Qualifying criteria | Eligible items · formal **designation and documentation at inception** · effectiveness: **economic relationship**, credit risk does **not dominate**, **hedge ratio** = actual quantities (no deliberate imbalance). |

| Type | Hedges | Accounting |
|---|---|---|
| **Fair value** | FV changes of recognised item or firm commitment | Instrument gain/loss → **P&L**; hedged item adjusted for hedged risk → **P&L** (carrying amount adjusted). FVOCI equity hedged → both in **OCI**. Firm commitment → cumulative FV change recognised as asset/liability. |
| **Cash flow** | Variable cash flows (floating interest, forecast purchase/sale) | CFHR = **lower of** cumulative gain/loss on instrument and cumulative change in PV of hedged cash flows → effective part in **OCI**, rest (ineffective) → **P&L**. Later: non-financial asset bought → **basis adjustment** to its cost (not via OCI); others → recycle when hedged cash flows hit P&L; loss not recoverable → P&L at once. |
| **Net investment** | FX on net assets of foreign operation | Like cash flow: effective → **OCI (FCTR)**; ineffective → P&L; recycled on (partial) **disposal**. |

## 16 Ind AS 107 disclosures — what to remember Unit 7

- **Objective:** users can evaluate (a) **significance** of financial instruments for position and performance, (b) **nature and extent of risks** and how they are managed.
- **Balance sheet:** carrying amounts by category (FVTPL designated / mandatory, AC assets, AC liabilities, FVOCI debt, FVOCI equity designated); FVTPL-designated items → credit-risk effect; FVOCI equity → which investments, why, FV, dividends, transfers within equity, disposals (reason, FV, cumulative gain/loss); **reclassifications** (date, BM change explanation, amounts; EIR and interest after leaving FVTPL); **offsetting** (gross, set-off, net); collateral; allowance for credit losses; defaults and breaches.
- **P&L:** net gains/losses per category, interest income/expense (EIR), fee income/expense, impairment.
- **Other:** accounting policies, hedge accounting, **fair value** by class (and FV hierarchy per Ind AS 113); **risks** — qualitative and quantitative for **credit**, **liquidity** (maturity analysis) and **market** risk (sensitivity analysis).

MCQ + 5–8 marks

## 17 Exam checklist

**Classification Q:** issuer's view → contractual obligation? own shares fixed-for-fixed? → liability / equity / compound.
**Compound Q:** PV at market rate without conversion → equity residual → costs pro rata → finance cost schedule → conversion (no gain) / early redemption (split at current rate).
**Loan Q:** net of fees → EIR by interpolation → schedule. Interest-free intra-group loan: demand = face; term = PV, difference = investment / equity contribution; "when funds" = estimate date.
**Refinance Q:** prepayment penalty + unamortised old fees → P&L; new fee → new EIR. Change of terms → 10% test at original EIR.
**Asset Q:** SPPI → BM → AC / FVOCI / FVTPL; equity FVOCI never recycles; ECL stage 1 = 12-month, 2 & 3 = lifetime; trade receivables = simplified (provision matrix).

Questions + full solutions

# Ind AS 32 & 109 Financial Instruments — practice sheet

**How to use:** each topic starts with ICAI's small illustrations and questions (cover the solution, solve, check). Questions that repeat an earlier one are **not printed again** — the box under the original lists each repeat and what changes. Each topic ends with **"Adjustments in this topic — what to do"**: the steps for every adjustment, ICAI's figures, the notes section to re-read, and the question numbers to practise. Every question — illustration, short question or full-scale exam question — sits in its own topic; full-scale ones show the adjustments they test. The last question is the **master question** — do it timed, without looking, to see if you are ready.

Every question header shows its concept and the **notes section and page** (pages = this PDF's notes part, which comes first). SM illustrations, SM TYK and ICAI Practice Questions are ICAI's printed pages; This chapter uses ICAI SM Units 1-5 (Units 6-7 have no illustrations), SM Test Your Knowledge and ICAI Practice Questions; past papers that asked each adjustment are named in its list (Asked:).

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| Q100 | I | Derecognition of financial assets | SM Ch 11 Unit 5 · Illustration 6: Proportionate "pass through" arrangement |
| Q101 | I | Derecognition of financial assets | SM Ch 11 Unit 5 · Example 1: Situation when transferee has practical ability to sell the financial asset |
| Q102 | I | Derecognition of financial assets | SM Ch 11 Unit 5 · Example 2: Situations when transferee doesn't have practical ability to sell the |
| Q103 | I | Derecognition of financial assets | SM Ch 11 Unit 5 · Illustration 7: Repurchase agreements |
| Q104 | I | Derecognition of financial assets | SM Ch 11 Unit 5 · Illustration 8: Put options on transferred financial assets (+1 repeat) |
| Q105 | I | Derecognition of financial assets | SM Ch 11 Unit 5 · Illustration 10: Amortising interest rate swaps |
| Q106 | I | Derecognition of financial assets | SM Ch 11 Unit 5 · Illustration 11: Assignment of receivables |
| Q107 | I | Derecognition of financial assets | SM Ch 11 Unit 5 · Illustration 12A: Debt factoring with recourse – continuing involvement asset (+2 repeats) |
| Q108 | J | Derivatives — definition and own-share derivatives | SM Ch 11 Unit 4 · Illustration 1: Prepaid interest rate swap (fixed rate payment obligation prepaid at |
| Q109 | J | Derivatives — definition and own-share derivatives | SM Ch 11 Unit 4 · Illustration 2: Prepaid pay-variable, receive-fixed interest rate swap |
| Q110 | J | Derivatives — definition and own-share derivatives | SM Ch 11 Unit 4 · Illustration 3: Prepaid forward |

| No. | Topic | Concept | Source |
|---|---|---|---|
| Q111 | J | Derivatives — definition and own-share derivatives | SM Ch 11 Unit 4 · Illustration 4 |
| Q112 | J | Derivatives — definition and own-share derivatives | SM Ch 11 Unit 4 · Illustration 5 |
| Q113 | J | Derivatives — definition and own-share derivatives | SM Ch 11 Unit 4 · Illustration 6 |
| Q114 | J | Derivatives — definition and own-share derivatives | SM Ch 11 Unit 4 · Illustration 7 : Derivative contract: |
| Q115 | J | Derivatives — definition and own-share derivatives | SM Ch 11 Unit 4 · Illustration 8: Derivative contract to be settled in own equity instruments |
| Q116 | J | Derivatives — definition and own-share derivatives | SM Ch 11 Unit 4 · Illustration 14: Contracts for purchase or sale of non-financial item |
| Q117 | J | Embedded derivatives | SM Ch 11 Unit 4 · Illustration 9 |
| Q118 | J | Embedded derivatives | SM Ch 11 Unit 4 · Illustration 10: Debt instrument with indexed repayments |
| Q119 | J | Embedded derivatives | SM Ch 11 Unit 4 · Illustration 11: Lease contracts dependent on inflation index (+1 repeat) |
| Q120 | J | Embedded derivatives | SM Ch 11 Unit 4 · Illustration 13: Debt instrument with prepayment option |
| Q121 | J | Embedded derivatives | SM Ch 11 Unit 4 · Illustration 15: Foreign currency embedded derivatives |
| Q122 | MASTER | Compound instruments — split, conversion, redemption | SM Ch 11 · Test Your Knowledge Q7 |

# Ⓐ Definitions, scope and own-use contracts

## Q1 · Financial asset, financial liability, equity — definitions

SM Ch 11 Unit 1 · Example 1 · **Notes §1 (p 1)**

**Example 1**

*Evaluate the financial assets.*

| S. No. | Particulars | Whether FA or not | Remarks |
|---|---|---|---|
| 1 | Investment in bonds debentures | FA | • Contractual right to receive cash. |
| 2 | Loans and receivables | FA | • Contractual right to receive cash. |
| 3 | Deposits given | FA | • Contractual right to receive cash. |
| 4 | Trade & other receivables | FA | • Contractual right to receive cash. |

| S. No. | Particulars | Whether FA or not | Remarks |
|---|---|---|---|
| 5 | Cash and cash equivalents | FA | • Specifically covered in the definition. |
| 6 | Bank balance | FA | • Contractual right to receive cash. |
| 7 | Investments in equity shares | FA | • Equity instrument of another entity. |
| 8 | Perpetual debt instruments<br>Eg. perpetual bonds, debentures and capital notes. | FA | • Such instruments provide the contractual right to receive interest for indefinite future or a right to return of principal under terms that make it very unlikely or very far in the future. |
| 9 | Physical assets<br>Eg. inventories, property, plant and equipment etc. | No | • Control of such assets does not create a present right to receive cash or another financial asset. |
| 10 | Right to use assets<br>Eg. Lease vehicle etc. | No | • Control of such assets does not create a present right to receive cash or another financial asset. |
| 11 | Intangibles<br>Eg. Patents, trademark etc. | No | • Control of such assets does not create a present right to receive cash or another financial asset. |
| 12 | Prepaid expenses<br>Eg. Prepaid insurance, prepaid rent etc. | No | • These instruments provide future economic benefit in the form of goods or services, rather than the right to receive cash. |
| 13 | Advance given for goods and services | No | • These instruments provide future economic benefit in the form of goods or services, rather than the right to receive cash. |

*ICAI example — facts and ICAI's analysis are printed together.*

## Q2 · Financial asset, financial liability, equity — definitions

SM Ch 11 Unit 1 · Illustration 1: Trade receivables · Notes §1 (p 1)

**Illustration 1: Trade receivables**

*A Ltd. makes sale of goods to customers on credit of 45 days. The customers are entitled to earn a cash discount @ 2% per annum if payment is made before 45 days and an interest @ 10% per annum is charged for any payments made after 45 days.*

*Evaluate whether such trade receivable are financial assets or not.*

### Solution — ICAI

**Solution**

A financial asset is an asset where there is a contractual right to receive cash or another financial asset from another entity.

In the above case, A Ltd. has the contractual right to receive cash /bank from its trade receivable recorded in its books of accounts, after the expiry of credit period of 45 days or earlier after passing discounts of 2 % per annum.

Hence, trade receivables would meet the definition of financial assets.

It may be noted that contractual right to receive cash includes contractual right to receipt of money in bank account or any wallet account.

## Q3 · Financial asset, financial liability, equity — definitions

SM Ch 11 Unit 1 · Illustration 2: Deposits · **Notes §1 (p 1)**

**Illustration 2: Deposits**

*Z Ltd. (the 'Company') makes sale of goods to customers on credit. Goods are carried in large containers for delivery to the dealers' destinations. All dealers are required to deposit a fixed amount of ₹ 10,000 as security for the containers, which is returned only when the contract with Company terminates. The deposits carry 8% per annum which is payable only when the contract terminates.*

*If the containers are returned by the dealers in broken condition or any damage caused, then appropriate adjustments shall be made from the deposits at the time of settlement.*

*How would such deposits be treated in books of the dealers?*

### Solution — ICAI

**Solution**

A financial asset is an asset where there is a contractual right to receive cash or another financial asset from another entity.

In the above case, such security deposits are receivable in cash at the end of contract period between the dealer and the Company.

Hence, they meet the definition of financial assets.

## Q4 · Financial asset, financial liability, equity — definitions

SM Ch 11 Unit 1 · Example 2 · Notes §1 (p 1)

**Example 2**

*Evaluate the financial Liability.*

| S. No. | Particulars | Whether FL or not | Remarks |
|---|---|---|---|
| 1 | Loans payable or bank loan | FL | • Contractual obligation to pay cash. |
| 2 | Trade and other payables | FL | • Contractual obligation to pay cash |
| 3 | Bills payable / acceptance | FL | • Contractual obligation to pay cash. |
| 4 | Deposits received | FL | • Contractual obligation to pay cash. |
| 5 | Mandatory redeemable preferences shares | FL | Contractual obligation to pay cash. |
| 6 | Financial guarantee given (Also see the scope section to understand when financial guarantee contract can be regarded as insurance contract) | FL | • Contractual obligation to pay cash, due to the occurrence of certain events. |

*ICAI example — facts and ICAI's analysis are printed together.*

## Q5 · Financial asset, financial liability, equity — definitions

SM Ch 11 Unit 1 · Illustration 4: Creditors for sale of goods · Notes §1 (p 1)

**Illustration 4: Creditors for sale of goods**

*A Ltd. (the 'Company') makes purchase of steel for its consumption in normal course of business. The purchase terms provide for payment of goods at 30 days credit and interest payable @ 12% per annum for any delays beyond the credit period.*

*Analyse whether the transaction leads to any financial instruments and if yes, then what is the nature of that financial instrument?*

### Solution — ICAI

**Solution**

A financial liability is any liability where there is a contractual obligation to deliver cash or other financial asset to another entity.

In the above case, A Ltd. has entered into a contractual arrangement for purchase of goods at a fixed consideration payable to the creditor. A contractual arrangement that provides for payment in fixed amount of cash to another entity meets the definition of financial liability.

## Q6 · Financial asset, financial liability, equity — definitions

ICAI Practice Questions · Ch 11 Q3 · **Notes §1 (p 1)**

3. State whether the following items meet the definition of Financial Asset or Financial Liability for an entity:

   (i) A bank advances an entity a five-year loan. The bank also provides the entity with an overdraft facility for a number of years.

   (ii) Entity A owns preference shares in Entity B. The preference shares entitle Entity A to dividends, but not to any voting rights.

   (iii) An entity has a present obligation in respect of income tax due for the prior year.

   (iv) In a lawsuit brought against an entity, a group of people is seeking compensation for damage to their health as a result of land contamination believed to be caused by waste from the entity's production process. It is unclear whether the entity is the source of the contamination since many entities operate in the same area and produce similar waste.

### Solution — ICAI

**3.** (i) The entity has two financial liabilities namely (a) the obligation to repay the five-year loan and (b) the obligation to repay the bank overdraft to the extent that it has borrowed using the overdraft facility. Both the loan and the overdraft result in contractual obligations for the entity to pay cash to the bank for the interest incurred and for the return of the principal.

(ii) For Entity B: The preference shares may be equity instruments or financial liabilities of Entity B, depending on their terms and conditions.

For Entity A: Irrespective of Entity B's treatment, the preference shares are a financial asset because the investment satisfies the definition of a financial asset.

(iii) An income tax liability is created as a result of statutory requirements imposed by the government. The rights and obligations are not created by a contract. Hence, the liability for income-tax dues is not a financial liability.

(iv) The fact that a lawsuit may result in the payment of cash does not create a financial liability for the entity because there is no contract between the entity and the affected group. The entity will need to consider providing for the payment as per Ind AS 37 'Provisions, Contingent Liabilities and Contingent Assets'.

## Q7 · Scope and own-use contracts

SM Ch 11 Unit 1 · Example 4 · Notes §2 (p 2)

**Example 4**

ABC Ltd. enters into a contract to buy 100 tonnes of cocoa beans at 1,000 per tonne for delivery in 12 months. On the settlement date, the market price for cocoa beans is 1,500 per tonne. If the contract cannot be settled net in cash and this contract is entered for delivery of cocoa beans in line with ABC Ltd.'s expected purchase/ usage requirements, then own-use exemption applies.

In such case, the contract is considered to be an executory contract outside the scope of Ind AS 109 and hence shall not be accounted as a derivative.

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# Ⓐ Adjustments in this topic — what to do

## Is it a financial asset / liability at all?

Notes §1 (p 1) · practise: Q1, Q4, Q6, Q5

**When:** *List of items to classify.*

1. *Needs a* ***contract*** *→ right to receive / obligation to deliver* ***cash or another financial asset****.*
2. *Not financial: income tax (statute), constructive obligations and lawsuits (Ind AS 37), PPE, inventory, prepaid expenses and advances for goods (benefit is goods/services), deferred revenue.*
3. *Investor side: shares / preference shares of another entity are always a financial asset, whatever the issuer calls them.*

***ICAI figures:*** *PQ Ch II Q3: loan + overdraft used → two financial liabilities; tax dues → not financial; contamination lawsuit → Ind AS 37.*

## Own-use contracts for non-financial items

Notes §2 (p 2) · practise: Q7, Q116

**When:** *Contract to buy/sell a commodity that can be settled net.*

1. *Held for the entity's own purchase/sale/usage and not net-settled in practice → executory contract, outside Ind AS 109.*
2. *Practice of net settlement, or of taking delivery and selling quickly → treat as a derivative (FVTPL).*

***ICAI figures:*** *Illus 14 (oil seeds): import contracts net-settled 30% → derivative; domestic contracts 1% net-settled → own use.*

# Ⓑ Liability or equity (Ind AS 32)

## Q8 · Obligation to deliver cash — liability or equity

SM Ch 11 Unit 1 · Illustration 3: Perpetual debt instruments · **Notes §1 table, §3 (p 1, 3)**

**Illustration 3: Perpetual debt instruments**

*A Ltd. issues a bond at principal amount of CU 1000 per bond. The terms of bond require annual payments in perpetuity at a stated interest rate of 8 per cent applied to the principal amount of CU 1,000. Assuming 8 per cent to be the market rate of interest for the instrument when it was issued, the issuer assumes a contractual obligation to make a stream of future interest payments having a fair value (present value) of CU1,000 on initial recognition.*

*Evaluate the financial instrument in the hands of both the holder and the issuer.*

### Solution — ICAI

**Solution**

A financial asset is an asset where there is a contractual right to receive cash or another financial asset from another entity.

- For the Holder – There is right to receive cash in future. Hence, it will be classified as a financial asset
- For the Issuer – There is contractual obligation to pay cash in future. However, the instrument is redeemed at the option of A Ltd. or on liquidation of A Ltd. Therefore, the instrument has characteristics of both equity and financial liability. Such an instrument is regarded as compound financial instrument (Ref. para 28 of Ind AS 32). See Unit 3 to understand accounting for compound financial instrument.

## Q9 · Obligation to deliver cash — liability or equity

SM Ch 11 Unit 1 · Illustration 5: Contract for exchange on unfavorable conditions · **Notes §1 table, §3 (p 1, 3)**

**Illustration 5: Contract for exchange on unfavorable conditions**

*A Ltd. (the 'Company') makes a borrowing for INR 10 lacs from RBC Bank, with bullet repayment of INR 10 lacs and an annual interest rate of 12% per annum. Now, Company defaults at the end of 5th year and consequently, a rescheduling of the payment schedule is made beginning 6th year onwards. The Company is required to pay INR 1,300,000 at the end of 6th year for one time settlement, in lieu of defaults in payments made earlier.*

*(a) Does the above instrument meet definition of financial liability? Please explain.*

*(b) Analyse the differential amount to be exchanged for one-time settlement.*

## Solution — ICAI

**Solution**

(a) A Ltd. has entered into an arrangement wherein against the borrowing, A Ltd. has contractual obligation to make stream of payments (including interest and principal). This meets definition of financial liability.

(b) Let's compute the amount required to be settled and any differential arising upon one time settlement at the end of 6th year –

- Loan principal amount = ₹ 10,00,000
- Amount payable at the end of 6th year = ₹ 12,54,400 [10,00,000 x 1.12 x 1.12 (Interest for 5th & 6th year in default plus principal amount)]
- One time settlement = INR 13,00,000
- Additional amount payable = ₹ 45,600

The above represents a contractual obligation to pay cash against settlement of a financial liability under conditions that are unfavorable to A Ltd. (owing to additional amount payable in comparison to amount that would have been paid without one time settlement). Hence the rescheduled arrangement meets definition of 'financial liability'.

## Q10 · Obligation to deliver cash — liability or equity

SM Ch 11 Unit 1 · Example 3 · Notes §1 table, §3 (p 1, 3)

**Example 3**

When a Company proposes dividend in its board meeting, no obligation arises because it becomes payable only post approval by shareholders in the annual general meeting. However, when the dividend is approved by shareholders in annual general meeting, the Company has taken an obligation to distribute dividend to its shareholders and hence it's a contractual obligation meeting the definition of financial liability.

- **Examples** of equity instruments include:
  - Non-puttable ordinary shares, for eg.: equity shares issued by companies
  - Some puttable instruments (if they meet requisite criteria and are not classified as financial liabilities);
  - Some instruments that impose on the entity an obligation to deliver to another party a pro rata share of the net assets of the entity only on liquidation (if they meet requisite criteria and are not classified as financial liabilities);
  - Some types of preference shares (where repayment and distribution is at the discretion of the Issuer);
  - Warrants or written call options that allow the holder to subscribe for or purchase a fixed number of non-puttable ordinary shares in the issuing entity in exchange for a fixed amount of cash or another financial asset.
- Basis the above definition of equity and characteristics of such instruments, let's evaluate some typical form of instruments that may be issued and how are they classified –
  - **Preference shares**

    Preference shares is a class of shares issued by Indian companies, whose terms may provide for redemption at a pre-determined amount with a fixed return which may be cumulative or discretionary. In determining whether a preference share is a financial liability or an equity instrument, an issuer assesses the particular rights attached to the share to determine whether it exhibits the fundamental characteristic of a financial liability or an equity instrument, as explained in the following table.

### (A) Redeemable preference shares:

| Redemption terms | Evaluation under Ind AS 32 |
|---|---|
| Redemption at a specified date | This contains a financial liability because the issuer has an obligation to transfer financial assets to the holder of the share. The potential inability of an issuer to satisfy an obligation to redeem a preference share when contractually required to do so, whether because of a lack of funds, a statutory restriction or insufficient profits or reserves, does not negate the obligation. **Hence, classified as 'financial liability'.** |
| Redemption at option of Holder | |
| Redemption at option of Issuer | An option of the issuer to redeem shares for cash does not satisfy the definition of a financial liability because the issuer does not have a present obligation to transfer financial assets to the shareholders. **Hence, classified as 'equity instrument'**.<br>An obligation may arise, however, when the issuer of the shares exercises its option, usually by formally notifying the shareholders of an intention to redeem the shares, at which time this instrument shall be reclassified from 'equity' to 'financial liability'. |

### (B) Non-redeemable preference shares

Non-redeemable preference shares may be issued by foreign subsidiaries or foreign branches or foreign associates or foreign joint operations or foreign joint ventures. In this case, appropriate classification is determined by the other rights that attach to them. Classification is based on an assessment of the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

- When distributions to holders of the preference shares, whether cumulative or non-cumulative, are at the discretion of the issuer, the shares are equity instruments.
- The classification of a preference share as an equity instrument or a financial liability is not affected by, for example:

  (a) a history of making distributions;

(b) an intention to make distributions in the future

(c) a possible negative impact on the price of ordinary shares of the issuer if distributions are not made (because of restrictions on paying dividends on the ordinary shares if dividends are not paid on the preference shares)

(d) the amount of the issuer's reserves

(e) an issuer's expectation of a profit or loss for a period; or

(f) an ability or inability of the issuer to influence the amount of its profit or loss for the period.

Hence, the contractual terms determine the nature of instrument. Any historical trend or ability of the Issuer does not affect the classification of an instrument as 'equity' or 'financial liability'.

**(C) Distributions on preference shares**

Other than the terms for redemption of financial instrument, another important point for consideration is whether the Company has an obligation to make payments of dividend ie, whether dividend on such preference shares are cumulative or non-cumulative.

- Where dividends are at the discretion of the issuer –this is akin to an equity instrument. However, where the instrument itself is redeemable, the obligation to pay still exists but only to the extent of the redemption value and not dividends on such shares unless they are declared.
- Where dividends are cumulative but payable only on liquidation–One needs to assess the key terms of the instrument to check if the entity has a contractual obligation:

  (a) **Where no contractual obligation exists to pay**– such preference shares may themselves be irredeemable and the dividend on such shares even if cumulative, the entity may be under no obligation to pay unless upon liquidation – then such preference shares may be classified as equity.

  (b) **Where contractual obligation exists –** In cases where the preference shares are not redeemable, it is like an equity instrument. But if they are entitled to dividend which is payable such that entity does not have an unconditional right to defer payment, then this provides the shareholders with a lender's return on the amount invested. This obligation is also not negated if the entity is unable to pay such dividend for lack of funds or insufficient distributable profits. Therefore, the obligation to pay dividend meets the definition of financial liability. The instrument in such cases shall have two components – financial liability represented by dividend and equity component represented by the issue price, such instruments are overall classified as 'compound financial instruments' and each of the components as mentioned above are accounted separately.

*ICAI example — facts and ICAI's analysis are printed together.*

## Q11 · Obligation to deliver cash — liability or equity

SM Ch 11 Unit 1 · Illustration 6: Preference shares with non-cumulative dividend · **Notes §1 table, §3 (p 1, 3)**

**Illustration 6: Preference shares with non-cumulative dividend**

*Silver Ltd. issued irredeemable preference shares with face value of ₹ 10 each and premium of ₹ 90. These shares carry dividend @ 8% per annum, however dividend is paid only when Silver Ltd declares dividend on equity shares. Analyse the nature of this instrument.*

### Solution — ICAI

**Solution**

In the above case, two main characteristics of the preference shares are:

(i) Preference shares carry dividend, which is payable only when Company declares dividend on equity shares

(ii) Preference share are irredeemable.

Analysing the definition of equity, an instrument meets definition of equity if:

(a) It contains no contractual obligation to pay cash; and

(b) Where an instrument shall be settled in own equity instruments, it's a non-derivative contract that will be settled only by issue of fixed number of shares or a derivative contract that will be settled by issue of fixed number of shares for a fixed amount of cash.

In the above instrument, there is no contractual obligation on the Company to pay cash since –

(i) Face value is not redeemable (except in case of liquidation); and

(ii) Dividend is payable only if Company declares dividend on equity shares. Since dividend on equity shares is discretionary and the Company can choose not to pay, Company has an unconditional right to avoid payment of cash on preference shares also.

Hence preference shares meet definition of equity instrument.

## Q12 · Obligation to deliver cash — liability or equity

SM Ch 11 Unit 3 · Illustration 1: Redeemable preference shares with mandatory dividend · **Notes §1 table, §3 (p 1, 3)**

**Illustration 1: Redeemable preference shares with mandatory dividend**

*A Ltd. (issuer) issues preference shares to B Ltd (holder). Those preference shares are redeemable at the end of 10 years from the date of issue and entitle the holder to a cumulative dividend of 15% p.a. The rate of dividend is commensurate with the credit risk profile of the issuer. Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

This instrument provides for mandatory fixed dividend payments and redemption by the issuer for a fixed amount at a fixed future date. Since there is a contractual obligation to deliver cash (for both dividends and repayment of principal) to the preference shareholder that cannot be avoided, the instrument is a financial liability in its entirety.

## Q13 · Obligation to deliver cash — liability or equity

SM Ch 11 Unit 3 · Illustration 2 : Redeemable debentures with discretionary dividend · Notes §1 table, §3 (p 1, 3)

**Illustration 2 : Redeemable debentures with discretionary dividend**

*X Co. Ltd. (issuer) issues debentures to Y Co. Ltd. (holder). Those debentures are redeemable at the end of 10 years from the date of issue. Interest of 15% p.a. is payable at the discretion of the issuer. The rate of interest is commensurate with the credit risk profile of the issuer. Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

This instrument has two components – (1) mandatory redemption by the issuer for a fixed amount at a fixed future date, and (2) interest payable at the discretion of the issuer.

The first component is a contractual obligation to deliver cash (for repayment of principal with or without premium, as per terms) to the debenture holder that cannot be avoided. This component of the instrument is a financial liability.

The second component of interest payable is discretion of the issuer and hence will be classified as equity. This is also discussed in detailed in the compound financial instrument section (Also refer Illustration 27 in the subsequent section).

## Q14 · Obligation to deliver cash — liability or equity

SM Ch 11 Unit 3 · Illustration 3: Perpetual loan with mandatory interest · Notes §1 table, §3 (p 1, 3)

**Illustration 3: Perpetual loan with mandatory interest**

*P Co. Ltd. (issuer) takes a loan from Q Co. Ltd. (holder). The loan is perpetual and entitles the holder to fixed interest of 8% p.a. Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

This instrument has two components – (1) mandatory interest by the issuer for a fixed amount at a fixed future date, and (2) perpetual nature of the principal amount.

The first component is a contractual obligation to deliver cash (for payment of interest) to the lender that cannot be avoided. This component of the instrument is a financial liability.

## Q15 · Obligation to deliver cash — liability or equity

SM Ch 11 Unit 3 · Illustration 4: Restriction on the ability of an entity to satisfy a contractual obligatio · Notes §1 table, §3 (p 1, 3)

**Illustration 4: Restriction on the ability of an entity to satisfy a contractual obligation**

*Does the lack of access to foreign currency or the need to obtain approval for payment from a regulatory authority, will lead to contractual obligation?*

### Solution — ICAI

**Solution**

Lack of access to foreign currency or the need to obtain approval for payment from a regulatory authority, does not negate the entity's contractual obligation or the holder's contractual right under the instrument.

## Q16 · Obligation to deliver cash — liability or equity

SM Ch 11 Unit 3 · Illustration 5: Optionally convertible redeemable preference shares · **Notes §1 table, §3 (p 1, 3)**

**Illustration 5: Optionally convertible redeemable preference shares**

*D Ltd. issues preference shares to G Ltd. The holder has an option to convert these preference shares to equity instruments of the issuer anytime up to a period of 10 years. If the option is not exercised by the holder, the preference shares are redeemed at the end of 10 years. Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

This instrument has two components – (1) contractual obligation that is conditional on holder exercising its right to redeem, and (2) conversion option with the holder.

The first component is a financial liability because the entity does not have the unconditional right to avoid delivering cash.

## Q17 · Obligation to deliver cash — liability or equity

SM Ch 11 Unit 3 · Illustration 6: Settlement alternative is non-financial obligation · **Notes §1 table, §3 (p 1, 3)**

**Illustration 6: Settlement alternative is non-financial obligation**

*LMN Ltd. issues preference shares to PQR Ltd. These preference shares are redeemable at the end of 5 years from the date of issue.*

*The instrument also provides a settlement alternative to the issuer whereby it can transfer a particular commercial building to the holder, whose value is estimated to be significantly higher than the cash settlement amount. Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

Such preference shares are financial liability because the entity can avoid a transfer of cash or another financial asset only by settling the non-financial obligation.

## Q18 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 1 · Illustration 7: Non-derivative contract to be settled in own equity instruments · **Notes §3 four boxes (p 3)**

**Illustration 7: Non-derivative contract to be settled in own equity instruments**

*A Ltd. invests in compulsorily convertible preference shares (CCPS) issued by its subsidiary – B Ltd. at ₹ 1,000 each (₹ 10 face value + ₹ 990 premium). Under the terms of the instrument, each CCPS is compulsorily convertible into one equity share of B Ltd at the end of 5 years. Such CCPS carry dividend @ 12% per annum, payable only when declared at the discretion of B Ltd. Evaluate this under definition of financial instrument.*

### Solution — ICAI

**Solution**

B Ltd. has issued CCPS which provide for –

(a) Conversion into fixed number of equity shares, ie, one equity share for every CCPS

(b) Non-cumulative dividends.

Applying the definition of 'equity' under Ind AS 32 –

(a) There is no contractual obligation to deliver cash or other financial asset. Dividends are payable only when declared and hence, at the discretion of the Issuer – B Ltd., thereby resulting in no contractual obligation over B Ltd.

(b) Conversion is into a fixed number of equity shares.

Hence, it meets definition of equity instrument and shall be classified as such in books of B Ltd.

## Q19 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 1 · Illustration 8: Settlement in variable number of shares · Notes §3 four boxes (p 3)

**Illustration 8: Settlement in variable number of shares**

*Target Ltd. took a borrowing from Z Ltd. for ₹ 10,00,000. Z Ltd. enters into an arrangement with Target Ltd. for settlement of the loan against issue of a certain number of equity shares of Target Ltd. whose value equals ₹ 10,00,000. For this purpose, fair value per share (to determine total number of equity shares to be issued) shall be determined based on the market price of the shares of Target Ltd. at a future date, upon settlement of the contract. Evaluate this under definition of financial instrument.*

### Solution — ICAI

**Solution**

In the above scenario, Target Ltd. is under an obligation to issue variable number of equity shares equal to a total consideration of ₹ 10,00,000. Hence equity shares are used as currency for purpose of settlement of an amount payable by Target Ltd.

Since this is variable number of shares to be issued in a non-derivative contract for fixed amount of cash, it tantamounts to use of equity shares as 'currency' and hence this contract meets the definition of financial liability in books of Target Ltd.

## Q20 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Example 1 · Notes §3 four boxes (p 3)

**Example 1**

PQR Ltd. issues a call option (i.e. an option to buy) to ABC Ltd. to subscribe to PQR Ltd.'s equity shares at a price of ₹ 100 per share. The call option is to be settled on a 'net' basis i.e. without physical delivery of shares. If at the balance sheet date, market value of equity share of PQR Ltd. is ₹ 110 per share, PQR Ltd. will be obliged to pay ₹ 10 to settle the option. Such a condition is potentially unfavourable to PQR Ltd. and hence ₹ 10 represents a financial liability for PQR Ltd.

*ICAI example — facts and ICAI's analysis are printed together.*

## Q21 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Illustration 12 : Issue of variable number of shares against issue of CCPS · **Notes §3 four boxes (p 3)**

**Illustration 12 : Issue of variable number of shares against issue of CCPS**

*A Ltd. issued compulsorily convertible preference shares (CCPS) at ₹ 100 each (₹ 10 face value + ₹ 90 premium per share) for ₹ 10,00,000. These are convertible into equity shares at the end of 10 years, where the number of equity shares to be issued shall be determined based on fair value per equity share to be determined at the time of conversion.*

*Evaluate if this is financial liability or equity? What if the conversion ratio was fixed at the time of issue of such preference shares?*

## Solution — ICAI

**Solution**

1. As per Ind AS 32, non-derivative contracts which will be settled against issue of variable number of own equity shares meet the definition of financial liability.

   In this case, A Ltd. has issued CCPS which are convertible into variable number of shares. Hence, it is akin to use of own equity shares as currency for settlement of the liability of CCPS issued. Accordingly, it meets the definition of financial liability.

   **Measurement –**

   **Initial measurement** – This shall be measured at fair value on date of transaction. Since A Ltd shall give shares worth ₹ 10 lacs at the end of 10 years which is equal to the amount borrowed on day 1, the liability is recognised at fair value, determined by discounting future settlement of the borrowed amount. For difference arising on day 1 between amount borrowed and that recognised as liability using level 3 inputs, it is deferred and recognised on a systematic basis over the period of liability.

   **Subsequent measurement** – Such liability shall be carried at fair value through profit or loss.

ii. Per Ind AS 109, a non-derivative contract that involves issue of fixed number of equity shares shall be classified as equity.

   In this case, if the conversion of CCPS was into a fixed number of equity shares at the end of 10 years, then it meets the definition of equity and hence, shall be classified as 'equity instrument'.

   An equity instrument is carried at cost and no further adjustments made to its carrying value after initial recognition.

## Q22 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Illustration 13: Conversion into a number of equity instruments equivalent to a fixed valu · Notes §3 four boxes (p 3)

**Illustration 13: Conversion into a number of equity instruments equivalent to a fixed value**

*CBA Ltd. issues convertible debentures to RQP Ltd. for a subscription amount of ₹ 100 crores. Those debentures are convertible after 5 years into equity shares of CBA Ltd. using a pre-determined formula. The formula is:*

$$\frac{100 \text{ crores } X \ (1+10\%)^5}{\text{Fair value on date of conversion}}$$

*Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

Such a contract is a financial liability of the entity even though the entity can settle it by delivering its own equity instruments. It is not an equity instrument because the entity uses a variable number of its own equity instruments as a means to settle the contract. The underlying thought behind this conclusion is that the entity is using its own equity instruments 'as currency'.

## Q23 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Illustration 14: Conversion into a fixed number of equity instruments · Notes §3 four boxes (p 3)

**Illustration 14: Conversion into a fixed number of equity instruments**

*DF Ltd. issues convertible debentures to JL Ltd. for a subscription amount of ₹ 100 crores. Those debentures are convertible after 5 years into 15 crore equity shares of ₹ 10 each.*

*Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

This contract is an equity instrument because changes in the fair value of equity shares arising from market related factors do not affect the amount of cash or other financial assets to be paid or received, or the number of equity instruments to be received or delivered.

## Q24 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Illustration 15: Written option for a fixed or variable number of equity instruments · Notes §3 four boxes (p 3)

**Illustration 15: Written option for a fixed or variable number of equity instruments**

*ST Ltd. purchases an option from AT Ltd. entitling the holder to subscribe to fixed number of equity shares of issuer at a fixed exercise price of ₹ 50 per share at any time during a period of 3 months. Holder paid an initial premium of ₹ 2 per option. Examine whether the financial instrument will be classified as equity.*

### Solution — ICAI

**Solution**

For the issuer AT Ltd., this option is an equity instrument as it will be settled by the exchange of a fixed amount of cash for a fixed number of its own equity instruments.

If, on the other hand, if the exercise price of the option was variable, say benchmarked to an index or a variable, the written option will be classified as a "financial liability" in the books of the issuer, AT Ltd.

## Q25 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Illustration 16: Written option with multiple exercise prices · Notes §3 four boxes (p 3)

**Illustration 16: Written option with multiple exercise prices**

*WC Ltd. writes an option in favour of GT Ltd. wherein the holder can purchase issuer's equity instruments at prices that fluctuate in response to the share price of issuer.*

*As per the terms, if the share price of issuer is less than ₹ 50 per share, option can be exercised at ₹ 40 per share. If the share price is equal to or more than ₹ 50 per share, option can be exercised at ₹ 60 per share. Explain the nature of the financial instrument.*

### Solution — ICAI

**Solution**

As the contract will be settled by delivery of fixed number of instruments for a variable amount of cash, it is a financial liability.

## Q26 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Illustration 17: Share swap arrangements · Notes §3 four boxes (p 3)

**Illustration 17: Share swap arrangements**

*Acquirer Ltd. enters into an arrangement with shareholders of Target Ltd. wherein Acquirer Ltd. will purchase shares of Target Ltd. in a share swap arrangement against a variable amount of cash i.e. market value of Target Ltd.'s equity shares. The share swap ratio is agreed as 1:5 i.e. 1 equity share of Acquirer Ltd. for every 5 equity shares held in Target Ltd. Examine whether the financial instrument will be classified as equity.*

### Solution — ICAI

**Solution**

Such arrangements will not meet the condition for classification as "equity instrument" since the contract will be settled by delivery of fixed number of Acquirer Ltd.'s own equity instruments against a variable amount of cash i.e. market value of Target Ltd.'s equity shares.

Such a contract will likely result in a derivative liability or asset for both the parties.

## Q27 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Illustration 18: Conversion ratio changes with time · **Notes §3 four boxes (p 3)**

**Illustration 18: Conversion ratio changes with time**

*On 1 January 20X1, NKT Ltd. subscribes to convertible preference shares of VT Ltd. The conversion ratio varies as below:*

*Conversion upto 31 March 20X1: 1 equity share of VT Ltd. for each preference share held*

*Conversion upto 30 June 20X1: 1.5 equity share of VT Ltd. for each preference share held*

*Conversion upto 31 December 20X1: 2 equity share of VT Ltd. for each preference share held.*

*Examine whether the financial instrument will be classified as equity.*

### Solution — ICAI

**Solution**

The convertible preference shares can be classified as "equity instrument" in the books of the issuer, VT Ltd. The conversion ratio doesn't change corresponding to any underlying variable, it only varies in response to passage of time which is a certain event and hence fixed.

## Q28 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Illustration 19: Conversion ratio changes to protect rights of convertible instrument · **Notes §3 four boxes (p 3)**

**Illustration 19: Conversion ratio changes to protect rights of convertible instrument holders**

*On 1 January 20X1, HT Ltd. subscribes to convertible preference shares of RT Ltd. The preference shares are convertible in the ratio of 1:1.*

*The terms of the instrument entitle HT Ltd. to proportionately more equity shares of RT Ltd. in case of a stock split or bonus issue. Examine whether the financial instrument will be classified as equity.*

### Solution — ICAI

**Solution**

The convertible preference shares can be classified as "equity instrument" in the books of the issuer, RT Ltd. The variability in the conversion ratio is only to protect the rights of the holder of convertible instrument vis-à-vis other equity shareholders.

The conversion was always intended to be in a fixed ratio and hence the holder is exposed to the change in equity value. The variability is brought in to maintain holder's exposure in line with other holders.

## Q29 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Illustration 20: Conversion ratio changes if issuer subsequently issues shares to others a · Notes §3 four boxes (p 3)

**Illustration 20: Conversion ratio changes if issuer subsequently issues shares to others at a lower price**

*On 1 January 20X1, PG Ltd. subscribes to convertible preference shares of BG Ltd. at ₹ 100 per preference share. The preference shares are convertible in the ratio of 10:1 i.e. 10 equity shares for each preference share held. On a fully diluted basis, PG Ltd. is entitled to 30% stake in BG Ltd.*

*If subsequent to the issuance of these convertible preference shares, BG Ltd. issues any equity instruments at a price lower than ₹ 10 per share, conversion ratio will be changed to compensate PG Ltd. for dilution in its stake below the expected dilution at a price of ₹ 10 per share. Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

The convertible preference shares will be classified as "financial liability" in the books of the issuer, BG Ltd. The variability in the conversion ratio underwrites the return on preference shares and not just protects the rights of convertible instrument holders vis-à-vis equity shareholders.

## Q30 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Illustration 21: Conversion ratio is variable in a narrow range · Notes §3 four boxes (p 3)

**Illustration 21: Conversion ratio is variable in a narrow range**

*On 1 January 20X1, NG Ltd. subscribes to convertible preference shares of AG Ltd. at ₹ 100 per preference share. On a fully diluted basis, NG Ltd. is entitled to 30% stake in AG Ltd.*

*The preference shares are convertible at fair value, subject to, NG Ltd.'s stake not going below 15% and not going above 40%. Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

The convertible preference shares will be classified as "financial liability" in the books of the issuer, AG Ltd. The variability in the conversion ratio underwrites the return on preference shares to an extent and also restricts that return. The preference shareholder is not entitled to residual net assets of the issuer.

In certain situations, an instrument is convertible only at the option of issuer. While such instruments provide the issuer with an unconditional right to avoid payment of cash, it is important

to understand the economic substance of the option. It is also very important to determine whether the option is exercised by the issuer or by shareholders acting in their capacity as instrument holders.

For example, if the convertible instrument is held by the equity shareholders of the issuer and the conversion requires unanimous consent of all the shareholders, it would be inappropriate to consider that the issuer has an unconditional right to avoid payment of cash. In this situation, it would be more relevant to consider the rights of the instrument holders in their capacity as equity shareholders of the issuer.

## Q31 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Illustration 22: Conversion ratio changes under independent scenarios · **Notes §3 four boxes (p 3)**

**Illustration 22: Conversion ratio changes under independent scenarios**

*On 1 January 20X1, STAL Ltd. subscribes to convertible preference shares of ATAL Ltd.*

*The preference shares are convertible as below:*

*Convertible 1:1 if another strategic investor invests in the issuer within one year*

*Convertible 1.5:1: if a prospectus filing is successfully completed within 2 years*

*Convertible 2:1: if a binding agreement for sale of majority stake by equity shareholders is entered into within 3 years*

*Convertible 3:1: if none of these events occur in 3 years' time.*

*Examine whether the financial instrument will be classified as equity.*

### Solution — ICAI

**Solution**

In this case the four events can be viewed as discrete because the achievement of each one of these can occur independently of the other (as they relate to different periods). The arrangement can therefore be considered to be economically equivalent to four separate contracts. The price per share and the amount of shares to be issued is fixed in each of these discrete periods, with each event relating to a different year and therefore a separate risk. The "fixed for fixed" test is therefore met.

The instrument is therefore classified as "equity instrument".

## Q32 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Illustration 23: Conversion ratio changes under inter-dependent scenarios · **Notes §3 four boxes (p 3)**

**Illustration 23: Conversion ratio changes under inter-dependent scenarios**

On 1 January 20X1, RHT Ltd. subscribes to convertible preference shares of RDT Ltd.

The preference shares are convertible as below:

Convertible 1:1 if another strategic investor invests at an enterprise valuation (EV) of USD 100 million.

Convertible 1.5:1: if another strategic investor invests at EV of USD 150 million

Convertible 2:1: if another strategic investor invests at EV of USD 200 million

Convertible 3:1: if no strategic investment is made within a period of 3 years

Examine the nature of the financial instrument.

### Solution — ICAI

**Solution**

The four events are interdependent because the second event cannot be met without also meeting the first event, and the third event cannot be met unless the first two are met.

Therefore, this contract should be treated as a single instrument when applying the "fixed for fixed" test. The test is then failed because the number of shares to be exchanged for cash are variable.

## Q33 · Settlement in own shares — fixed-for-fixed

SM Ch 11 Unit 3 · Illustration 24: Foreign currency convertible bond · Notes §3 four boxes (p 3)

**Illustration 24: Foreign currency convertible bond**

*Entity A issues a bond with face value of USD 100 and carrying a fixed coupon rate of 6% p.a. Each bond is convertible into 1,000 equity shares of the issuer. Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

While the number of equity shares is fixed, the amount of cash is not. The variability in cash arises on account of fluctuation in exchange rate of INR-USD. Such a foreign currency convertible bond (FCCB) will qualify the definition of "financial liability".

However, Ind AS 32.11 provides, "the equity conversion option embedded in a convertible bond denominated in foreign currency to acquire a fixed number of the entity's own equity instruments is an equity instrument if the exercise price is fixed in any currency." Accordingly, FCCB will be treated as an "equity instrument".

But one cannot ignore the fixed coupon rate of 6% which is an obligation to deliver cash and therefore, financial liability. Accordingly, FCCBs under Ind AS 32 shall be classified as compound financial instruments if the interest liability is to be delivered in cash or shares in lieu of cash.

## Q34 · Puttable instruments exception

SM Ch 11 Unit 3 · Illustration 7: Cap on amount payable on liquidation · Notes §3 puttables (p 4)

**Illustration 7: Cap on amount payable on liquidation**

*ABC Ltd. has two classes of puttable shares – Class A shares and Class B shares. On liquidation, Class B shareholders are entitled to a pro rata share of the entity's residual assets up to a maximum of ₹ 10,000,000.*

*There is no limit to the rights of the Class A shareholders to share in the residual assets on liquidation. Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

The cap of ₹ 10,000,000 means that Class B shares do not have entitlement to a pro rata share of the residual assets of the entity on liquidation. They cannot therefore be classified as equity.

## Q35 · Puttable instruments exception

SM Ch 11 Unit 3 · Illustration 8: Investment manager's share in a mutual fund · Notes §3 puttables (p 4)

**Illustration 8: Investment manager's share in a mutual fund**

*Mutual Fund X has an Investment Manager Y. At the inception of the fund, Y had invested a nominal or token amount in units of X. Such units rank last for repayment in the event of liquidation. Accordingly, they constitute the most subordinate class of instruments. Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

The units held by Y holders are classified as equity as they are most subordinate class of instruments and will be entitled to residual interest.

However, the units held by other unit holders are classified as financial liability as they are not the most subordinate class of instruments – they are entitled to pro rate share of net assets on liquidation, and their claim has a priority over claims of Y.

It may be noted that the most subordinate class of instruments may consist of two or more legally separate types of instruments.

## Q36 · Puttable instruments exception

SM Ch 11 Unit 3 · Illustration 9: Differential voting rights · Notes §3 puttables (p 4)

**Illustration 9: Differential voting rights**

*T Motors Ltd. has issued puttable ordinary shares and puttable 'A' ordinary shares whereby holders of ordinary shares are entitled to one vote per share whereas holders of 'A' ordinary shares are not entitled to any voting rights. The holders of two classes of shares are equally entitled to receive share in net assets upon liquidation. Examine whether the financial instrument will be classified as equity.*

### Solution — ICAI

**Solution**

Neither of the two classes of puttable shares can be classified as equity, as they do not have identical features due to the difference in voting rights. It is not possible for T Motors Ltd. to achieve equity classification of the ordinary shares by designating them as being more subordinate than the 'A' ordinary shares, as this does not reflect the fact that the two classes of share are equally entitled to share in entity's residual assets on liquidation.

## Q37 · Puttable instruments exception

SM Ch 11 Unit 3 · Illustration 10: Conversion into a variable number of equity instruments · Notes §3 puttables (p 4)

**Illustration 10: Conversion into a variable number of equity instruments**

*S Ltd. has issued a class of puttable ordinary shares to T Ltd. Besides the put option (which is consistent with other classes of ordinary shares), T Ltd. is also entitled to convert the class of ordinary shares held by it into equity instruments of S Ltd. whose number will vary as per the market value of S Ltd. Examine whether the financial instrument will be classified as equity.*

### Solution — ICAI

**Solution**

The shares cannot qualify for equity classification in their entirety as in addition to the put option there is also a contractual obligation to settle the instrument in variable number of entity's own equity instruments.

## Q38 · Puttable instruments exception

SM Ch 11 Unit 3 · Illustration 11: Management fee contract between issuer and puttable instrument · **Notes §3 puttables (p 4)**

**Illustration 11: Management fee contract between issuer and puttable instrument holder**

*P Ltd. has issued puttable ordinary shares to Q Ltd. Q Ltd. has also entered into an asset management contract with P Ltd. whereby Q Ltd. is entitled to 50% of the profit of P Ltd. Normal commercial terms for similar contracts will entitle the service provider to only 4%-6% of the net profits. Examine whether the financial instrument will be classified as equity.*

### Solution — ICAI

**Solution**

The puttable ordinary shares cannot qualify for equity classification as (a) in addition to the put option, there is another contract between the issuer (P Ltd.) and holder of puttable instrument (Q Ltd.) whose cash flows are based substantially on profit or loss of issuer, (b) whose contractual terms are not similar to a contract between a non-instrument holder and issuer and (c) it has the effect of substantially restricting return on puttable ordinary shares.

# Ⓑ Adjustments in this topic — what to do

## Liability or equity — cash obligation

Notes §1 table, §3 (p 1, 3) · practise: Q12, Q13, Q14, Q11, Q15, Q17

**When:** Preference shares, debentures, perpetual loans.

1. Can the issuer **avoid** paying cash? No → liability (lack of funds, profits or approvals does not help).
2. Redeemable on a fixed date / at holder's option → liability. Issuer's option → equity until it notifies.
3. Dividend mandatory → that stream is a liability; discretionary → equity.
4. Both features present → compound (Group C).

**ICAI figures:** Illus 6 (Unit 1): irredeemable, 8% dividend only if equity dividend paid → **equity**. Illus 3 (Unit 3): perpetual loan, mandatory 8% → liability for the interest.

## Settlement in own shares — fixed-for-fixed

Notes §3 (p 3) · practise: Q19, Q22, Q23, Q29, Q33

**When:** Contract will be settled by issuing own shares.

1. Shares worth a fixed amount (variable number) → shares used as currency → **liability**.
2. Fixed number of shares for a fixed amount → **equity**.
3. Conversion ratio changes: only time-based, or anti-dilution for splits/bonus → still fixed; down-round protection, FV-based band, inter-dependent targets → liability.
4. FCCB (Ind AS carve-out): fixed shares for fixed foreign-currency amount → equity component.

**ICAI figures:** Illus 13: 100 cr converts into shares worth 100 cr → liability. Illus 14: 100 cr into 15 cr shares → equity.

## Puttable instruments — the exception

Notes §3 puttables (p 4) · practise: Q34, Q35, Q36, Q37, Q38

**When:** Holder can put the share back (mutual fund units, co-operatives).

1. Equity only if all: pro-rata share of net assets on liquidation, most subordinate class, identical features, no other cash obligation, returns based on profit / net assets, no other contract fixing the holder's return.

**ICAI figures:** Illus 7: Class B capped at ₹ 1 crore on liquidation → not equity. Illus 11: management fee of 50% of profit → fails.

# © Compound instruments

## Q39 · Compound instruments — split, conversion, redemption

SM Ch 11 Unit 3 · Illustration 25: Redeemable debentures with discretionary dividend (continued from · Notes §4 (p 4–5)

**Illustration 25: Redeemable debentures with discretionary dividend (continued from Illustration 2)**

*X Co. Ltd. (issuer) issues debentures to Y Co. Ltd. (holder). Those debentures are redeemable at the end of 10 years from the date of issue. Interest of 15% p.a. is payable at the discretion of the issuer. The rate of interest is commensurate with the credit risk profile of the issuer. Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

This instrument has two components – (1) mandatory redemption by the issuer for a fixed amount at a fixed future date, and (2) interest payable at the discretion of the issuer.

The first component is a contractual obligation to deliver cash (for repayment of principal with or without premium, as per terms) to the debenture holder that cannot be avoided. This component of the instrument is a financial liability.

The other component, discretionary interest is an equity feature because issuer can avoid payment of cash or another financial asset in this respect.

Therefore, this instrument is concluded to be a compound financial instrument.

## Q40 · Compound instruments — split, conversion, redemption

SM Ch 11 Unit 3 · Illustration 26: Perpetual loan with mandatory interest (continued from Illustration 3) · Notes §4 (p 4–5)

**Illustration 26: Perpetual loan with mandatory interest (continued from Illustration 3)**

*P Co. Ltd. (issuer) takes a loan from Q Co. Ltd. (holder). The loan is perpetual and entitles the holder to fixed interest of 8% p.a. Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

This instrument has two components – (1) mandatory interest by the issuer for a fixed amount at a fixed future date, and (2) perpetual nature of the principal amount.

The first component is a contractual obligation to deliver cash (for payment of interest) to the lender that cannot be avoided. This component of the instrument is a financial liability.

The other component, perpetual principal, is an equity feature because issuer is not required to pay cash or another financial asset in this respect.

Therefore, this instrument is concluded to be a compound financial instrument.

## Q41 · Compound instruments — split, conversion, redemption

SM Ch 11 Unit 3 · Illustration 27: Optionally convertible redeemable preference shares (continued from · Notes §4 (p 4-5)

**Illustration 27: Optionally convertible redeemable preference shares (continued from Illustration 5)**

*D Ltd. issues preference shares to G Ltd. The holder has an option to convert these preference shares to equity instruments of the issuer anytime up to a period of 10 years. If the option is not exercised by the holder, the preference shares are redeemed at the end of 10 years. Examine the nature of the financial instrument.*

### Solution — ICAI

**Solution**

This instrument has two components – (1) contractual obligation that is conditional on holder exercising its right to redeem, and (2) conversion option with the holder.

The first component is a financial liability because the entity does not have the unconditional right to avoid delivering cash.

The other component, conversion option with the holder, is an equity feature if the "fixed for fixed" test is satisfied. If the conversion option does not fulfil that test, say, because the conversion ratio varies in response to an underlying variable, it is a derivative liability.

Such an instrument is called a "hybrid instrument".

## Q42 · Compound instruments — split, conversion, redemption

SM Ch 11 Unit 3 · Illustration 28: Perpetual loan with mandatory interest (continued from Illustration 3) · Notes §4 (p 4-5)

**Illustration 28: Perpetual loan with mandatory interest (continued from Illustration 3)**

*P Co. Ltd. (issuer) takes a loan from Q Co. Ltd. (holder) for ₹ 12 lakhs. The loan is perpetual and entitles the holder to fixed interest of 8% p.a. The rate of interest commensurate with credit risk profile of the issuer is 12% p.a. Calculate the value of the liability and equity components.*

### Solution — ICAI

**Solution**

The values of the liability and equity components are calculated as follows:

Present value of interest payable in perpetuity (₹ 96,000 discounted at 12%) = ₹ 800,000

Therefore, equity component = fair value of compound instrument, say, ₹ 1,200,000 less financial liability component i.e. ₹ 800,000 = ₹ 400,000.

In subsequent years, the profit and loss account is charged with interest of 12% on the debt instrument.

## Q43 · Compound instruments — split, conversion, redemption

SM Ch 11 Unit 3 · Illustration 29: Optionally convertible redeemable preference shares (continued from · Notes §4 (p 4-5)

**Illustration 29: Optionally convertible redeemable preference shares (continued from Illustration 27)**

*On 1 July 20X1, D Ltd. issues preference shares to G Ltd. for a consideration of ₹ 10 lakhs. The holder has an option to convert these preference shares to a fixed number of equity instruments of the issuer anytime up to a period of 3 years. If the option is not exercised by the holder, the*

*preference shares are redeemed at the end of 3 years. The preference shares carry a fixed coupon of 6% p.a. and is payable every year. The prevailing market rate for similar preference shares, without the conversion feature, is 9% p.a.*

*Calculate the value of the liability and equity components.*

## Solution — ICAI

**Solution**

The values of the liability and equity components are calculated as follows:

Present value of principal payable at the end of 3 years (₹ 10 lakhs discounted at 9% for 3 years) = ₹ 772,183

Present value of interest payable in arrears for 3 years (₹ 60,000 discounted at 9% for each of 3 years) = ₹ 151,878

Total financial liability = ₹ 924,061

Therefore, equity component = fair value of compound instrument, say, ₹ 1,000,000 less financial liability component i.e. ₹ 924,061 = ₹ 75,939.

In subsequent years, the profit and loss account is charged with interest of 9% on the debt instrument.

## Q44 · Compound instruments — split, conversion, redemption

SM Ch 11 Unit 3 · Illustration 30: Optionally convertible preference shares with issuer's redemption option · Notes §4 (p 4-5)

**Illustration 30: Optionally convertible preference shares with issuer's redemption option**

*D Ltd. issues preference shares to G Ltd. for a consideration of ₹ 10 lakhs. The holder has an option to convert these preference shares to a fixed number of equity instruments of the issuer anytime up to a period of 3 years. If the option is not exercised by the holder, the preference shares are redeemed at the end of 3 years. The preference shares carry a coupon of RBI base rate plus 1% p.a. and is payable at the end of every year.*

*The prevailing market rate for similar preference shares, without the conversion feature or issuer's redemption option, is RBI base rate plus 4% p.a. On the date of contract, RBI base rate is 9% p.a.*

*Calculate the value of the liability and equity components.*

## Solution — ICAI

**Solution**

The values of the liability and equity components are calculated as follows:

Present value of principal payable at the end of 3 years (₹ 10 lakhs discounted at 13% for 3 years) = ₹ 6,93,050

Present value of interest payable in arrears for 3 years (₹ 100,000 discounted at 13% for each of 3 years) = ₹ 2,36,115

Paragraph AG 31 of Ind AS 32 states that a common form of compound financial instruments is a debt instrument with an embedded conversion option, such as a bond convertible into ordinary shares of the issuer, and without any other embedded derivatives features.

The liability component = Present value of principal + Present value of Interest

= ₹ 6,93,050 + ₹ 2,36,115 = ₹ 9,29,165

Equity Component = ₹ 10,00,000 – ₹ 9,29,165 = ₹ 70,835

## Q45 · Compound instruments — split, conversion, redemption

SM Ch 11 Unit 3 · Illustration 31: Instrument convertible only at the option of issuer · Notes §4 (p 4–5)

**Illustration 31: Instrument convertible only at the option of issuer**

*XYZ Ltd. issues optionally convertible debentures with the following terms:*

*The debentures carry interest at the rate of 7% p.a.*

*Issuer has option to either:*

*Convert the instrument into a fixed number of its own shares at any time, or redeem the instrument in cash at any time. The redemption price is the fair value of the fixed number of shares into which the instrument would have converted if it had been converted.*

*The holder has no conversion or redemption options.*

*Debentures have a tenor of 12 years and, if not converted or redeemed earlier, will be repaid in cash at maturity, including accrued interest, if any.*

*Examine the nature of the financial instrument.*

## Solution — ICAI

**Solution**

The issuer has the ability to convert the debentures into a fixed number of its own shares at any time. The issuer, therefore, has the ability to avoid making a cash payment or settling the debentures in a variable number of its own shares. Therefore, such a financial instrument is likely to be classified as equity.

However, it must be noted that mere existence of a right to avoid payment of cash is not conclusive. The instrument is to be accounted for as per its substance and hence it needs to be seen whether the conversion option is substantive.

In this particular situation, the issuer will need to determine whether it is favourable to exercise the conversion option or redemption option. In case of latter, the instrument will be classified as a financial liability (a hybrid instrument, whose measurement is dealt with in a subsequent section).

Practical situations do arise wherein the issuer has an option or obligation to issue own equity instruments only in particular circumstances i.e. the instrument is contingently convertible.

## Q46 · Compound instruments — split, conversion, redemption

SM Ch 11 Unit 3 · Illustration 32: Optionally convertible redeemable preference shares (continued from · Notes §4 (p 4-5)

**Illustration 32: Optionally convertible redeemable preference shares (continued from Illustration 29)**

*The amortisation schedule of the instrument is set out below:*

| Dates | Cash flows | Finance cost at effective interest rate | Liability | Equity |
|---|---|---|---|---|
| 1July 20X1 | 1,000,000 | - | 9,24,061 | 75,939 |
| 30 June 20X2 | (60,000) | 83,165 | 9,47,226 | 75,939 |
| 30 June 20X3 | (60,000) | 85,250 | 9,72,476 | 75,939 |
| 30 June 20X4 | (10,60,000) | 87,524 | - | 75,939 |

*Assume that D Ltd. has an early redemption option to prepay the instrument at ₹ 11 lakhs and on 30 June 20X3, it exercises that option. At 30 June 20X3, the interest rate has changed. At that time, D Ltd. could have issued a one-year (i.e. maturity 30 June 20X4) non-convertible instrument at 5%. Calculate the value of the liability and equity components.*

## Solution — ICAI

**Solution**

Ind AS 32 requires that the amount paid (of ₹ 11 lakhs) is split by the same method as is used in the initial recording. However, at 30 June 20X3, the interest rate has changed. At that time, D Ltd. could have issued a one-year (i.e. maturity 30 June 20X4) non-convertible instrument at 5%.

The split will be made as below:

| Particulars | Amount (₹) |
|---|---|
| Present value of principal payable at 30 June 20X4 in one year's time (₹ 10 lakhs discounted at 5% for one year) | 9,52,381 |
| Present value of interest payable (₹ 60,000 discounted at 5% for one year) | 57,142 |
| Total liability component | 10,09,523 |
| Consideration paid | 11,00,000 |
| Residual – equity component | 90,477 |

Accordingly, the difference between consideration allocated to liability component (₹ 10,09,523) less carrying amount of financial liability on date of redemption i.e. 30 June 20X3 (₹ 9,72,476), amounting to ₹ 37,047 is recognised in profit or loss.

The residual i.e. consideration allocated to equity component is recognised in equity.

## Q47 · Compound instruments — split, conversion, redemption

SM Ch 11 · Test Your Knowledge Q4 · Notes §4 (p 4-5)

4. K Ltd. issued 500,000, 6% convertible debentures @ ₹ 10 each on 01 April 20X1. The debentures are due for redemption on 31 March 20X5 at a premium of 10%, convertible into 2,50,000 equity shares of Rs. 10 each i.e. to the extent of 50% and balance to be settled in cash to the debenture holders. The interest rate on equivalent debentures without conversion rights was 10%.

   You are required to separate the debt and equity components at the time of issue and show the accounting entries in Company's books at initial recognition. The following present values of Re 1 at 6% and at 10% are provided:

| Interest rate | Year 1 | Year 2 | Year 3 | Year 4 |
|---|---|---|---|---|
| 6% | 0.94 | 0.89 | 0.84 | 0.79 |
| 10% | 0.91 | 0.83 | 0.75 | 0.68 |

## Solution — ICAI

**4.** Computation of debt component of convertible debentures on 01 April 20X1

| Particulars | | Amount |
|---|---|---|
| Present value of principal amount repayable after 4 years | | |
| (A) | 5,000,000 x 50% x 1.10 x 0.68 (10% discount factor) | 1,870,000 |
| (B) | Present value of interest [300,000 x 3.17] (4 years cumulative 10% discount factor) | 951,000 |
| Total present value of debt component (A) + (B) | | 2,821,000 |

| | |
|---|---|
| Issue proceeds from convertible debentures | 5,000,000 |
| Value of equity component | 2,179,000 |

**Journal entry at initial recognition**

| Particulars | | Dr. Amount (₹) | Cr. Amount (₹) |
|---|---|---|---|
| Bank A/c | Dr. | 5,000,000 | |
| To 6% debenture A/c (liability component) | | | 2,821,000 |
| To 6% debenture A/c (equity component) | | | 2,179,000 |
| (Being disbursement recorded at fair value) | | | |

***Same type — not repeated here.*** *What changes in each:*

→ ***SM Ch 11 · Test Your Knowledge Q5*** *— 8% convertible loan 6,00,000 at par, redeemable at par in 4 years; market 10% → liability* ***5,60,160****, equity* ***39,840****; then interest at 10% for 20X1-X2 (paid 48,000).*

## Q48 · Compound instruments — split, conversion, redemption

ICAI Practice Questions · Ch 11 Q1 · Notes §4 (p 4-5)

1. On 1st April, 2X01, Entity X issued a 10% convertible debenture with a face value of ₹ 1,000 maturing on 31st March, 2X11. The debenture is convertible into ordinary shares of Entity X at a conversion price of ₹ 50 per share. Interest is payable yearly in cash. On 1st April, 2X02, to induce the holder to convert the convertible debenture promptly, Entity X reduces the conversion price to ₹ 40 if the debenture is converted before 1st June, 2X02 (ie, within 60 days). The market price of Entity X's ordinary shares on the date the terms are amended is ₹ 80 per share. How will the revised terms be accounted?

### Solution — ICAI

1. The fair value of the incremental consideration paid by Entity X is calculated as follows:

| Number of ordinary shares to be issued to debenture holders under amended terms | | | |
|---|---|---|---|
| **Particulars** | | | |
| Face value | | | ₹ 1,000 |
| New conversion price | | ₹ 40 per share | |
| Number of ordinary shares to be issued to | 1,000 / ₹ 40 | | 25 |

| | | | |
|---|---|---|---|
| debenture holders under amended terms | | | Shares |
| **Number of ordinary shares to be issued to debenture holders under original terms** | | | |
| Face value | | | ₹ 1,000 |
| Original conversion price | | ₹ 50 per share | |
| Number of ordinary shares to be issued to debenture holders under original terms | 1,000 / ₹ 50 | | 20 Shares |
| Number of additional shares to be issued to debenture holders under amended terms | | | 5 Shares |
| **Value of additional shares upon conversion (to be recognised as loss in P&L)** | | | |
| 5 shares x ₹ 80 per share | | | ₹ 400 |

## Q49 · Compound instruments — split, conversion, redemption

ICAI Practice Questions · Ch 11 Q2 · Notes §4 (p 4-5)

2. ABC Ltd. issues 4% 1,00,000 OCPS at a face value of ₹ 100 per share on 1st April, 20X1 and these are redeemable after 5 years, ie, on 31st March, 20X6. Dividend is non-cumulative. Each preference shares entitles the holders to 10 equity shares and the preference shares are optionally convertible by the holder at any time until maturity.

   How will the preference shares be classified at initial recognition assuming that a comparable instrument carries a market interest rate of 7%? Provide journal entries for year 1. Will this classification be changed subsequently in case there is likelihood that OCPS will be encashed at the end of the maturity period?

### Solution — ICAI

**2.** The OCPS is redeemable at the end of the 5th year. Hence, the preference share contains a liability component. Further the dividend payable on the preference shares is non-cumulative. The holder may also be able to convert the preference shares at his option any time until maturity.

Paragraph AG 37 of Ind AS 32, *Financial Instruments: Presentation* states that non-cumulative dividends paid at the discretion of the issuer entity is part of equity element.

Paragraph 29 of Ind AS 32, *Financial Instruments: Presentation*, requires separate recognition of components of a financial instrument that (a) creates a financial liability of the entity; and (b) grants an option to the holder of the instrument to convert it into fixed number of equity instruments of the entity.

From the above paragraphs it is clear that OCPS issued by ABC Ltd. has a financial liability component as well as an equity component, making it a compound financial instrument.

As per paragraph 32, in case of compound financial instruments, the issuer first determines the carrying amount of the financial liability component by measuring the fair value of a similar liability that does not have an associated equity component. The carrying amount of the equity represented by (a) non-cumulative dividend feature and (b) option to convert the preference shares for fixed number of pre-determined ordinary shares is then determined by deducting the fair value of the financial liability component from the fair value of the compound financial instrument as a whole.

**Measurement and recognition (Calculations have been done at full scale):**

At 7% market rate of interest, the fair value of the financial liability component of the OCPS is ₹ 71,29,862 [100,000 OCPS x ₹ 100 x (1/ (1+7%))$^5$]

The fair value of the equity component is (residual value) ₹ 28,70,138 [₹ 1,00,00,000 - ₹ 71,29,862]

**Journal Entries**

| | | | | |
|---|---|---|---|---|
| 1st April, 20X1 | **On Initial recognition** | | | |
| | Bank | Dr. | 1,00,00,000 | |
| | To OCPS (Financial liability) | | | 71,29,862 |
| | To OCPS (Equity) | | | 28,70,138 |
| | (Being OCPS issued and recognised) | | | |
| 31st March, 20X2 | **Interest expense – unwinding of discount** | | | |
| | Interest expense@7% (Refer W.N.) | Dr. | 4,99,090 | |
| | To OCPS (Financial liability) | | | 4,99,090 |
| | (Being interest recorded as per EIR) | | | |
| | **Interest entry will be passed every year till conversion option is not exercised** | | | |
| | **Whenever the option is exercised by the holder to convert to equity shares** | | | |
| | OCPS (Financial liability) | Dr. | Balance on date of exercise of the option | |
| | To OCPS (Equity) | | | |

As per paragraph 30, in case of a convertible financial instrument, the classification of the liability and equity components is not revised as a result of change in the likelihood that a conversion option will be exercised.

In other words, the amount attributable to equity component on initial recognition shall remain in equity and will not be reclassified even if the OCPS are ultimately redeemed in cash by the issuer.

| | | | | |
|---|---|---|---|---|
| 31st March, 20X6 | **If redeemed in cash on maturity** | | | |
| | OCPS (financial liability) (Refer W.N.) | Dr. | 1,00,00,000 | |
| | To Bank | | | 1,00,00,000 |
| | (Being OCPS redeemed on maturity) | | | |

**Working Note:**

**Calculation of the amortised cost of the financial liability (at full scale):**

| Year | Opening Balance (₹) | Interest @ 7% | Repayment | Closing Balance (₹) |
|---|---|---|---|---|
| 1 | 71,29,862 | 4,99,090 | - | 76,28,952 |
| 2 | 76,28,952 | 5,34,027 | | 81,62,979 |
| 3 | 81,62,979 | 5,71,409 | | 87,34,388 |
| 4 | 87,34,388 | 6,11,407 | | 93,45,795 |
| 5 | 93,45,795 | 6,54,206 | 10,000,000 | - |

# © Adjustments in this topic — what to do

## Split a compound instrument at issue

Notes §4 (p 4) · practise: Q42, Q43, Q44, Q47, Q49

**When:** Convertible debentures / OCPS / perpetual loans with mandatory interest.

1. Liability = PV of contractual cash flows (interest + redemption amount incl. premium) at the **market rate for debt without conversion**.
2. Equity = proceeds − liability (residual; never re-measured).
3. Transaction costs split in the same ratio.
4. Non-cumulative / discretionary dividend → part of equity, so liability = PV of redemption only (PQ Q2).

**ICAI figures:** Illus 29: 9,24,061 liability, 75,939 equity. TYK 4: 18,70,000 + 9,51,000 = **28,21,000** liability (only the 50% settled in cash), equity **21,79,000**. Illus 28: 96,000 ÷ 12% = 8,00,000 liability, 4,00,000 equity.

## Finance cost each year

Notes §4 (p 4-5) · practise: Q46

**When:** Years after issue.

1. Finance cost = opening liability × market rate (EIR) → P&L.
2. Closing = opening + finance cost − coupon; reaches redemption amount at maturity.

**ICAI figures:** Illus 32: 9,24,061 → 9,47,226 → 9,72,476 → nil (finance cost 83,165 / 85,250 / 87,524).

## Conversion, early repurchase, induced conversion

Notes §4 later events (p 5) · practise: Q46, Q48, Q122

**When:** Holder converts, issuer buys back, or terms are sweetened.

1. Conversion at maturity: liability → equity; no gain or loss.
2. Repurchase / early redemption: split the price — liability part = PV of remaining cash flows at the **current** rate; liability part − carrying amount → P&L; rest → equity.
3. Induced conversion: FV of extra shares given under new terms → loss in P&L.

**ICAI figures:** Illus 32: liability FV 10,09,523 vs 9,72,476 → **loss 37,047**; equity part 90,477. PQ Q1: 5 extra shares × ₹ 80 = **loss 400**. Asked: Sep 2025 Q2(a) (repurchase by tender), May 2026 Q2(a) (holder's put — liability measured to the put date).

# Ⓓ Classifying financial assets – business model and SPPI

## Q50 · Business model test

SM Ch 11 Unit 2 · Illustration 1 · **Notes §6 (p 6)**

**Illustration 1**

*An entity holds investments to collect their contractual cash flows. The funding needs of the entity are predictable and the maturity of its financial assets is matched to the entity's estimated funding needs.*

*The entity performs credit risk management activities with the objective of minimising credit losses. In the past, sales have typically occurred when the financial assets' credit risk has increased such that the assets no longer meet the credit criteria specified in the entity's documented investment policy. In addition, infrequent sales have occurred as a result of unanticipated funding needs.*

*Reports to key management personnel focus on the credit quality of the financial assets and the contractual return. The entity also monitors fair values of the financial assets, among other information.*

*Evaluate the business model.*

## Solution – ICAI

**Solution**

- Although the entity considers, among other information, the financial assets' fair values from a liquidity perspective (ie the cash amount that would be realised if the entity needs to sell assets), the entity's objective is to hold the financial assets in order to collect the contractual cash flows.
- Sales would not contradict that objective if they were in response to an increase in the assets' credit risk, for example if the assets no longer meet the credit criteria specified in the entity's documented investment policy.

Infrequent sales resulting from unanticipated funding needs (eg in a stress case scenario) also would not contradict that objective, even if such sales are significant in value.

Hence the business model of the company is to collect contractual cash flows and not realisation from sale of financial assets.

## QS1 · Business model test

SM Ch 11 Unit 2 · Illustration 2 · Notes §6 (p 6)

**Illustration 2**

*An entity's business model is to purchase portfolios of financial assets, such as loans. Those portfolios may or may not include financial assets that are credit impaired.*

*If payment on the loans is not made on a timely basis, the entity attempts to realise the contractual cash flows through various means—for example, by contacting the debtor by mail, telephone or other methods. The entity's objective is to collect the contractual cash flows and the entity does not manage any of the loans in this portfolio with an objective of realising cash flows by selling them.*

*In some cases, the entity enters into interest rate swaps to change the interest rate on particular financial assets in a portfolio from a floating interest rate to a fixed interest rate.*

*Evaluate the business model.*

### Solution — ICAI

**Solution**

The objective of the entity's business model is to hold the financial assets in order to collect the contractual cash flows. The same analysis would apply even if the entity does not expect to receive all of the contractual cash flows (eg some of the financial assets are credit impaired at initial recognition).

Moreover, the fact that the entity enters into derivatives to modify the cash flows of the portfolio does not in itself change the entity's business model.

## QS2 · Business model test

SM Ch 11 Unit 2 · Illustration 3 · Notes §6 (p 6)

**Illustration 3**

*Entity B sells goods to customers on credit. Entity B typically offers customers up to 60 days following the delivery of goods to make payment in full. Entity B collects cash in accordance with the contractual cash flows of trade receivables and has no intention to dispose of the receivables.*

*Evaluate the business model.*

### Solution — ICAI

**Solution**

Entity's B objective is to collect contractual cash flows from trade receivables and therefore, trade receivables meet the business model test for the purpose of classifying the financial assets at amortised cost.

## QS3 · Business model test

SM Ch 11 Unit 2 · Illustration 4 · **Notes §6 (p 6)**

**Illustration 4**

*An entity anticipates capital expenditure in a few years. The entity invests its excess cash in short and long-term financial assets so that it can fund the expenditure when the need arises. Many of the financial assets have contractual lives that exceed the entity's anticipated investment period.*

*The entity will hold financial assets to collect the contractual cash flows and, when an opportunity arises, it will sell financial assets to re-invest the cash in financial assets with a higher return. The managers responsible for the portfolio are remunerated based on the overall return generated by the portfolio.*

*Evaluate the business model.*

### Solution — ICAI

**Solution**

The objective of the business model is achieved by both collecting contractual cash flows and selling financial assets. The entity will make decisions on an ongoing basis about whether collecting contractual cash flows or selling financial assets will maximise the return on the portfolio until the need arises for the invested cash.

In contrast, consider an entity that anticipates a cash outflow in five years to fund capital expenditure and invests excess cash in short-term financial assets. When the investments mature, the entity reinvests the cash in new short-term financial assets. The entity maintains this strategy until the funds are needed, at which time the entity uses the proceeds from the maturing financial assets to fund the capital expenditure. Only sales that are insignificant in value occur before maturity (unless there is an increase in credit risk). The objective of this contrasting business model is to hold financial assets to collect contractual cash flows.

## QS4 · Business model test

SM Ch 11 Unit 2 · Illustration 5 · **Notes §6 (p 6)**

**Illustration 5**

*An entity has a business model with the objective of originating loans to customers and subsequently selling those loans to a securitisation vehicle. The securitisation vehicle issues instruments to investors. The originating entity controls the securitisation vehicle and thus consolidates it.*

*The securitisation vehicle collects the contractual cash flows from the loans and passes them on to its investors. In the consolidated balance sheet, loans continue to be recognised because they are not derecognised by the securitisation vehicle.*

*Evaluate the business model.*

## Solution — ICAI

**Solution**

The entity originating loans to customers has the objective of realising contractual cash flows on the loan portfolio only through sale to securitisation vehicle. However, the consolidated group originates loans with the objective of holding them to collect the contractual cash flows.

- Hence, the consolidated financial statements provide for a business model with the objective of collecting contractual cash flows by holding to maturity.
- And in separate financial statements of the entity originating loans to customers, business model is to collect cash flows through sale only.

## QSS · Business model test

SM Ch 11 Unit 2 · Illustration 6 · **Notes §6 (p 6)**

**Illustration 6**

*A financial institution holds financial assets to meet liquidity needs in a 'stress case' scenario (eg, a run on the bank's deposits). The entity does not anticipate selling these assets except in such scenarios. The entity monitors the credit quality of the financial assets and its objective in managing the financial assets is to collect the contractual cash flows. The entity evaluates the performance of the assets on the basis of interest revenue earned and credit losses realised.*

*However, the entity also monitors the fair value of the financial assets from a liquidity perspective to ensure that the cash amount that would be realised if the entity needed to sell the assets in a stress case scenario would be sufficient to meet the entity's liquidity needs. Periodically, the entity makes sales that are insignificant in value to demonstrate liquidity.*

*Evaluate the business model.*

## Solution — ICAI

**Solution**

The objective of the entity's business model is to hold the financial assets to collect contractual cash flows. The analysis would not change –

- If during a previous stress case scenario the entity had sales that were significant in value in order to meet its liquidity needs; or
- Recurring sales activity that is insignificant in value is not inconsistent with holding financial assets to collect contractual cash flows.

If the entity is required by its regulator to routinely sell financial assets to demonstrate that the assets are liquid, and the value of the assets sold is significant, the entity's business model is not to hold financial assets to collect contractual cash flows. Whether a third party imposes the requirement to sell the financial assets, or that activity is at the entity's discretion, is not relevant to the analysis.

In contrast, if an entity holds financial assets to meet its everyday liquidity needs and meeting that objective involves frequent sales that are significant in value, the objective of the entity's business model is not to hold the financial assets to collect contractual cash flows.

## QS6 · Business model test

SM Ch 11 Unit 2 · Illustration 12 : Hold-to-collect' business model test · **Notes §6 (p 6)**

**Illustration 12 : Hold-to-collect' business model test**

*An entity purchased a debt instrument for 1,00,000.*

*The instrument pays interest of 6,000 annually and has 10 years to maturity when purchased. The entity intends to hold the asset to collect the contractual cash flows.*

*Evaluate the business model test.*

### Solution — ICAI

**Solution**

Entity's objective is to hold the asset to collect the contractual cash flows and not to sell the assets before the maturity period.

Thus, the debt instrument would meet the 'hold-to-collect' business model test.

***Same type — not repeated here.*** *What changes in each:*

→ ***SM Ch 11 Unit 2 · Illustration 13 : Hold-to-collect' business model test*** *— Same debt instrument; the entity later sells because of a liquidity need — still hold to collect, no reclassification.*

## QS7 · Business model test

SM Ch 11 Unit 2 · Illustration 17: Trade receivables – Amortised cost · **Notes §6 (p 6)**

**Illustration 17: Trade receivables – Amortised cost**

*H Ltd. makes sale of goods to customers on credit of 60 days. The customers are entitled to earn a cash discount @ 5% per annum if payment is made before 60 days and an interest @ 12% per annum is charged for any payments made after 60 days. Company does not have a policy of selling its debtors and holds them to collect contractual cash flows.*

*Evaluate the financial instrument.*

### Solution — ICAI

**Solution**

In the above case, since H Ltd. has a contractual right to receive cash flows from its customers and therefore such trade receivable are financial assets for H Ltd.

Further, H Ltd. business model test to collect will satisfy as the objective is to hold its trade receivable to collect contractual cash flows till the end of maturity period and such trade receivable recorded in books represents contractual cash flows that are solely payments of principal and interest if paid beyond credit period.

Hence such trade receivables are classified at amortised cost.

## QS8 · Business model test

SM Ch 11 Unit 2 · Illustration 18: Security Deposits – Amortized Costs · **Notes §6 (p 6)**

**Illustration 18: Security Deposits – Amortized Costs**

*A Ltd. (the 'Company') has obtained the premises from B Ltd. on lease to carry on its business. The lease contract period is 5 years. As per the lease agreement, A Ltd. has paid security deposits to B Ltd. amounting to ₹ 10 Lac which is refundable after the expiry of lease agreement.*

*How would such deposits be treated in books of the A Ltd. ?*

### Solution — ICAI

**Solution**

In the above case, since A Ltd. has a contractual right to receive cash flows from its Lessor, B Ltd. and therefore such security deposits receivable are financial assets for A Ltd.

Further, A Ltd. business model test to collect will be satisfied as the objective is to hold its security deposits receivable to collect contractual cash flows till the end of maturity period. And such trade receivable recorded in books represents contractual cash flows that are solely payments of principal and interest.

Hence such security deposits receivables are classified at amortised cost.

## QS9 · Business model test

SM Ch 11 Unit 2 · Illustration 19 : Hold-to-collect' or 'hold-to-collect & sell' business model test · **Notes §6 (p 6)**

**Illustration 19 : Hold-to-collect' or 'hold-to-collect & sell' business model test**

*Entity A has surplus funds – INR 50 million*

*A has not yet found suitable investment opportunity so it buys medium dated (5 year maturity) high quality government bonds in order to generate interest income.*

*If a suitable investment opportunity arises before the maturity date, the entity will sell the bonds and use the proceeds for the acquisition of a business operation. It is likely that a suitable business opportunity will be found before maturity date.*

*Whether the investment opportunity will meet the 'hold-to-collect' or 'hold-to-collect & sell business model test?*

### Solution — ICAI

**Solution**

Government bonds would not meet the 'hold-to-collect' business model test because it is considered likely that the bonds will be sold well before their contractual maturity.

However, it is likely that such investment would meet the 'hold-to-collect and sell' business model test.

## Q60 · SPPI (contractual cash flow) test

SM Ch 11 Unit 2 · Illustration 7 · Notes §6 SPPI (p 6)

**Illustration 7**

*Instrument A is a bond with a stated maturity date. Payments of principal and interest on the principal amount outstanding are linked to an inflation index of the currency in which the instrument is issued. The inflation link is not leveraged and the principal is protected.*

*Evaluate the Contractual cash flows characteristics test*

### Solution — ICAI

**Solution**

The contractual cash flows are solely payments of principal and interest on the principal amount outstanding. Linking payments of principal and interest on the principal amount outstanding to an unleveraged inflation index resets the time value of money to a current level. In other words, the interest rate on the instrument reflects 'real' interest. Thus, the interest amounts are consideration for the time value of money on the principal amount outstanding.

However, if the interest payments were indexed to another variable such as the debtor's performance (eg the debtor's net income) or an equity index, the contractual cash flows are not payments of principal and interest on the principal amount outstanding (unless the indexing to the debtor's performance results in an adjustment that only compensates the holder for changes in the credit risk of the instrument, such that contractual cash flows are solely payments of principal and interest). That is because the contractual cash flows reflect a return that is inconsistent with a basic lending arrangement.

## Q61 · SPPI (contractual cash flow) test

SM Ch 11 Unit 2 · Illustration 8 · Notes §6 SPPI (p 6)

**Illustration 8**

*Instrument F is a bond that is convertible into a fixed number of equity instruments of the issuer. Analyse the nature of cash flows.*

### Solution — ICAI

**Solution**

The holder would analyse the convertible bond in its entirety. The contractual cash flows are not payments of principal and interest on the principal amount outstanding because they reflect a return that is inconsistent with a basic lending arrangement; ie the return is linked to the value of the equity of the issuer.

## Q62 · SPPI (contractual cash flow) test

SM Ch 11 Unit 2 · Illustration 9 · Notes §6 SPPI (p 6)

**Illustration 9**

*Instrument H is a perpetual instrument but the issuer may call the instrument at any point and pay the holder the par amount plus accrued interest due.*

*Instrument H pays a market interest rate but payment of interest cannot be made unless the issuer is able to remain solvent immediately afterwards. Deferred interest does not accrue additional interest. Analyse the nature of cash flows.*

### Solution — ICAI

**Solution**

The contractual cash flows are not payments of principal and interest on the principal amount outstanding. That is because the issuer may be required to defer interest payments and additional interest does not accrue on those deferred interest amounts. As a result, interest amounts are not consideration for the time value of money on the principal amount outstanding.

If interest accrued on the deferred amounts, the contractual cash flows could be payments of principal and interest on the principal amount outstanding.

## Q63 · SPPI (contractual cash flow) test

SM Ch 11 Unit 2 · Illustration 10 · Notes §6 SPPI (p 6)

**Illustration 10**

*Instrument D is loan with recourse and is secured by collateral. Does the collateral affect the nature of contractual cash flows?*

### Solution — ICAI

**Solution**

The fact that a loan is collateralised (since with recourse) does not in itself affect the analysis of whether the contractual cash flows are solely payments of principal and interest on the principal amount outstanding. The collateral is only a security to recover dues.

## Q64 · SPPI (contractual cash flow) test

SM Ch 11 Unit 2 · Illustration 11 · Notes §6 SPPI (p 6)

**Illustration 11**

*Instrument G is a loan that pays an inverse floating interest rate (ie the interest rate has an inverse relationship to market interest rates). Analyse the nature of cash flows.*

### Solution — ICAI

**Solution**

Here, interest on the instrument has an inverse relationship to the market rate of interest. Hence, it is unlike a basic lending arrangement which normally comprises of interest payable on any funds lent, as a consideration for the time value of money, credit risk and profit margin normally existing in such arrangements. This arrangement with an inverse floating interest rate provides the lender with a return which may be higher or lower to the market rate of interest and hence, is not necessarily a consideration for the time value of money on the principal amount outstanding.

Thus, these do not represent contractual cash flows that are solely payments of principal and interest on the principal amount outstanding.

## Q65 · SPPI (contractual cash flow) test

SM Ch 11 Unit 2 · Illustration 14 : SPPI or contractual cash flow test · **Notes §6 SPPI (p 6)**

**Illustration 14 : SPPI or contractual cash flow test**

*SPPI test for loan with zero interest and no fixed repayment terms*

*Parent H Ltd. provides a loan to its Subsidiary S Ltd. The loan is classified as a current liability in Subsidiary S's financial statements and has the following terms:*

- Interest free loan.
- No fixed repayment terms
- Repayable on demand of Parent H Ltd.

*Does the loan meet the 'SPPI' or contractual cash flows characteristic test?*

### Solution — ICAI

**Solution**

Yes. The terms for the repayment of the principal amount of the loan on demand satisfies the criterion of SPPI.

***Same type — not repeated here.*** *What changes in each:*

→ ***SM Ch 11 Unit 2 · Illustration 15 : SPPI Test for loan with zero interest repayable in ten years*** *— Interest-free loan of INR 100 m to the subsidiary repayable in* ***ten years*** *(Illus 14: on demand) — still meets SPPI (principal + time value at zero rate is a measurement matter, not a cash-flow feature).*

## Q66 · SPPI (contractual cash flow) test

SM Ch 11 Unit 2 · Illustration 16 : SPPI Test for loan with interest rate · **Notes §6 SPPI (p 6)**

**Illustration 16 : SPPI Test for loan with interest rate**

*Entity A Ltd. lends Entity B Ltd. INR 5 million for ten years, subject to the following terms:*

- Interest is based on the prevailing variable market interest rate.
- Variable interest rate is capped at 10%.
- Repayable in ten years.

*Does the loan meet the 'SPPI' or contractual cash flows characteristic test?*

## Solution — ICAI

**Solution**

Contractual cash flows of both a fixed rate instrument and a floating rate instrument are payments of principal and interest as long as the interest reflects consideration for the time value of money and credit risk.

Therefore, a loan that contains a combination of a fixed and variable interest rate meets the contractual cash flow characteristics test.

# Ⓓ Adjustments in this topic — what to do

## Business model test

Notes §6 (p 6) · practise: Q50, Q53, Q56, Q59

**When:** Debt instruments held by the entity.

1. Hold to collect: sales rare, insignificant, near maturity or due to credit deterioration → amortised cost.
2. Collect and sell: selling is integral (liquidity, duration matching) → FVOCI.
3. Anything else (trading, managed on FV) → FVTPL.
4. One-off higher sales ≠ change of model; no restatement.

**ICAI figures:** Illus 19: surplus funds put in bonds that will be sold when an opportunity arises → collect and sell → FVOCI.

## SPPI test

Notes §6 SPPI (p 6) · practise: Q60, Q61, Q64, Q65, Q66

**When:** Before the business model.

1. Cash flows only principal + interest for time value, credit risk and normal lending costs/margin → pass.
2. Equity/commodity links, leverage, inverse floaters, conversion options → fail → FVTPL.
3. Interest-free loan to a subsidiary (on demand or fixed term) → passes.

**ICAI figures:** Illus 8: convertible bond (holder) → fails. Illus 11: inverse floater → fails. Illus 16: capped floating rate → passes.

# € Measurement – fair value, EIR, FVTPL / FVOCI

## Q67 · Initial measurement — off-market loans, deposits, staff loans

SM Ch 11 Unit 2 · Illustration 23: Determining fair value upon initial measurement · Notes §7 interest-free loans (p 7-8)

**Illustration 23: Determining fair value upon initial measurement**

*The shareholders of Company C provide C with financing in the form of loan notes to enable it to acquire investments in subsidiaries. The loan notes will be redeemed solely out of dividends received from these subsidiaries and become redeemable only when C has sufficient funds to do so. In this context, 'sufficient funds' refers only to dividend receipts from subsidiaries. Analyse the initial measurement of loan notes.*

### Solution — ICAI

**Solution**

In this case –

Loan notes are repayable only when C earns returns in form of dividends from subsidiaries. Hence, C cannot be forced to obtain additional external financing or to liquidate its investments to redeem the shareholder loans. Consequently, the loan notes are not considered payable on demand.

Accordingly –

- Loan notes shall be initially measured at their fair value, being the present value of the expected future cash flows, discounted using a market-related rate. The amount and timing of the expected future cash flows should be determined on the basis of the expected dividend flow from the subsidiaries. Also, the valuation would need to take into account possible early repayments of principal and corresponding reductions in interest expense.
- Since the loan notes are interest-free or bear lower-than-market interest, there will be a difference between the nominal value of the loan notes - i.e. the amount granted - and their fair value on initial recognition. Because the financing is provided by shareholders, acting in the capacity of shareholders, the resulting credit should be reflected in equity as a shareholder contribution in C's balance sheet. Conversely, in books of shareholders, the difference between amount invested and its fair value shall be recorded as 'investment in C Ltd' being representative of the underlying relationship between shareholders and C Ltd.

## Q68 · Initial measurement — off-market loans, deposits, staff loans

SM Ch 11 Unit 2 · Illustration 25 : Accounting for assets at amortised cost · Notes §7 interest-free loans (p 7-8)

**Illustration 25 : Accounting for assets at amortised cost**

*A Ltd has made a security deposit whose details are described below. Make necessary journal entries for accounting of the deposit in the first year and last year. Assume market interest rate for a deposit for similar period to be 12% per annum.*

| Particulars | Details |
|---|---|
| *Date of Security Deposit (Starting Date)* | *1-Apr-20X1* |
| *Date of Security Deposit (Finishing Date)* | *31-Mar-20X6* |
| *Description* | *Lease* |
| *Total Lease Period* | *5 years* |
| *Discount rate* | *12.00%* |
| *Security deposit* | *10,00,000* |
| *Present value factor at the 5th year* | *0.567427* |

## Solution – ICAI

### Solution

The above security deposit is an interest free deposit redeemable at the end of lease term for ₹ 10,00,000. Hence, this involves collection of contractual cash flows and shall be accounted at amortised cost.

**Upon initial measurement –**

| Particulars | Details |
|---|---|
| Security deposit (A) | 10,00,000 |
| Total Lease Period (Years) | 5 |
| Discount rate | 12.00% |
| Present value factor of 5th year end | 0.56743 |
| Present value of deposit at beginning (B) | 5,67,427 |
| Prepaid lease payment at beginning (A-B) | 4,32,573 |

**Journal Entries**

**Year – 1 beginning**

| Particulars | | Amount | Amount |
|---|---|---|---|
| Security deposit A/c | Dr. | 5,67,427 | |
| Right-of-Use Asset | Dr. | 4,32,573 | |
| To Bank A/c | | | 10,00,000 |

Subsequently, every annual reporting year, interest income shall be accrued @ 12% per annum and prepaid expenses shall be amortised on straight line basis over the lease term.

Year 1 end

| Particulars | | Amount | Amount |
|---|---|---|---|
| Security deposit A/c (5,67,427 x 12%) | Dr. | 68,091 | |
| To Interest income A/c | | | 68,091 |

At the end of 5th year, the security deposit shall accrue ₹ 10,00,000 and prepaid lease expenses shall be fully amortised (i.e. depreciated as per Ind AS 116, this prepaid lease rent would be shown as ROU asset). Journal entry for realisation of security deposit –

| Particulars | | Amount | Amount |
|---|---|---|---|
| Security deposit A/c | Dr. | 1,07,143 | |
| To Interest income A/c | | | 1,07,143 |
| Bank A/c | Dr. | 10,00,000 | |
| To Security deposit A/c | | | 10,00,000 |

***Same type — not repeated here.*** *What changes in each:*

→ ***SM Ch 11 Unit 2 · Illustration 21: Deposits carrying off-market rate of interest:*** *— Containers Ltd: deposit 10,000 for 3 years, market 7% → FV 10,000 / 1.07³ =* ***8,163****; day-1 difference 1,837 = prepaid rent (ROU asset), depreciated straight line.*

## Q69 · Initial measurement — off-market loans, deposits, staff loans

SM Ch 11 Unit 2 · Illustration 28: Accounting for assets at Amortised Cost · **Notes §7 interest-free loans (p 7-8)**

**Illustration 28: Accounting for assets at Amortised Cost**

*XYZ Ltd. is a company incorporated in India. It provides INR 10,00,000 interest free loan to its wholly owned Indian subsidiary (ABC). There are no transaction costs.*

*How should the loan be accounted for, in the separate financial statements of XYZ, individual financial statements of ABC and consolidated financial statements of the group?*

*Consider the following scenarios:*

*a) The loan is repayable on demand.*

*b) The loan is repayable after 3 years. The current market rate of interest for similar loan is 10% p.a. for both holding and subsidiary.*

*c) The loan is repayable when ABC has funds to repay the loan.*

### Solution — ICAI

**Solution**

Ind AS 109 requires that a financial assets and liabilities are recognized on initial recognition at its fair value, as adjusted for the transaction cost. In accordance with Ind AS 113 Fair Value Measurement, the fair value of a financial liability with a demand feature (e.g., a demand deposit) is not less than the amount payable on demand, discounted from the first date that the amount could be required to be paid.

Using the guidance, the loan will be accounted for as below in various scenarios:

**Scenario (a)**

**Since the loan is repayable on demand**, it has fair value equal to cash consideration given. The parent and subsidiary recognize financial asset and liability, respectively, at the amount of loan given. Going forward, no interest is accrued on the loan.

Upon repayment, both the parent and the subsidiary reverse the entries made at origination.

**Scenario (b)**

Both parent and subsidiary recognize financial asset and liability, respectively, at fair value on initial recognition. The difference between the loan amount and its fair value is treated as an equity contribution to the subsidiary. This represents a further investment by the parent in the subsidiary.

**Accounting in the books of XYZ Ltd (Parent)**

| S. No. | Particulars | | Amount | Amount |
|---|---|---|---|---|
| | **On the date of loan** | | | |
| 1 | Loan to ABC Ltd (Subsidiary) | Dr. | 7,51,315 | |
| | Deemed Investment (Capital Contribution) in ABC Ltd. | Dr. | 2,48,685 | |
| | To Bank | | | 10,00,000 |
| | (Being the loan is given to ABC Ltd and recognised at fair value) | | | |
| | **Accrual of Interest income** | | | |
| 2 | Loan to ABC Ltd | Dr. | 75,131 | |
| | To Interest income | | | 75,131 |
| | (Being interest income accrued) – Year 1 | | | |
| 3 | Loan to ABC Ltd | Dr. | 82,645 | |
| | To Interest income | | | 82,645 |
| | (Being interest income accrued) – Year 2 | | | |

| | | | | |
|---|---|---|---|---|
| 4 | Loan to ABC Ltd | Dr. | 90,909 | |
| | To Interest income | | | 90,909 |
| | (Being interest income accrued) – Year 3 | | | |
| 5 | **On repayment of loan** | | | |
| | Bank | Dr. | 10,00,000 | |
| | To Loan to ABC Ltd (Subsidiary) | | | 10,00,000 |

**Accounting in the books of ABC Ltd (Subsidiary)**

| S. No. | Particulars | | Amount | Amount |
|---|---|---|---|---|
| | **On the date of loan** | | | |
| 1 | Bank | Dr. | 10,00,000 | |
| | To Loan from XYZ Ltd (Payable) | | | 751,315 |
| | To Equity (Deemed Capital Contribution from XYZ Ltd) | | | 2,48,685 |
| | (Being the loan taken from XYZ Ltd. and recognised at Fair value) | | | |
| | **Accrual of Interest** | | | |
| 2 | Interest expense | Dr. | 75,131 | |
| | To Loan from XYZ Ltd (Payable) | | | 75,131 |
| | (Being interest expense recognised) – Year 1 | | | |
| 3 | Interest expense | Dr. | 82,645 | |
| | To Loan from XYZ Ltd (Payable) | | | 82,645 |
| | (Being interest expense recognised) – Year 2 | | | |
| 4 | Interest expense | Dr. | 90,909 | |
| | To Loan from XYZ Ltd (Payable) | | | 90,909 |
| | (Being interest expense recognised) – Year 3 | | | |
| | **On repayment of loan** | | | |
| 5 | Loan from XYZ Ltd (Payable) | Dr. | 10,00,000 | |
| | To Bank | | | 10,00,000 |

**Working Notes:-**

1 **Computation of Present value of loan**

| | |
|---|---|
| Rate | 10% |
| Amount of Loan | 10,00,000 |
| Year | 3 |
| Present Value | 7,51,315 |

2 **Computation of interest for Year I**

| | |
|---|---|
| Present Value | 7,51,315 |
| Rate | 10% |
| Period of interest - for 1 year | 1 |
| Closing value at the end of year 1 | 8,26,446 |
| Interest for 1st year | 75,131 |

3 **Computation of interest for Year 2**

| | |
|---|---|
| Value of loan as at the beginning of Year 2 | 8,26,446 |
| Rate | 10% |
| Period of interest - for 2nd year | 1 |
| Closing value at the end of year 2 | 9,09,091 |
| Interest for 2nd year | 82,645 |

4 **Computation of interest for Year 3**

| | |
|---|---|
| Value of loan as at the beginning of Year 3 | 9,09,091 |
| Rate | 10% |
| Period of interest - for 3rd year | 1 |
| Closing value at the end of year 3 | 10,00,000 |
| Interest for 3rd year | 90,909 |

**Scenario (c)**

Generally, a loan, which is repayable when funds are available, can't be stated to be repayable on demand. Rather, the entities need to estimate repayment date and determine its measurement accordingly. If the loan is expected to be repaid in three years, its measurement will be the same as in scenario (b).

In the Consolidated Financial Statements (CFS), the loan and interest income/expense will get eliminated as intra-group transaction in all three scenarios. Hence the above accounting will not have any impact in the CFS. However, if the loan is in foreign currency, exchange difference will continue to impact the statement of profit and loss in accordance with the requirements of Ind AS 21.

## Q70 · Initial measurement — off-market loans, deposits, staff loans

SM Ch 11 · Test Your Knowledge Q1 · Notes §7 interest-free loans (p 7-8)

1. As part of staff welfare measures, Y Co Ltd. has contracted to lend to its employees sums of money at 5% per annum rate of interest. The amounts lent are to be repaid in five equal instalments for principle along with the interest. The market rate of interest is 10% per annum for comparable loans. Y lent ₹ 1,600,000 to its employees on 1st January 20X1.

   Following the principles of recognition and measurement as laid down in Ind AS 109, you are required to record the entries for the year ended 31 December 20X1, for the transaction and also compute the value of loan initially to be recognised and amortised cost for all subsequent years.

   For the purpose of calculation, following discount factors at interest rate of 10% per annum may be adopted –

   At the end of year –

| Year | Present value factor |
|---|---|
| 1 | .909 |
| 2 | .827 |
| 3 | .751 |
| 4 | .683 |
| 5 | .620 |

### Solution — ICAI

1. (i) **Calculation of initial measurement amount of loan to its employees:**

| Year end | Cash flow | | Total | PV factor | Present value |
|---|---|---|---|---|---|
| | Principal | Interest @ 5% | | | |
| 20X1 | 320,000 | 80,000 | 400,000 | .909 | 363,600 |
| 20X2 | 320,000 | 64,000 | 384,000 | .827 | 317,568 |
| 20X3 | 320,000 | 48,000 | 368,000 | .751 | 276,368 |
| 20X4 | 320,000 | 32,000 | 352,000 | .683 | 240,416 |
| 20X5 | 320,000 | 16,000 | 336,000 | .620 | 208,320 |
| | | | | | 1,406,272 |

**(ii) Calculation of amortised cost of loan to employees**

| Year end | Amortised cost (opening balance) | Interest to be recognised | Repayment (including interest) | Amortised cost (closing balance) |
|---|---|---|---|---|
| 20X1 | 1,406,272 | 140,627 | 400,000 | 1,146,899 |
| 20X2 | 1,146,899 | 114,690 | 384,000 | 877,589 |
| 20X3 | 877,589 | 87,759 | 368,000 | 597,348 |
| 20X4 | 597,348 | 59,735 | 352,000 | 305,083 |
| 20X5 | 305,083 | 30,917* | 336,000 | - |

*305,083 x 10% = 30,508. Difference of ₹ 409 is due to approximation in computation.

**(iii) Journal Entries to be recorded of Y Ltd. for the year ended 31 December 20X1**

| Date | Particulars | | Debit | Credit |
|---|---|---|---|---|
| 1 Jan 20X1 | Staff loan A/c | Dr. | 14,06,272 | |
| | Prepaid staff cost A/c* [(1,600,000 – 1,406,272), Refer part (ii)] | Dr. | 1,93,728 | |
| | To Bank A/c | | | 16,00,000 |
| | (Being disbursement of loans to staff and excess loan balance over present value thereof in order to reflect the loan at its present value booked as prepaid staff cost) | | | |
| 31 Dec 20X1 | Staff loan A/c | Dr. | 1,40,627 | |
| | To Interest expense A/c | | | 1,40,627 |
| | (Being interest accrued on loans to staff) | | | |
| 31 Dec 20X1 | Staff cost A/c | Dr. | 38,746 | |
| | To Prepaid expense A/c | | | 38,746 |
| | (Being prepaid expense charged for the year against staff cost) | | | |

* Where the difference between the amount given by the Company to its employees and its fair value represents another asset, then such asset shall be recognised. Accordingly, such difference is recognised as prepaid employee cost and amortised over the period of loan.

## Q71 · Initial measurement — off-market loans, deposits, staff loans

SM Ch 11 · Test Your Knowledge Q2 · Notes §7 interest-free loans (p 7-8)

***Adjustments tested:*** *Staff loan at FV (12%) · Prepaid employee cost · Prepayment — re-estimate at original EIR*

2. Wheel Co. Limited has a policy of providing subsidized loans to its employees for the purpose of buying or building houses. Mr. X, who's executive assistant to the CEO of Wheel Co. Limited, took a loan from the Company on the following terms:

- Principal amount: 1,000,000
- Interest rate: 4% for the first 400,000 and 7% for the next 600,000
- Start date: 1 January 20X1
- Tenure: 5 years
- Pre-payment: Full or partial pre-payment at the option of the employee
- The principal amount of loan shall be recovered in 5 equal annual instalments and will be first applied to 7% interest bearing principal
- The accrued interest shall be paid on an annual basis
- Mr. X must remain in service till the term of the loan ends

The market rate of a comparable loan available to Mr. X, is 12% per annum.

Following table shows the contractually expected cash flows from the loan given to Mr. X:

(amount in ₹)

| Date | Outflows | Inflows | | | Principal outstanding |
|---|---|---|---|---|---|
| | | Principal | Interest income 7% | Interest income 4% | |
| 1-Jan-20X1 | (1,000,000) | | | | 1,000,000 |
| 31-Dec-20X1 | | 200,000 | 42,000 | 16,000 | 800,000 |
| 31-Dec-20X2 | | 200,000 | 28,000 | 16,000 | 600,000 |
| 31-Dec-20X3 | | 200,000 | 14,000 | 16,000 | 400,000 |
| 31-Dec-20X4 | | 200,000 | - | 16,000 | 200,000 |
| 31-Dec-20X5 | | 200,000 | - | 8,000 | - |

Mr. S, pre-pays ₹ 200,000 on 31 December 20X2, reducing the outstanding principal as at that date to ₹ 400,000.

Following table shows the actual cash flows from the loan given to Mr. X, considering the pre-payment event on 31 December 20X2: (amount in ₹)

| | | Inflows | | | |
|---|---|---|---|---|---|
| Date | Outflows | Principal | Interest income 7% | Interest income 4% | Principal outstanding |
| 1-Jan-20X1 | (1,000,000) | | | | 1,000,000 |
| 31-Dec-20X1 | | 200,000 | 42,000 | 16,000 | 800,000 |
| 31-Dec-20X2 | | 400,000 | 28,000 | 16,000 | 400,000 |
| 31-Dec-20X3 | | 200,000 | - | 16,000 | 200,000 |
| 31-Dec-20X4 | | 200,000 | - | 8,000 | - |
| 31-Dec-20X5 | | - | - | - | - |

Record journal entries in the books of Wheel Co. Limited considering the requirements of Ind AS 109.

## Solution – ICAI

**2.** As per requirement of Ind AS 109, a financial instrument is initially measured and recorded at its fair value. Therefore, considering the market rate of interest of similar loan available to Mr. X is 12%, the fair value of the contractual cash flows shall be as follows:

| Date | Inflows | | | Discount factor @12% | PV |
|---|---|---|---|---|---|
| | Principal | Interest income 7% | Interest income 4% | | |
| 31-Dec-20X1 | 200,000 | 42,000 | 16,000 | 0.8929 | 2,30,357 |
| 31-Dec-20X2 | 200,000 | 28,000 | 16,000 | 0.7972 | 1,94,515 |
| 31-Dec-20X3 | 200,000 | 14,000 | 16,000 | 0.7118 | 1,63,709 |
| 31-Dec-20X4 | 200,000 | - | 16,000 | 0.6355 | 1,37,272 |
| 31-Dec-20X5 | 200,000 | - | 8,000 | 0.5674 | 1,18,025 |
| Total (fair value) | | | | | 8,43,878 |

Benefit to Mr. X, to be considered a part of employee cost for Wheel Co. ₹ 1,56,121.

The deemed employee cost is to be amortised over the period of loan i.e. the minimum period that Mr. X must remain in service.

The amortization schedule of the ₹ 843,878 loan is shown in the following table:

| Date | Loan outstanding | Total cash inflows (principal repayment + interest | Interest @ 12% |
|---|---|---|---|
| 1-Jan-20X1 | 843,878 | | |
| 31-Dec-20X1 | 687,143 | 258,000 | 101,265 |
| 31-Dec-20X2 | 525,600 | 244,000 | 82,457 |
| 31-Dec-20X3 | 358,672 | 230,000 | 63,072 |
| 31-Dec-20X4 | 185,713 | 216,000 | 43,041 |
| 31-Dec-20X5 | (0) | 208,000 | 22,287* |

* Difference is due to approximation.

**Journal Entries to be recorded at every period end:**

**a. 1 January 20X1 –**

| Particulars | | Dr. Amount (₹) | Cr. Amount (₹) |
|---|---|---|---|
| Loan to employee A/c | Dr. | 843,879 | |
| Pre-paid employee cost A/c | Dr | 156,121 | |
| To Bank A/c | | | 1,000,000 |
| (Being loan asset recorded at initial fair value) | | | |

**b. 31 December 20X1 –**

| Particulars | | Dr. Amount (₹) | Cr. Amount (₹) |
|---|---|---|---|
| Bank A/c | Dr. | 258,000 | |
| To Interest income (profit and loss) @12% A/c | | | 101,265 |
| To Loan to employee A/c | | | 156,735 |
| (Being first instalment of repayment of loan accounted for using the amortised cost and effective interest rate of 12%) | | | |
| Employee benefit (profit and loss) A/c | Dr. | 31,224 | |
| To Prepaid employee cost A/c | | | 31,224 |
| (Being amortization of pre-paid employee cost charged to profit and loss as employee benefit cost) | | | |

On 31 December 20X2, due to pre-payment of a part of loan by Mr. X, the carrying value of the loan shall be re-computed by discounting the future remaining cash flows by the original effective interest rate.

There shall be two sets of accounting entries on 31 December 20X2, first the realisation of the contractual cash flow as shown in (c) below and then the accounting for the pre-payment of ₹ 200,000 included in (d) below:

**c. 31 December 20X2 –**

| Particulars | | Dr. Amount (₹) | Cr. Amount (₹) |
|---|---|---|---|
| Bank A/c | Dr. | 244,000 | |
| To Interest income (profit and loss) @12% A/c | | | 82,457 |

| | | |
|---|---|---|
| To Loan to employee A/c<br>(Being second instalment of repayment of loan accounted for using the amortised cost and effective interest rate of 12%) | | 161,543 |
| Employee benefit (profit and loss) A/c Dr.<br>To Pre-paid employee cost A/c<br>(Being amortization of pre-paid employee cost charged to profit and loss as employee benefit cost) | 31,224 | 31,224 |

Computation of new carrying value of loan to employee:

| Date | Inflows | | | Discount factor @12% | PV |
|---|---|---|---|---|---|
| | Principal | Interest income 7% | Interest income 4% | | |
| 31-Dec-20X3 | 200,000 | - | 16,000 | 0.8929 | 192,857 |
| 31-Dec-20X4 | 200,000 | - | 8,000 | 0.7972 | 165,816 |
| Total (revised carrying value) | | | | | 358,673 |
| *Less*: Current carrying value | | | | | 525,601 |
| Adjustment required | | | | | 166,928 |

The difference between the amount of pre-payment and adjustment to loan shall be considered a gain, though will be recorded as an adjustment to pre-paid employee cost, which shall be amortised over the remaining tenure of the loan.

**d. 31 December 20X2 prepayment–**

| Particulars | Dr. Amount (₹) | Cr. Amount (₹) |
|---|---|---|
| Bank A/c Dr. | 200,000 | |
| To Pre-paid employee cost A/c | | 33,072 |
| To Loan to employee A/c | | 166,928 |
| (Being gain to Wheel Co. Limited recorded as an adjustment to pre-paid employee cost) | | |

The amortisation schedule of the new carrying amount of loan shall be as follows:

| Date | Loan outstanding | Total cash inflows (principal repayment + interest | Interest @ 12% |
|---|---|---|---|
| 31-Dec-20X2 | 358,673 | | |
| 31-Dec-20X3 | 185,714 | 216,000 | 43,041 |
| 31-Dec-20X4 | - | 208,000 | 22,286 |

Amortisation of employee benefit cost shall be as follows:

| Date | Balance | Amortised to P&L | Adjustment |
|---|---|---|---|
| 1-Jan-20X1 | 156,121 | | |
| 31-Dec-20X1 | 124,897 | 31,224 | |
| 31-Dec-20X2 | 60,601 | 31,224 | 33,072 |
| 31-Dec-20X3 | 30,300 | 30,300 | |
| 31-Dec-20X4 | - | 30,300 | |

**e. 31 December 20X3 –**

| Particulars | Dr. Amount (₹) | Cr. Amount (₹) |
|---|---|---|
| Bank A/c Dr.<br>To Interest income (profit and loss) @12% A/c<br>To Loan to employee A/c<br>(Being third instalment of repayment of loan accounted for using the amortised cost and effective interest rate of 12%) | 216,000 | <br>43,041<br>172,959 |
| Employee benefit (profit and loss) A/c Dr<br>To Pre-paid employee cost A/c<br>(Being amortization of pre-paid employee cost charged to profit and loss as employee benefit cost) | 30,300 | <br>30,300 |

**f. 31 December 20X4 –**

| Particulars | Dr. Amount (₹) | Cr. Amount (₹) |
|---|---|---|
| Bank A/c Dr.<br>To Interest income (profit and loss) @12% A/c<br>To Loan to employee A/c<br>(Being last instalment of repayment of loan accounted for using the amortised cost and effective interest rate of 12%) | 208,000 | <br>22,286<br>185,714 |
| Employee benefit (profit and loss) A/c Dr.<br>To Pre-paid employee cost A/c<br>(Being amortization of pre-paid employee cost charged to profit and loss as employee benefit cost) | 30,300 | <br>30,300 |

## Q72 · Initial measurement — off-market loans, deposits, staff loans

ICAI Practice Questions · Ch 11 Q4 · Notes §7 interest-free loans (p 7–8)

4. In an arm's length transaction, Entity X buys 10,000 convertible preference shares in Company Z for cash payments of ₹ 40,000, with ₹ 25,000 payable immediately and ₹ 15,000 payable in two years. The market rate of annual interest for a two-year loan to the entity would be 6%.

   Explain the accounting treatment for the said transaction.

### Solution — ICAI

**4.** Since payment of ₹ 15,000 is deferred for two years, the fair value of the consideration given for the shares is equal to ₹ 25,000 plus the present value of ₹ 15,000. The present value of ₹ 15,000 deferred payment is ₹ 13,350 (₹ 15,000 ÷ $1.06^2$).

Entity X will initially measure the shares purchased at ₹ 38,350 (i.e., ₹ 25,000 + ₹ 13,350).

Since this transaction took place at an arm's length, this is considered to be fair value for initial recognition in the absence of evidence to the contrary.

The difference between the ₹ 40,000 cash paid out and the ₹ 38,350, i.e. ₹ 1,650, will be recognised as interest expense in profit or loss over the two-year period of deferred payment.

## Q73 · Amortised cost and EIR with fees

SM Ch 11 Unit 2 · Illustration 20 · Notes §7 (p 7)

**Illustration 20**

*ABC Bank gave loans to a customer – Target Ltd. that carry fixed interest rate @ 10% per annum for a 5 year term and 12% per annum for a 3 year term. Additionally, the bank charges processing fees @1% of the principal amount borrowed. Target Ltd borrowed loans as follows:*

- *10 lacs for a term of 5 years*
- *8 lacs for a term of 3 years.*

*Compute the fair value upon initial recognition of the loan in books of Target Ltd. and how will loan processing fee be accounted?*

## Solution — ICAI

**Solution**

The loans from ABC Bank carry interest @ 10% and 12% for 5 year term and 3 year term respectively. Additionally, there is a processing fee payable @ 1% on the principal amount on date of transaction. It is assumed that ABC Bank charges all customers in a similar manner and hence this is representative of the market rate of interest.

Amortised cost is computed by discounting all future cash flows at market rate of interest. Further, any transaction fees that are an integral part of the transaction are adjusted in the effective interest rate and recognised over the term of the instrument.

Hence loan processing fees shall be reduced from the principal amount to arrive the value on day 1 upon initial recognition.

Fair value (5 year term loan) = 10,00,000 – 10,000 (1% x 10,00,000) = 9,90,000

Fair value (3 year term loan) = 8,00,000 – 8,000 (1% x 8,00,000) = 7,92,000.

Now, effective interest rate shall be higher than the interest rate of 10% and 12% on 5 year loan and 3 year loan respectively, so that the processing fees gets recognised as interest over the respective term of loans.

## Q74 · Amortised cost and EIR with fees

SM Ch 11 Unit 2 · Illustration 31: Issue of borrowings with fixed rate of interest · Notes §7 (p 7)

**Illustration 31: Issue of borrowings with fixed rate of interest**

*A Ltd has borrowed from RBC Bank ₹ 10,000 at a fixed interest of 10% per annum. Loan processing fees were additionally paid for ₹ 500 and loan is payable after 5 years in bullet repayment of principal. Details are as follows:*

| Particulars | Details |
|---|---|
| *Loan amount* | *₹ 10,000* |
| *Date of loan (Starting Date)* | *1-Apr-20X1* |
| *Date of repayment of principal amount (Finishing Date)* | *31-March-20X6* |
| *Interest rate* | *10.00%* |
| *Interest charge* | *Interest to be charged and paid yearly* |
| *Upfront fees* | *₹ 500* |

*How would loan be accounted in books of A Ltd?*

## Solution — ICAI

**Solution**

The loan taken by A Ltd shall be measured at amortised cost as follows:

- Initial measurement – At transaction price less processing fees

  = 10,000 – 500 = 9,500

- Subsequently – interest to be accrued using effective rate of interest as follows:

| Year end | Opening balance | Interest @ 11.42% | Repayment of interest & principal | Closing balance |
|---|---|---|---|---|
| 1 | 9,500 | 1,085 | 1,000 | 9,585 |
| 2 | 9,585 | 1,095 | 1,000 | 9,679 |
| 3 | 9,679 | 1,105 | 1,000 | 9,785 |
| 4 | 9,785 | 1,117 | 1,000 | 9,902 |
| 5 | 9,902 | 1,098* | 11,000 | - |

* Difference due to approximation

**Computation of IRR**

IRR would be the rate using which the present value of cash flow should come out to be ₹ 9,500 i.e. (₹ 10,000 less ₹ 500).

For this, we should first compute present value of cashflows using any two rates as follows:

| Year end | Opening balance | Repayment /Cashflows | Closing balance | PVF @ 10% | Present Value at 10% rate | PVF @ 13% | Present Value at 13% rate |
|---|---|---|---|---|---|---|---|
| 1 | 9,500 | 1,000 | 8,500 | 0.909 | 909 | 0.885 | 885 |
| 2 | 8,500 | 1,000 | 7,500 | 0.826 | 826 | 0.783 | 783 |
| 3 | 7,500 | 1,000 | 6,500 | 0.751 | 751 | 0.693 | 693 |
| 4 | 6,500 | 1,000 | 5,500 | 0.683 | 683 | 0.613 | 613 |
| 5 | 5,500 | 11,000 | (5,500) | 0.621 | 6,830 | 0.543 | 5,970* |
| | | | | | **10,000** | | **8,945** |

*Difference is due to approximation

Taking 10% as discount rate, present value (PV) comes out to be ₹ 10,000.

If rate is increased by 3% over a base rate of 10%, PV decreases by ₹ 1,055 (i.e. ₹ 10,000 less ₹ 8945).

To decrease PV by ₹ 1,055, rate should be increased = 3%

To decrease PV by Re.1, rate should be increased = 3% / 1,055

To decrease PV by ₹ 500, rate should be increased = 3% x (500/1,055)

= 1.42%

This would mean that the discount rate to get present value of cashflows equivalent to ₹ 9,500 should be 11.42% (i.e. 10% + 1.42%).

***Same type — not repeated here.*** *What changes in each:*

→ ***SM Ch 11 Unit 2 · Illustration 32: Issue of borrowings with fixed rate of interest*** *— Loan 10,000 at 12% with fee 500, repaid in 4 half-yearly instalments of 2,500, interest quarterly; IRR given 16.60% → initial 9,500; first quarter interest 389 → 9,589.*

## Q75 · Amortised cost and EIR with fees

SM Ch 11 Unit 2 · Illustration 33: Accounting treatment of processing fees belonging to undisbursed · Notes §7 (p 7)

**Illustration 33: Accounting treatment of processing fees belonging to undisbursed loan amount**

*X Ltd. had taken 6 year term loan in April 20X0 from bank and paid processing fees at the time of sanction of loan.*

*The term loan is disbursed in different tranches from April 20X0 to April 20X6. On the date of transition to Ind AS, i.e. 1.4.20X5, it has calculated the net present value of term loan disbursed upto 31.03.20X5 by using effective interest rate and proportionate processing fees has been adjusted in disbursed amount while calculating net present value.*

*What will be the accounting treatment of processing fees belonging to undisbursed term loan amount?*

## Solution — ICAI

**Solution**

Processing fee is an integral part of the effective interest rate of a financial instrument and shall be included while calculating the effective interest rate.

(a) **Accounting treatment in case future drawdown is probable**

It may be noted that to the extent there is evidence that it is probable that the undisbursed term loan will be drawn down in the future, the processing fee is accounted for as a transaction cost under Ind AS 109, i.e., the fee is deferred and deducted from the carrying value of the financial liabilities when the draw down occurs and considered in the effective interest rate calculations.

(b) **Accounting treatment in case future drawdown is not probable**

If it is not probable that the undisbursed term loan will be drawn down in the future, then the fees is recognised as an expense on a straight-line basis over the term of the loan.

## Q76 · FVTPL and FVOCI accounting

SM Ch 11 Unit 2 · Illustration 22: Accounting for transaction costs on initial and subsequent · **Notes §6 table, §7 (p 6-8)**

**Illustration 22: Accounting for transaction costs on initial and subsequent measurement of a financial asset measured at fair value with changes through other comprehensive income:**

*An entity acquires a financial asset for CU 100 plus a purchase commission of CU 2. Initially, the entity recognises the asset at CU 102. The reporting period ends one day later, when the quoted market price of the asset is CU 100. If the asset were sold, a commission of CU 3 would be paid. How would transaction costs be accounted in books of the entity?*

## Solution — ICAI

**Solution**

- On that date, the entity measures the asset at CU 100 (without regard to the possible commission on sale) and recognises a loss of CU 2 in other comprehensive income.
- If the financial asset is measured at fair value through other comprehensive income in accordance with Ind AS 109.4.1.2A, the transaction costs are amortised to profit or loss using the effective interest method.

## Q77 · FVTPL and FVOCI accounting

SM Ch 11 Unit 2 · Illustration 24 : Use of cost v/s fair value determination for equity instruments · **Notes §6 table, §7 (p 6-8)**

**Illustration 24 : Use of cost v/s fair value determination for equity instruments**

*Silver Ltd. has made an investment in optionally convertible preference shares (OCPS) of a Company – Bronze Ltd. at ₹ 100 per share (face value ₹ 100 per share). Silver Ltd. has an option to convert these OCPS into equity shares in the ratio of 1:1 and if such option not exercised till end of 9 years, then the shares shall be redeemable at the end of 10 years at a premium of 20%.*

*Analyse the measurement of this investment in books of Silver Ltd.*

## Solution – ICAI

**Solution**

The classification assessment for a financial asset is done based on two characteristics:

(i) Whether the contractual cash flows comprise cash flows that are solely payments of principal and interest on the principal outstanding

(ii) Entity's business model (BM) for managing financial assets – Whether the Company's BM is to collect cash flows; or a BM that involves realisation of both contractual cash flows & sale of financial assets;

In all other cases, the financial assets are measured at fair value through profit or loss.

In the above case, the Holder can realise return either through conversion or redemption at the end of 10 years, hence it does not indicate contractual cash flows that are solely payments of principal and interest. Therefore, such investment shall be carried at fair value through profit or loss. Accordingly, the investment shall be measured at fair value periodically with gain/ loss recorded in profit or loss.

## Q78 · FVTPL and FVOCI accounting

SM Ch 11 Unit 2 · Illustration 26 : Accounting for assets at FVTPL · Notes §6 table, §7 (p 6-8)

**Illustration 26 : Accounting for assets at FVTPL**

*A Ltd. invested in equity shares of C Ltd. on 15th March for ₹ 10,000. Transaction costs were ₹ 500 in addition to the basic cost of ₹ 10,000. On 31 March, the fair value of the equity shares was ₹ 11,200 and market rate of interest is 10% per annum for a 10 year loan. Pass necessary journal entries. Analyse the measurement principle and pass necessary journal entries.*

## Solution – ICAI

**Solution**

The above investment is in equity shares of C Ltd and hence, does not involve any contractual cash flows that are solely payments of principal and interest. Hence, these equity shares shall be measured at fair value through profit or loss. Also, an irrecoverable option exists to designate such investment as fair value through other comprehensive income.

**Journal Entries**

| Particulars | | Amount | Amount |
|---|---|---|---|
| Upon initial recognition – | | | |
| Investment in equity shares of C Ltd. | Dr. | 10,000 | |
| Transaction cost | Dr. | 500 | |
| To Bank A/c | | | 10,500 |
| (Being investment recognized at fair value plus transaction costs upon initial recognition) | | | |

| | | | |
|---|---|---|---|
| Profit and Loss A/c | Dr. | 500 | |
| To Transaction cost | | | 500 |
| (Being transaction cost incurred on assets measured at FVTPL transferred to P&L A/c) | | | |

| **Subsequently –** | | | |
|---|---|---|---|
| Investment in equity shares of C Ltd. | Dr. | 1,200 | |
| To Fair value gain on financial instruments | | | 1,200 |
| (Being fair value gain recognized at year end in P&L) | | | |
| Fair value gain on financial instruments | Dr. | 1,200 | |
| To Profit and Loss A/c | | | 1,200 |
| (Being fair value gain transferred to P&L A/c) | | | |

## Q79 · FVTPL and FVOCI accounting

SM Ch 11 Unit 2 · Illustration 27: Accounting for assets at FVOCI · **Notes 56 table, 57 (p 6-8)**

**Illustration 27: Accounting for assets at FVOCI**

*Metallics Ltd. has made an investment in equity instrument of a company – Castor Ltd. for 19% equity stake. Significant influence not exercised. The investment was made for ₹ 5,00,000 for 10,000 equity shares on 01 April 20X1. On 30 June 20X1 the fair value per equity share is ₹ 45. The Company has taken an irrevocable option to measure such investment at fair value through other comprehensive income.*

## Solution – ICAI

**Solution**

The Company has made an irrecoverable option to carry its investment at fair value through other comprehensive income. Accordingly, the investment shall be initially recognised at fair value and all subsequent fair value gains/ losses shall be recognised in other comprehensive income (OCI).

**Journal Entries**

| **Particulars** | | **Amount** | **Amount** |
|---|---|---|---|
| **Upon initial recognition –** | | | |
| Investment in equity shares of C Ltd. | Dr. | 5,00,000 | |
| To Bank a/c | | | 5,00,000 |
| (Being investment recognized at fair value plus transaction costs upon initial recognition) | | | |

| | | | |
|---|---|---|---|
| **Subsequently –** | | | |
| Fair value loss on equity investment | Dr. | 50,000 | |
| To Investment in equity shares of C Ltd. | | | 50,000 |
| (Being fair value loss recognized in OCI section of the Statement of Profit and Loss under items that cannot be reclassified to profit or loss) | | | |
| Fair Value Reserve for Equity Investments | Dr. | 50,000 | |
| To Fair value loss on financial instruments | | | 50,000 |
| (Being fair value loss recognized in other comprehensive income accumulated in equity investments fair value reserve) | | | |

## Q80 · FVTPL and FVOCI accounting

SM Ch 11 Unit 2 · Illustration 35: Accounting treatment of share held as stock in trade · **Notes §6 table, §7 (p 6-8)**

**Illustration 35: Accounting treatment of share held as stock in trade**

*A share broking company is dealing in sale/purchase of shares for its own account and therefore is having inventory of shares purchased by it for trading.*

*How will these instruments be accounted for in the financial statements?*

## Solution — ICAI

**Solution**

Ind AS 2, Inventories, states that this Standard applies to all inventories, except financial instruments (Ind AS 32, Financial Instruments: Presentation and Ind AS 109, Financial Instruments).

Accordingly, the principles of recognising and measuring financial instruments are governed by Ind AS 109, its presentation is governed by Ind AS 32 and disclosures are in accordance with Ind AS 107, Financial Instruments: Disclosures, even if these instruments are held as stock-in trade by a company.

Further Ind AS 101, First-time Adoption of Indian Accounting Standards does not provide any transitional relief from the application of the above standards.

Accordingly, in the given case, the relevant requirements of Ind AS 109, Ind AS 32 and Ind AS 107 shall be applied retrospectively.

# Ⓔ Adjustments in this topic — what to do

## Initial measurement — below-market loans and deposits

Notes §7 interest-free loans (p 7–8) · practise: Q68, Q69, Q67, Q70, Q71, Q72

**When:** Interest-free / low-interest loan or deposit, or deferred payment.

1. FV = PV of cash flows at the market rate.
2. Day-1 difference: to a subsidiary → investment (parent) / equity contribution (subsidiary); deposit under a lease → ROU asset / prepaid rent; staff loan → prepaid employee cost; otherwise P&L.
3. Repayable on demand → FV = face value, no interest.
4. Unwind at the market rate each year; prepaid cost amortised over the period.

**ICAI figures:** Illus 28: ₹ 10 lakh, 3 years, 10% → 7,51,315; investment 2,48,685. TYK 1: staff loan 16 lakh → PV **14,06,272**, prepaid staff cost 1,93,728. Illus 25: deposit 10 lakh → 5,67,427. Asked: Jan 2026 Q2(a).

## Amortised cost and EIR with fees

Notes §7 (p 7) · practise: Q73, Q74, Q75

**When:** Loan with processing fee / transaction costs.

1. Initial = amount − fees (fees integral to the loan).
2. EIR = rate that discounts all cash flows to that net amount (interpolate between two rates).
3. Interest = opening × EIR; closing = opening + interest − payment.
4. Fee for undrawn tranches: deferred if drawdown probable; else expensed straight line.

**ICAI figures:** Illus 31: 9,500; EIR = 10% + 3% × 500/1,055 = **11.42%**; year 1 interest 1,085 → 9,585. Asked: Jan 2026 MCQ (loan bonds at 8% EIR).

## FVTPL and FVOCI investments

Notes §6 table, §7 (p 6–8) · practise: Q78, Q79, Q76, Q77

**When:** Equity shares or debt at fair value.

1. FVTPL: transaction cost to P&L; FV changes to P&L.
2. FVOCI equity (irrevocable election): FV changes to OCI, never recycled; dividend to P&L.
3. FVOCI debt: interest by EIR to P&L, FV change to OCI, recycled on sale.
4. Unquoted equity: cost only if it is the best estimate of FV; never for quoted.

**ICAI figures:** Illus 26: cost 500 expensed; gain 1,200 to P&L. Illus 27: 10,000 shares fall to ₹ 45 → **loss 50,000 in OCI**.

# Ⓕ Financial liabilities, guarantees, modification and refinancing

## Q81 · Financial liabilities — classification

SM Ch 11 Unit 2 · Illustration 29 : Trade creditors at market terms · **Notes §8 (p 8)**

**Illustration 29 : Trade creditors at market terms**

*A Company purchases its raw materials from a vendor at a fixed price of ₹ 1,000 per tonne of steel. The payment terms provide for 45 days of credit period, after which an interest of 18% per annum shall be charged. How would the creditors be classified in books of the Company?*

### Solution — ICAI

**Solution**

In the above case, creditors for purchase of steel shall be carried at amortised cost, ie, fair value of amount payable upon initial recognition plus interest (if payment is delayed). Here, fair value upon initial recognition shall be the price per tonne. The transaction price is representative of fair value.

## Q82 · Financial liabilities — classification

SM Ch 11 Unit 2 · Illustration 30 · **Notes §8 (p 8)**

**Illustration 30**

*An entity is about to purchase a portfolio of **fixed rate assets** that will be **financed by fixed rate debentures**. Both financial assets and financial liabilities are subject to the same interest rate risk that gives rise to opposite changes in fair value that tend to offset each other. Provide your comments.*

### Solution — ICAI

**Solution**

The fixed rate assets provide for contractual cash flows and based on business model of the entity, such fixed rate assets may be classified as 'amortised cost' (if entity collects contractual cash flows) or fair value through other comprehensive income (FVOCI) (if entity manages through collecting contractual cash and sale of financial assets).

In the absence of fair value option, the entity can classify the fixed rate assets as FVOCI with gains and losses on changes in fair value recognised in other comprehensive income and fixed rate debentures at amortised cost. However, reporting both assets and liabilities at fair value through profit and loss, ie, FVTPL corrects the measurement inconsistency and produces more relevant information.

Hence, it may be appropriate to classify the entire group of fixed rate assets and fixed rate debentures at fair value through profit or loss (FVTPL).

## Q83 · Financial guarantee contracts

SM Ch 11 · Test Your Knowledge Q6 · **Notes §8 special basis (p 8)**

**Adjustments tested:** *Financial guarantee at FV (interest differential) · Higher of ECL and amortised amount*

6. On 1 April 20X1, Sun Limited guarantees a ₹ 10,00,000 loan of Subsidiary – Moon Limited, which Bank STDK has provided to Moon Limited for three years at 8%.

Interest payments are made at the end of each year and the principal is repaid at the end of the loan term.

If Sun Limited had not issued a guarantee, Bank STDK would have charged Moon Limited an interest rate of 11%. Sun Limited does not charge any commission from Moon Limited for providing the guarantee.

On 31 March 20X2, there is 1% probability that Moon Limited may default on the loan in the next 12 months. If Moon Limited defaults on the loan, Sun Limited does not expect to recover any amount from Moon Limited.

On 31 March 20X3, there is 3% probability that Moon Limited may default on the loan in the next 12 months. If Moon Limited defaults on the loan, Sun Limited does not expect to recover any amount from Moon Limited.

Provide the accounting treatment of financial guarantee as per Ind AS 109 in the books of Sun Ltd., on initial recognition and in subsequent periods till 31 March 20X3.

## Solution — ICAI

6. ***1 April 20X1***

A financial guarantee contract is initially recognised at fair value. The fair value of the guarantee will be the present value of the difference between the net contractual cash flows required under the loan, and the net contractual cash flows that would have been required without the guarantee.

| Particulars | Year 1 (₹) | Year 2 (₹) | Year 3 (₹) | Total (₹) |
|---|---|---|---|---|
| Cash flows based on interest rate of 11% (A) | 1,10,000 | 1,10,000 | 1,10,000 | 3,30,000 |
| Cash flows based on interest rate of 8% (B) | 80,000 | 80,000 | 80,000 | 2,40,000 |
| Interest rate differential (A-B) | 30,000 | 30,000 | 30,000 | 90,000 |
| Discount factor @ 11% | 0.901 | 0.812 | 0.731 | |
| Interest rate differential discounted at 11% | 27,030 | 24,360 | 21,930 | 73,320 |
| **Fair value of financial guarantee contract (at inception)** | | | | 73,320 |

**Journal Entry**

| Particulars | | Debit (₹) | Credit (₹) |
|---|---|---|---|
| Investment in subsidiary | Dr. | 73,320 | |
| To Financial guarantee (liability) | | | 73,320 |
| (Being financial guarantee initially recorded) | | | |

***31 March 20X2***

Subsequently at the end of the reporting period, financial guarantee is measured at the higher of:

- the amount of loss allowance; and
- the amount initially recognised less cumulative amortization, where appropriate.

At 31 March 20X2, there is 1% probability that Moon Limited may default on the loan in the next 12 months. If Moon Limited defaults on the loan, Sun Limited does not expect to recover any amount from Moon Limited. The 12-month expected credit losses are therefore ₹ 10,000 (Rs.10,00,000 x 1%).

The initial amount recognised less amortisation is ₹ 51,385 (₹ 73,320 + ₹ 8,065 (interest accrued based on EIR)) – ₹ 30,000 (benefit of the guarantee in year 1) Refer table below. The unwound amount is recognised as income in the books of Sun Limited, being the benefit derived by Moon Limited not defaulting on the loan during the period.

| Year | Opening balance ₹ | EIR @ 11% | Benefits provided ₹ | Closing balance ₹ |
|---|---|---|---|---|
| 1 | 73,320 | 8,065 | (30,000) | 51,385 |
| 2 | 51,385 | 5,652 | (30,000) | 27,037 |
| 3 | 27,037 | 2,963* | (30,000) | - |

* Difference is due to approximation

The carrying amount of the financial guarantee liability after amortisation is therefore ₹ 51,385, which is higher than the 12-month expected credit losses of ₹ 10,000. The liability is therefore adjusted to ₹ 51,385 (the higher of the two amounts) as follows:

| Particulars | | Debit (₹) | Credit (₹) |
|---|---|---|---|
| Financial guarantee (liability) | Dr. | 21,935 | |
| To Profit or loss | | | 21,935 |
| (Being financial guarantee subsequently adjusted) | | | |

***31 March 20X3***

At 31 March 20X3, there is 3% probability that Moon Limited will default on the loan in the next 12 months. If Moon Limited defaults on the loan, Sun Limited does not expect to recover any amount from Moon Limited. The 12-month expected credit losses are therefore ₹ 30.000 (₹ 10,00,000 x 3%).

The initial amount recognised less accumulated amortisation is ₹ 27,037, which is lower than the 12-month expected credit losses (₹ 30,000). The liability is therefore adjusted to ₹ 30,000 (the higher of the two amounts) as follows:

| Particulars | | Debit (₹) | Credit (₹) |
|---|---|---|---|
| Financial guarantee (liability) | Dr. | 21,385* | |
| To Profit or loss (Note) | | | 21,385 |
| (Being financial guarantee subsequently adjusted) | | | |

* The carrying amount at the end of 31 March 20X2 = ₹ 51,385 less 12-month expected credit losses of ₹ 30,000.

## Q84 · Financial guarantee contracts

ICAI Practice Questions · Ch 11 Q5 · Notes §8 special basis (p 8)

5. SEL has applied for a term loan from a bank for business purposes. As per the loan agreement, the loan required a personal guarantee of one of the directors of SEL to be executed. In case of default by SEL, the director will be required to compensate for the loss that bank incurs. Mr. Pure Joy, one of the directors had given guarantee to the bank pursuant to which the loan was sanctioned to SEL. SEL does not pay premium or fees to its director for providing this financial guarantee.

   Whether SEL is required to account for the financial guarantee received from its director? Will there be any disclosures under Ind AS 24?

## Solution — ICAI

**5.** Ind AS 109 'Financial Instruments', defines a financial guarantee contract as 'a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Based on this definition, an evaluation is required to be done to ascertain whether the contract between director and Bank qualifies as a financial guarantee contract as defined in Appendix A to Ind AS 109. In the given case, it does qualify as a financial guarantee contract as:

- the reference obligation is a debt instrument (term loan);
- the holder i.e. Bank is compensated only for a loss that it incurs (arising on account of non-repayment); and
- the holder is not compensated for more than the actual loss incurred.

Ind AS 109 provides principles for accounting by the issuer of the guarantee. However, it does not specifically address the accounting for financial guarantees by the beneficiary. In an arm's length transaction between unrelated parties, the beneficiary of the financial guarantee would recognise the guarantee fee or premium paid as an expense.

It is also pertinent to note that the entity needs to exercise judgment in assessing the substance of the transaction taking into consideration relevant facts and circumstances, for example, whether the director is being compensated otherwise for providing guarantee. Based on such an assessment, an appropriate accounting treatment based on the principles of Ind AS should be followed.

In the given case, SEL is the beneficiary of the financial guarantee and it does not pay a premium or fees to its director for providing this financial guarantee. Accordingly, SEL will not be required to account for such financial guarantee in its financial statements considering the unit of account as being the guaranteed loan, in which case the fair value would be expected to be the face value of the loan proceeds that SEL received.

In the given case based on the limited facts provided, SEL will be required to make necessary disclosures of such financial guarantee in accordance with Ind AS 24 as follows:

(a) the amount of the transactions;

(b) the amount of outstanding balances, including commitments, and:

  (i) their terms and conditions, including whether they are secured, and the nature of the consideration to be provided in settlement; and

  (ii) details of any guarantees given or received;

(c) provisions for doubtful debts related to the amount of outstanding balances; and

(d) the expense recognised during the period in respect of bad or doubtful debts due from related parties.

## Q85 · Modification, refinancing, extinguishment, debt-for-equity

SM Ch 11 Unit 2 · Illustration 34: Accounting treatment of prepayment premium and processing fees · **Notes §8 modification, §13 (p 9, 11-12)**

**Illustration 34: Accounting treatment of prepayment premium and processing fees for obtaining new loan to prepay old loan**

*PQR Limited had obtained term loan from Bank A in 20X1-20X2 and paid loan processing fees and commitment charges.*

*In May 20X5, PQR Ltd. has availed fresh loan from Bank B as take-over of facility i.e. the new loan is sanctioned to pay off the old loan taken from Bank A. The company paid prepayment premium to Bank A to clear the old term loan and paid processing fees to Bank B for the new term loan.*

*Whether the prepayment premium and the processing fees both will be treated as transaction cost (as per Ind AS 109, Financial Instruments) of obtaining the new loan, in the financial statements of PQR Ltd?*

### Solution — ICAI

**Solution**

**(a) Accounting treatment of prepayment premium**

Ind AS 109, provides that if an exchange of debt instruments or modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognised as part of the gain or loss on the extinguishment in the statement of profit and loss.

Since the original loan was prepaid, the prepayment would result in extinguishment of the original loan. The difference between the CV of the financial liability extinguished and the consideration paid shall be recognised in profit or loss as per Ind AS 109.

Accordingly, the prepayment premium shall be recognised as part of the gain or loss on extinguishment of the old loan.

**(b) Accounting treatment of unamortised processing fee of old loan**

Processing fees are not amortised separately from the loan. Processing fees are part of EIR and therefore are amortised with the loan. Therefore, the accounting treatment of unamortised processing fee will be the same as for the loan that is derecognised from financial liability and recognised in profit or loss. In other words, unamortised processing fee related to the old loan will also be required to be charged to the statement of profit and loss.

**(c) Accounting treatment of processing fee for new loan**

Transaction costs are "Incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or financial liability. An incremental cost is one that would not have been incurred if the entity had not acquired, issued or disposed of the financial instrument."

It is assumed that the loan processing fees solely relates to the origination of the new loan (i.e. does not represent loan modification/renegotiation fees). Hence, the processing fees paid to avail fresh loan from Bank B will be considered as transaction cost in the nature of origination fees of the new loan and will be included while calculating effective interest rate as per Ind AS 109.

## Q86 · Modification, refinancing, extinguishment, debt-for-equity

SM Ch 11 Unit 5 · Example 3: Extinguishment accounting · **Notes §8 modification, §13 (p 9, 11-12)**

**Example 3: Extinguishment accounting**

On 1 January 20X0, XYZ Ltd. issues 10 year bonds for ₹ 10,00,000, bearing interest at 10% (payable annually on 31st December each year). The bonds are redeemable on 31 December 20X9 for ₹ 10,00,000. No costs or fees are incurred. The effective interest rate is therefore 10%. On 1 January 20X5 (i.e. after 5 years) XYZ Ltd. and the bondholders agree to a modification in accordance with which:

- the term is extended to 31 December 20Y1;
- interest payments are reduced to 5% p.a.;
- the bonds are redeemable on 31 December 20Y1 for ₹ 15,00,000; and
- legal and other fees of ₹ 1,00,000 are incurred.

XYZ Ltd. determines that the market interest rate on 1 January 20X5 for borrowings on similar terms is 11%.

The repayment schedule for the original debt till the date of renegotiation is as below:

| Date / year ended | Opening balance | Interest accrual | Cash flows | Closing balance |
|---|---|---|---|---|
| 1 January 20X0 | 10,00,000 | 1,00,000 | (100,000) | 10,00,000 |

| | | | | |
|---|---|---|---|---|
| 31 December 20X0 | 10,00,000 | 1,00,000 | (1,00,000) | 10,00,000 |
| 31 December 20X1 | 10,00,000 | 1,00,000 | (1,00,000) | 10,00,000 |
| 31 December 20X2 | 10,00,000 | 1,00,000 | (1,00,000) | 10,00,000 |
| 31 December 20X3 | 10,00,000 | 1,00,000 | (1,00,000) | 10,00,000 |
| 31 December 20X4 | 10,00,000 | 1,00,000 | (1,00,000) | 10,00,000 |

On 1 January 20X5, the discounted present value of the remaining cash flows of the original financial liability is ₹ 10,00,000.

On this date, XYZ Ltd. will compute the present value of:

- cash flows under the new terms – i.e. ₹ 15,00,000 payable on 31 December 20Y1 and ₹ 50,000 payable for each of the 7 years ending 31 December 20Y1.
- fees paid by the borrower to the lender – i.e. ₹ 1,00,000

using the original effective interest rate of 10%

The total of these amounts to ₹ 11,13,158 (Refer Working Note). This differs from the discounted present value of the remaining cash flows of the original financial liability by 11.32% i.e. by more than 10%. Hence, extinguishment accounting applies.

The next step is to estimate the fair value of the modified liability. This is determined as the present value of the future cash flows (interest and principal), using an interest rate of 11% (the market rate at which XYZ Ltd. could issue new bonds with similar terms). The estimated fair value on this basis is ₹ 958,097 (Refer Working Note). A gain or loss on modification is then determined as:

Gain (loss) = carrying value of existing liability - fair value of modified liability - fees and costs incurred i.e. ₹ 10,00,000 – ₹ 9,58,097 – ₹ 1,00,000 = Loss of ₹ 58,097

**Working Note:**

| Year | Discount factor @ 10% | Discount factor @ 11% |
|---|---|---|
| 1 | 0.909091 | 0.900901 |
| 2 | 0.826446 | 0.811622 |
| 3 | 0.751315 | 0.731191 |
| 4 | 0.683013 | 0.658731 |
| 5 | 0.620921 | 0.593451 |
| 6 | 0.564474 | 0.534641 |
| 7 | 0.513158 | 0.481658 |
| Annuity | 4.868419 | 4.712196 |

| Amount | Discounting factor @ 10% | Present value | Discounting factor @ 11% | Present value |
|---|---|---|---|---|
| 15,00,000 | 0.513158 | 7,69,737 | 0.481658 | 7,22,487 |
| 1,00,000 | | 1,00,000 | | |
| 50,000 for 7 years | 4.868419 | 2,43,421 | 4.712196 | 2,35,610 |
| | | 11,13,158 | | 9,58,097 |
| PV of original cash flows @ original EIR | | (10,00,000) | | |
| Difference | | 1,13,158 | | |
| Difference % | | 11.32% | | |

### Modification accounting

Ind AS 109 is not clear as to the accounting treatment if the 10% test is failed. Two alternate approaches are therefore possible:

***Amortisation of any cost or fees incurred on modification***

Under this approach,

- the fees or costs incurred are netted against the existing liability;
- the effective interest rate is recalculated. This is the rate which discounts the future cash flows as per modified contractual terms to the adjusted carrying amount mentioned above
- the adjusted effective interest rate is used to determine the amortised cost and interest expense in future periods

*ICAI example — facts and ICAI's analysis are printed together.*

## Q87 · Modification, refinancing, extinguishment, debt-for-equity

SM Ch 11 Unit 5 · Example 4: Modification accounting · **Notes §8 modification, §13 (p 9, 11–12)**

**Example 4: Modification accounting**

On 1 January 20X0, XYZ Ltd. issues 10 year bonds for ₹ 1,000,000, bearing interest at 10% (payable annually on 31st December each year). The bonds are redeemable on 31 December 20X9 for ₹ 1,000,000. No costs or fees are incurred. The effective interest rate is therefore 10%. On 1 January 20X5 (i.e. after 5 years) XYZ Ltd. and the bondholders agree to a modification in accordance with which:

- no further interest payments are made
- the bonds are redeemed on the original due date (31 December 20X9) for ₹ 1,600,000;
- fees paid by the borrower to lender ₹ 50,000

.The repayment schedule for the original debt till the date of renegotiation is as below:

| Date / year ended | Opening balance | Interest accrual | Cash flows | Closing balance |
|---|---|---|---|---|
| 1 January 20X0 | 10,00,000 | 1,00,000 | (1,00,000) | 10,00,000 |
| 31 December 20X1 | 10,00,000 | 1,00,000 | (1,00,000) | 10,00,000 |
| 31 December 20X2 | 10,00,000 | 1,00,000 | (1,00,000) | 10,00,000 |
| 31 December 20X3 | 10,00,000 | 1,00,000 | (1,00,000) | 10,00,000 |
| 31 December 20X4 | 10,00,000 | 1,00,000 | (1,00,000) | 10,00,000 |
| 31 December 20X5 | 10,00,000 | 1,00,000 | (1,00,000) | 10,00,000 |

On 1 January 20X5, the discounted present value of the remaining cash flows of the original financial liability is ₹ 10,00,000.

On this date, XYZ Ltd. will compute the present value of:

i. cash flows under the new terms – i.e. ₹ 16,00,000 payable on 31 December 20X9

ii. any fees paid (net of any fees received) – i.e. ₹ 50,000

using the original effective interest rate of 10%.

The total of these amounts to ₹ 10,43,474 (Refer Working Note). This differs from the discounted present value of the remaining cash flows of the original financial liability by 4.35% i.e. by less than 10%. Hence, modification accounting applies.

On this basis:

i. the fees paid of ₹ 50,000 are netted against the existing liability of ₹ 10,00,000, resulting in an adjusted carrying amount of ₹ 9,50,000;

ii. the effective interest rate (EIR) is recalculated. This is the rate which discounts the future cash flows (₹ 16,00,000 in five years' time) to the adjusted carrying amount of ₹ 9,50,000. The adjusted EIR is 10.99%

iii. the adjusted EIR is used to determine the amortised cost and interest expense in future periods.

**Working Note:**

**For testing extinguishment -**

| | |
|---|---|
| Cash flows under new terms | 16,00,000 |
| PV as at 01 January 20X5 | |
| Revised cash flows@ original EIR | 9,93,474 |
| Fees incurred | 50,000 |
| PV of revised cash flows @ original EIR | 10,43,474 |

| | |
|---|---|
| PV of original cash flows @ original EIR | (10,00,000) |
| Difference | 43,474 |
| Difference % | 4% |
| Less than 10% - Indicates modification | |

**Accounting for revised cash flows @ original EIR**

| Year | Opening balance | Interest | Payment | Closing balance |
|---|---|---|---|---|
| 0 | 10,00,000 | - | -50,000 | 9,50,000 |
| 1 | 9,50,000 | 1,04,405 | 0 | 10,54,405 |
| 2 | 10,54,405 | 1,15,879 | 0 | 11,70,284 |
| 3 | 11,70,284 | 1,28,614 | 0 | 12,98,898 |
| 4 | 12,98,898 | 1,42,749 | 0 | 14,41,647 |
| 5 | 14,41,647 | 1,58,353* | -16,00,000 | - |
| * Difference is due to approximation | | | | |

*ICAI example — facts and ICAI's analysis are printed together.*

## Q88 · Modification, refinancing, extinguishment, debt-for-equity

SM Ch 11 Unit 5 · Illustration 13: Renegotiation of terms of (defaulted) borrowings subsequent to the year- · **Notes §8 modification, §13 (p 9, 11-12)**

**Illustration 13: Renegotiation of terms of (defaulted) borrowings subsequent to the year-end**

*Ind AS 109, Financial Instruments requires recognition of renegotiation gain/loss subject to fulfillment of certain conditions as mentioned in the standard. If there has been a renegotiation of terms of (defaulted) borrowings subsequent to the year end, but before the date of approval of financial statements, then should such modification gain/loss be recognised in the current year financial statements itself or in the next year when the terms of (defaulted) borrowings have been renegotiated in accordance with Ind AS 109?*

### Solution — ICAI

**Solution**

As per paragraph 5.4.3 of Ind AS 109, Financial Instruments, whenever contractual cash flows of a financial instrument are renegotiated or otherwise modified and the renegotiation or modification does not result in the derecognition of that financial asset in accordance with this Standard, an entity shall recalculate the gross carrying amount of the financial asset and shall recognise a modification gain or loss in profit or loss.

In accordance with the above, modification gain or loss should be recognised in profit or loss in the period in which the renegotiation has contractually taken place. Accordingly, in the given case, if the terms of the (defaulted) borrowings have been renegotiated in the next year, then the related gain/loss should also be recognised in the next year.

## Q89 · Modification, refinancing, extinguishment, debt-for-equity

SM Ch 11 Unit 5 · Example 5: Extinguishment of part of a financial liability through issue of equity · **Notes §8 modification, §13 (p 9, 11–12)**

**Example 5: Extinguishment of part of a financial liability through issue of equity instruments**

JK Ltd. has an outstanding unsecured loan of ₹ 90 crores to a bank. The effective interest rate (EIR) of this loan is 10%. Owing to financial difficulties, JK Ltd. is unable to service the debt and approaches the bank for a settlement.

The bank offers the following terms which are accepted by JK Ltd.:

- 2/3rd of the debt is unsustainable and hence will be converted into 70% equity interest in JK Ltd. The fair value of net assets of JK Ltd. is ₹ 80 crores.
- 1/3rd of the debt is sustainable and the bank agrees to certain moratorium period and decrease in interest rate in initial periods. The present value of cash flows as per these revised terms calculated using original EIR is ₹ 25 crores. The fair value of the cash flows as per these revised terms is ₹ 28 crores.

Fair value of the consideration paid is ₹ 56 crores (70% of ₹ 80 crores) plus ₹ 28 crores i.e. ₹ 84 crores.

Accordingly, 2/3rd of the original financial liability is extinguished through issue of equity shares and terms of 1/3rd of the original financial liability have been modified. JK Ltd. will need to evaluate if this modification tantamount to "substantial modification" or not.

Applying the guidance contained in Appendix D to Ind AS 109:

- Difference between the fair value of equity instruments (₹ 56 crores) and 2/3rd of the original financial liability (2/3rd of ₹ 90 crores = ₹ 60 crores) i.e. ₹ 4 crores will be recognised as a gain in the statement of profit and loss
- Carrying amount of original financial liability which is not extinguished (1/3rd of ₹ 90 crores = ₹ 30 crores) is compared with the present value of cash flows as per these revised terms (₹ 25 crores)
- As the difference is more than 10%, this results in substantial modification of the original financial liability. Resultantly, the existing financial liability (₹ 30 crores) will be extinguished and the new financial liability will be recognised at its fair value i.e. ₹ 28 crores.
- The difference i.e. ₹ 2 crores will be recognised as a gain in the statement of profit and loss.

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*ICAI example — facts and ICAI's analysis are printed together.*

## Q90 · Modification, refinancing, extinguishment, debt-for-equity

SM Ch 11 · Test Your Knowledge Q3 · **Notes §8 modification, §13 (p 9, 11–12)**

> ***Adjustments tested:*** *EIR with processing fee · Renegotiation — 10% test · Extinguishment vs modification entries*

3. Wheel Co. Limited borrowed ₹ 500,000,000 from a bank on 1 January 20X1. The original terms of the loan were as follows:

- Interest rate: 11%
- Repayment of principal in 5 equal instalments
- Payment of interest annually on accrual basis
- Upfront processing fee: ₹ 5,870,096

Effective interest rate on loan: 11.50%

On 31 December 20X2, Wheel Co. Limited approached the bank citing liquidity issues in meeting the cash flows required for immediate instalments and re-negotiated the terms of the loan with banks as follows:

- Interest rate 15%
- Repayment of outstanding principal in 10 equal instalments starting 31 December 20X3
- Payment of interest on an annual basis

Record journal entries in the books of Wheel Co. Limited till 31 December 20X3, after giving effect of the changes in the terms of the loan on 31 December 20X2

## Solution — ICAI

**3.** On the date of initial recognition, the effective interest rate of the loan shall be computed keeping in view the contractual cash flows and upfront processing fee paid. The following table shows the amortisation of loan based on effective interest rate:

| Date | Cash flows (principal) | Cash flows (interest and fee) | Amortised cost (opening + interest – cash flows) | Interest @ EIR (11.50%) |
|---|---|---|---|---|
| 1-Jan-20X1 | (500,000,000) | 5,870,096 | 494,129,904 | |
| 31-Dec-20X1 | 100,000,000 | 55,000,000 | 395,954,843 | 56,824,939 |
| 31-Dec-20X2 | 100,000,000 | 44,000,000 | 297,489,650 | 45,534,807 |
| 31-Dec-20X3 | 100,000,000 | 33,000,000 | 198,700,959 | 34,211,310 |
| 31-Dec-20X4 | 100,000,000 | 22,000,000 | 99,551,570 | 22,850,610 |
| 31-Dec-20X5 | 100,000,000 | 11,000,000 | (0) | 11,448,430 |

**a. 1 January 20X1 –**

| Particulars | | Dr. (₹) | Cr. (₹) |
|---|---|---|---|
| Bank A/c | Dr. | 494,129,904 | |
| To Loan from bank A/c | | | 494,129,904 |
| (Being loan recorded at its fair value less transaction costs on the initial recognition date) | | | |

**b. 31 December 20X1 –**

| Particulars | | Dr. Amount (₹) | Cr. Amount (₹) |
|---|---|---|---|
| Loan from bank A/c | Dr. | 98,175,061 | |
| Interest expense (profit and loss) | Dr. | 56,824,939 | |
| To Bank A/c | | | 155,000,000 |
| (Being first instalment of loan and payment of interest accounted for as an adjustment to the amortised cost of loan) | | | |

**c. 31 December 20X2 – Before Wheel Co. Limited approached the bank –**

| Particulars | | Dr. Amount (₹) | Cr. Amount (₹) |
|---|---|---|---|
| Interest expense (profit and loss) | Dr. | 45,534,807 | |
| To Loan from bank A/c | | | 1,534,807 |
| To Bank A/c | | | 44,000,000 |
| (Being loan payment of interest recorded by the Company before it approached the Bank for deferment of principal) | | | |

Upon receiving the new terms of the loan, Wheel Co. Limited, re-computed the carrying value of the loan by discounting the new cash flows with the original effective interest rate and comparing the same with the current carrying value of the loan. As per requirements of Ind AS 109, any change of more than 10% shall be considered a substantial modification, resulting in fresh accounting for the new loan:

| Date | Cash flows (principal) | Interest outflow @15% | Discount factor | PV of cash flows |
|---|---|---|---|---|
| 31-Dec-20X2 | (400,000,000) | | | |
| 31-Dec-20X3 | 40,000,000 | 60,000,000 | 0.8969 | 89,686,099 |
| 31-Dec-20X4 | 40,000,000 | 54,000,000 | 0.8044 | 75,609,805 |
| 31-Dec-20X5 | 40,000,000 | 48,000,000 | 0.7214 | 63,483,092 |
| 31-Dec-20X6 | 40,000,000 | 42,000,000 | 0.6470 | 53,053,542 |
| 31-Dec-20X7 | 40,000,000 | 36,000,000 | 0.5803 | 44,100,068 |
| 31-Dec-20X8 | 40,000,000 | 30,000,000 | 0.5204 | 36,429,133 |
| 31-Dec-20X9 | 40,000,000 | 24,000,000 | 0.4667 | 29,871,422 |
| 31-Dec-20Y0 | 40,000,000 | 18,000,000 | 0.4186 | 24,278,903 |
| 31-Dec-20Y1 | 40,000,000 | 12,000,000 | 0.3754 | 19,522,235 |
| 31-Dec-20Y3 | 40,000,000 | 6,000,000 | 0.3367 | 15,488,493 |
| PV of new contractual cash flows discounted at 11.50% | | | | 451,522,791 |
| Carrying amount of loan | | | | 397,489,650 |
| Difference | | | | 54,033,141 |
| Percentage of carrying amount | | | | 13.59% |

**Note:** Calculation done above is on full decimal, though in the table discount factor is limited to 4 decimals.

Considering a more than 10% change in PV of cash flows compared to the carrying value of the loan, the existing loan shall be considered to have been extinguished and the new loan shall be accounted for as a separate financial liability. The accounting entries for the same are included below:

**d. 31 December 20X2 – accounting for extinguishment**

| Particulars | | Dr. Amount (₹) | Cr. Amount (₹) |
|---|---|---|---|
| Loan from bank (old) A/c | Dr. | 397,489,650 | |
| Loss on modification of loan (profit and loss) | Dr. | 2,510,350 | |
| To Loan from bank (new) A/c | | | 400,000,000 |
| (Being new loan accounted for at its principal amount in absence of any transaction costs directly related to such loan and correspondingly a de-recognition of existing loan) | | | |

**e. 31 December 20X3**

| Particulars | | Dr. Amount (₹) | Cr. Amount (₹) |
|---|---|---|---|
| Loan from bank A/c | Dr. | 40,000,000 | |
| Interest expense (profit and loss) | Dr. | 60,000,000 | |
| To Bank A/c | | | 100,000,000 |
| (Being first instalment of the new loan and payment of interest accounted for as an adjustment to the amortised cost of loan) | | | |

## Q91 · Modification, refinancing, extinguishment, debt-for-equity

ICAI Practice Questions · Ch 11 Q6 · Notes §8 modification, §13 (p 9, 11–12)

6. On 1st April, 20X1, a bank provides an entity with a four-year loan of ₹ 5,000 on normal market terms, including charging interest at a fixed rate of 8% per year. Interest is payable at the end of each year. The figure of 8% is the market rate for similar four-year fixed-interest loans with interest paid annually in arrears. Transaction cost of ₹ 100 is incurred on originating the loan. Effective interest rate in this case is 8.612%.

   In 20X1-20X2, the entity experienced financial difficulties. On 31st March, 20X2, the bank agreed to modify the terms of the loan. Under the new terms, the interest payments in 20X2-20X3 to 20X4-20X5 will be reduced from 8% to 5%. The entity paid the bank a fee of ₹ 50 for paperwork relating to the modification.

   Analyse whether the modification of the loan terms constitutes an extinguishment of the original financial liability or not.

## Solution — ICAI

**6.** Since the interest was initially set at the market rate, on 1st April, 20X1 the entity on initial recognition will measure the loan at the transaction price, less transaction costs i.e. at ₹ 4,900.

The following is the original amortised cost calculation at 1st April, 20X1:

| Time | Carrying amount at 1st April | Effective Interest @ 8.612% | Cash outflow | Carrying amount at 31st March |
|---|---|---|---|---|
| | (a) | (b=ax8.612%) | (c=5000x8%) | (d = a + b - c) |
| 20X1-20X2 | 4,900.00 | 421.99 | (400.00) | 4,921.99 |
| 20X2-20X3 | 4,921.99 | 423.88 | (400.00) | 4,945.87 |
| 20X3-20X4 | 4,945.87 | 425.94 | (400.00) | 4,971.81 |
| 20X4-20X5 | 4,971.81 | 428.19 | (5,400.00) | – |

At 31st March, 20X2:

1. The present value of the remaining cash flows of the original financial liability is ₹ 4,921.99 discounted at the original effective interest rate of 8.612%.
2. The present value of the cash flows under the new terms discounted using the original effective interest rate is ₹ 4,537.25 (Refer W.N.). Including the ₹ 50 fee, the present value of the total cash flows is ₹ 4,587.25.
3. The difference between ₹ 4,921.99 and ₹ 4,587.25 is ₹ 334.74 which is only 6.8% (₹ 334.74 ÷ ₹ 4,921.99) of the present value of the remaining cash flows of the original financial liability.

The entity applies its judgement to decide whether the terms of the instruments exchanged are substantially different. Since the difference of the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is less than 10% of the present value of the remaining cash flows of the original financial liability, this modification should not be considered a substantial modification of the terms of the existing loan. Therefore, the modification would not be accounted for as an extinguishment of the original financial liability.

**Working Note:**

The calculation of the present value of the cash flows under the new terms discounted using the original effective interest rate is as follows:

| Time | Cash outflow | Discounting factor @ 8.612% | Present value at 31st March |
|---|---|---|---|
| 31st March, 20X3 | 250.00 | 0.921 | 230.25 |
| 31st March, 20X4 | 250.00 | 0.848 | 212.00 |
| 31st March, 20X5 | 5,250.00 | 0.780 | 4,095.00 |
| Total present value | | | 4,537.25 |

# Ⓕ Adjustments in this topic — what to do

## Financial liabilities — which category

Notes §8 (p 8) · practise: Q81, Q82

**When:** Borrowings, payables, derivatives, contingent consideration.

1. Default: amortised cost.
2. FVTPL: held for trading, derivatives, contingent consideration of an acquirer, or designated to remove a mismatch.
3. Designated FVTPL: own-credit part of FV change → OCI.

**ICAI figures:** Illus 30: fixed-rate assets funded by fixed-rate debentures → designate both at FVTPL.

## Financial guarantee given

Notes §8 (p 8) · practise: Q83, Q84

**When:** Parent guarantees a subsidiary's bank loan free of charge.

1. Initial FV = PV of the interest saved (rate without guarantee − rate with guarantee).
2. Parent: Investment in subsidiary Dr / Financial guarantee liability Cr.
3. Later: higher of ECL allowance and initial amount less amortisation.

**ICAI figures:** TYK 6: 30,000 a year for 3 years at 11% → **73,320**; 12-month ECL at 31 Mar 20X2 = 10,00,000 × 1% = 10,000.

## Modification, refinancing and extinguishment

Notes §8 modification, §13 (p 9, 11–12) · practise: Q85, Q86, Q87, Q91, Q90, Q89

**When:** Terms renegotiated, loan prepaid and refinanced, or debt swapped for equity.

1. 10% test: PV of new cash flows + fees paid, at the **original EIR**, vs PV of remaining old cash flows.
2. ≥ 10% → extinguish: old liability (with unamortised fees) out; new at FV; difference and costs → P&L.
3. < 10% → modification: fees adjust the carrying amount (Example 4 resets the EIR).
4. Refinancing with another bank: prepayment penalty + unamortised old fees → P&L; new loan's fee → its EIR.
5. Debt-for-equity: shares at FV; difference vs liability → P&L.

**ICAI figures:** Example 3: 11.32% → extinguish, loss **58,097**. PQ Q6: 6.8% → not extinguished. Example 5: gains 4 cr + 2 cr. Asked: Sep 2025 and May 2026 MCQs (refinancing).

# ⑥ Reclassification

## Q92 · Reclassification of financial assets

SM Ch 11 Unit 2 · Illustration 36 · Notes §9 (p 9)

**Illustration 36**

*Bonds for ₹ 1,00,000 reclassified as FVTPL. Fair value on reclassification is ₹ 90,000. Pass the required journal entry.*

### Solution — ICAI

**Solution**

| Particulars | | Amount | Amount |
|---|---|---|---|
| Bonds at FVTPL | Dr. | 90,000 | |
| Loss on reclassification | Dr. | 10,000 | |
| To Bonds at amortised cost | | | 1,00,000 |

***Same type — not repeated here.*** *What changes in each:*

- → ***SM Ch 11 Unit 2 · Illustration 37*** *— AC → FVOCI: Bonds at FVOCI Dr 90,000 · OCI Dr 10,000 · To Bonds at AC 1,00,000.*
- → ***SM Ch 11 Unit 2 · Illustration 38*** *— FVTPL → AC: Bonds at AC Dr 90,000 · Loss Dr 10,000 · To Bonds at FVTPL 1,00,000 (FV becomes the new gross carrying amount).*
- → ***SM Ch 11 Unit 2 · Illustration 39*** *— FVTPL → FVOCI: Bonds at FVOCI Dr 90,000 · Loss Dr 10,000 · To Bonds at FVTPL 1,00,000.*
- → ***SM Ch 11 Unit 2 · Illustration 40*** *— FVOCI → AC: reverse OCI loss 10,000 against the asset, then Bonds at AC Dr 1,00,000 · To Bonds at FVOCI 1,00,000 — as if always at AC.*
- → ***SM Ch 11 Unit 2 · Illustration 41*** *— FVOCI → FVTPL: OCI loss 10,000 recycled to P&L; Bonds at FVTPL Dr 90,000 · To Bonds at FVOCI 90,000.*

# ⑥ Adjustments in this topic — what to do

## Reclassification of financial assets

Notes §9 (p 9) · practise: Q92

**When:** Business model changes (rare); never for liabilities.

1. Prospective from the first day of the next reporting period.
2. Into FVTPL from AC: FV − AC → P&L. Into FVOCI from AC: → OCI.
3. Out of FVTPL: FV becomes the new gross carrying amount / EIR base.
4. FVOCI → AC: reverse OCI against the asset. FVOCI → FVTPL: recycle OCI to P&L.

**ICAI figures:** Illus 36: bonds 1,00,000, FV 90,000 → loss 10,000 to P&L.

# Ⓗ Impairment – expected credit loss

## Q93 · Expected credit loss

SM Ch 11 Unit 2 · Illustration 42 :12 month expected credit loss – Probability of default approach · **Notes §10 (p 9–10)**

**Illustration 42 :12 month expected credit loss – Probability of default approach**

*Entity A originates a single 10 year amortising loan for CU1 million. Taking into consideration the expectations for instruments with similar credit risk (using reasonable and supportable information that is available without undue cost or effort), the credit risk of the borrower, and the economic outlook for the next 12 months, Entity A estimates that the loan at initial recognition has a probability of default (PoD) of 0.5 per cent over the next 12 months. Entity A also determines that changes in the 12-month PoD are a reasonable approximation of the changes in the lifetime PoD for determining whether there has been a significant increase in credit risk since initial recognition. Loss given default (LGD) is estimated as 25% of the balance outstanding. Calculate loss allowance.*

### Solution — ICAI

**Solution**

At reporting date, no change in 12-month POD and entity assesses that there is no significant increase in credit risk since initial recognition – therefore lifetime ECL is not required to be recognised.

| Particulars | Details |
|---|---|
| Loan | ₹ 1,000,000 (A) |
| LGD | 25% (B) |
| PoD – 12 months | 0.5% (C) |
| Loss allowance (for 12-months ECL) | ₹ 1,250 (A*B*C) |

## Q94 · Expected credit loss

SM Ch 11 Unit 2 · Illustration 43: 12 month expected credit loss – Loss rate approach · **Notes §10 (p 9–10)**

**Illustration 43: 12 month expected credit loss – Loss rate approach**

*Bank A originates 2,000 bullet loans with a total gross carrying amount of CU 500,000. Bank A segments its portfolio into borrower groups (Groups X and Y) on the basis of shared credit risk characteristics at initial recognition. Group X comprises 1,000 loans with a gross carrying amount per client of CU 200, for a total gross carrying amount of CU 200,000. Group Y comprises 1,000 loans with a gross carrying amount per client of CU 300, for a total gross carrying amount of CU 300,000. There are no transaction costs and the loan contracts include no options (for example, prepayment or call options), premiums or discounts, points paid, or other fees. Calculate loss rate when*

| Group | Historic per annum average defaults | Present value of observed loss assumed |
|---|---|---|
| X | 4 | CU 600 |
| Y | 2 | CU 450 |

## Solution — ICAI

**Solution**

- Bank A measures expected credit losses on the basis of a loss rate approach for Groups X and Y. In order to develop its loss rates, Bank A considers samples of its own historical default and loss experience for those types of loans.
- In addition, Bank A considers forward-looking information, and updates its historical information for current economic conditions as well as reasonable and supportable forecasts of future economic conditions. Historically, for a population of 1,000 loans in each group, Group X's loss rates are 0.3 per cent, based on four defaults, and historical loss rates for Group Y are 0.15 per cent, based on two defaults.

| | Number of clients in sample | Estimated per client gross carrying amount at default | Total estimated gross carrying amount at default | Historic per annum average defaults | Estimated total gross carrying amount at default | Present value of observed loss assumed | Loss rate |
|---|---|---|---|---|---|---|---|
| Group | A | B | C = A × B | D | E = B × D | F | G = F ÷ C |
| X | 1,000 | CU 200 | CU 2,00,000 | 4 | CU 800 | CU 600 | 0.3% |
| Y | 1,000 | CU 300 | CU 3,00,000 | 2 | CU 600 | CU 450 | 0.15% |

## Q95 · Expected credit loss

SM Ch 11 Unit 2 · Illustration 44: Life time expected credit losses (provision matrix for short term · Notes §10 (p 9–10)

**Illustration 44: Life time expected credit losses (provision matrix for short term receivables)**

*Company M, a manufacturer, has a portfolio of trade receivables of CU 30 million in 20X1 and operates only in one geographical region. The customer base consists of a large number of small clients and the trade receivables are categorised by common risk characteristics that are representative of the customers' abilities to pay all amounts due in accordance with the contractual terms. The trade receivables do not have a significant financing component in accordance with Ind AS 115. In accordance with paragraph 5.5.15 of Ind AS 109 the loss allowance for such trade receivables is always measured at an amount equal to lifetime expected credit losses.*

*Please use the following information of debtors outstanding:*

| | Gross carrying amount |
|---|---|
| Current | CU 15,000,000 |
| 1–30 days past due | CU 7,500,000 |
| 31–60 days past due | CU 4,000,000 |
| 61–90 days past due | CU 2,500,000 |
| More than 90 days past due | CU 1,000,000 |
| | **CU 30,000,000** |

Company M uses following default rates for making provisions:

| | Current | 1–30 days past due | 31–60 days past due | 61–90 days past due | More than 90 days past due |
|---|---|---|---|---|---|
| Default rate | 0.3% | 1.6% | 3.6% | 6.6% | 10.6% |

*Determine the expected credit losses for the portfolio*

## Solution – ICAI

### Solution

To determine the expected credit losses for the portfolio, Company M uses a provision matrix. The provision matrix is based on its historical observed default rates over the expected life of the trade receivables and is adjusted for forward-looking estimates. At every reporting date the historical observed default rates are updated and changes in the forward-looking estimates are analysed. In this case it is forecast that economic conditions will deteriorate over the next year.

On that basis, Company M estimates the following provision matrix:

| | Current | 1–30 days past due | 31–60 days past due | 61–90 days past due | More than 90 days past due |
|---|---|---|---|---|---|
| Default rate | 0.3% | 1.6% | 3.6% | 6.6% | 10.6% |

The trade receivables from the large number of small customers amount to CU 30 million and are measured using the provision matrix.

| | Gross carrying amount | Lifetime expected credit loss allowance (Gross carrying amount x lifetime expected credit loss rate) |
|---|---|---|
| Current | CU 15,000,000 | CU 45,000 |
| 1–30 days past due | CU 7,500,000 | CU 120,000 |
| 31–60 days past due | CU 4,000,000 | CU 144,000 |
| 61–90 days past due | CU 2,500,000 | CU 165,000 |
| More than 90 days past due | CU 1,000,000 | CU 106,000 |
| | **CU 30,000,000** | **CU 580,000** |

# Ⓗ Adjustments in this topic — what to do

## Expected credit loss

Notes §10 (p 9–10) · practise: Q93, Q94, Q95

**When:** Debt at AC / FVOCI, trade receivables, guarantees.

1. Stage 1 → 12-month ECL; stage 2 (significant increase, >30 days past due) and 3 (credit-impaired) → lifetime.
2. Trade receivables without financing component → lifetime from day 1 (provision matrix).
3. ECL = exposure × LGD × PD (or loss rate).

**ICAI figures:** Illus 42: 10 lakh × 25% × 0.5% = **1,250**. Illus 44: provision matrix → **5,80,000**.

# Ⓘ Recognition and derecognition of financial assets

## Q96 · Regular-way purchase and sale

SM Ch 11 Unit 5 · Illustration 1: Regular way contracts: forward contracts · **Notes §11 (p 11)**

**Illustration 1: Regular way contracts: forward contracts**

*ST Ltd. enters into a forward contract to purchase 10 lakh shares of ABC Ltd. in a month's time for ₹ 50 per share. This contract is entered into with a broker, Mr. AG and not through regular trading mode in a stock exchange. The contract requires Mr. AG to deliver the shares to ST Ltd. upon payment of agreed consideration. Shares of ABC Ltd. are traded on a stock exchange. Regular way delivery is two days. Assess the forward contract.*

### Solution — ICAI

**Solution**

In this case, the forward contract is not a regular way transaction and hence must be accounted for as a derivative i.e. between the date of entering into the contract to the date of delivery, all fair value changes are recognised in profit or loss.

## Q97 · Regular-way purchase and sale

SM Ch 11 Unit 5 · Illustration 2: Regular way contracts: option contracts · **Notes §11 (p 11)**

**Illustration 2: Regular way contracts: option contracts**

*NKT Ltd. purchases a call option in a public market permitting it to purchase 100 shares of VT Ltd. at any time over the next one month at a price of ₹ 1,000 per share. If NKT Ltd. exercises its option, it has 7 days to settle the transaction according to regulation or convention in the options market. VT Ltd.'s shares are traded in an active public market that requires two-day settlement.*

### Solution — ICAI

**Solution**

In this case, the options contract is a regular way transaction as the settlement of the option is governed by regulation or convention in the marketplace for options. Fair value changes between the trade date and settlement date are recognised in profit or loss.

## Q98 · Regular-way purchase and sale

SM Ch 11 Unit 5 · Illustration 3: Regular way purchase of financial asset · **Notes §11 (p 11)**

**Illustration 3: Regular way purchase of financial asset**

*On 1 January 20X1, X Ltd. enters into a contract to purchase a financial asset for ₹ 10 lakhs, which is its fair value on trade date. On 4 January 20X1 (settlement date), the fair value of the asset is ₹ 10.5 lakhs. The amounts to be recorded for the financial asset will depend on how it is classified and whether trade date or settlement date accounting is used. Pass necessary journal entries.*

## Solution — ICAI

**Solution**

**Journal Entries in the Buyer's Books**

***Trade date accounting***

| Dr. / Cr. | Particulars | Amortised cost | Fair value through P&L | Fair value through OCI |
|---|---|---|---|---|
| 1 January 20X1 | | | | |
| Dr. | Financial asset | 10,00,000 | 10,00,000 | 10,00,000 |
| Cr. | Financial liability (to pay) | (10,00,000) | (10,00,000) | (10,00,000) |
| 4 January 20X1 | | | | |
| Dr. | Financial asset | - | 50,000 | 50,000 |
| Dr. | Financial liability (to pay) | 10,00,000 | 10,00,000 | 10,00,000 |
| Cr. | Profit or loss | - | (50,000) | - |
| Cr. | Other comprehensive income | - | - | (50,000) |
| Cr. | Cash | (10,00,000) | (10,00,000) | (10,00,000) |

***Settlement date accounting***

| Dr. / Cr. | Particulars | Amortised cost | Fair value through P&L | Fair value through OCI |
|---|---|---|---|---|
| 4 January 20X1 | | | | |
| Dr. | Financial asset | 10,00,000 | 10,50,000 | 10,50,000 |
| Cr. | Profit or loss | - | (50,000) | - |
| Cr. | Other comprehensive income | - | - | (50,000) |
| Cr. | Cash | (10,00,000) | (10,00,000) | (10,00,000) |

The above mentioned accounting principles apply only to financial assets and Ind AS 109 does not contain any such principles for financial liabilities.

## Q99 · Derecognition of financial assets

SM Ch 11 Unit 5 · Illustration 4: Part of a financial asset · Notes §12 (p 11)

**Illustration 4: Part of a financial asset**

*State whether the derecognition principles will be applied or not.*

*i. Interest strip of an interest-bearing financial asset i.e. the part entitles its holder to interest cash flows of a financial asset*

*ii. Dividend strip of an equity share i.e. the part entitles its holder to only dividends arising from an equity share*

*iii. Cash flows (principal and asset) upto a certain tenure or first right on a proportion of cash flows of an amortising financial asset. Say, the part entitles its holder to first 80% of the cash flows or cash flows for first 4 of the 6 years' tenure.*

## Solution — ICAI

**Solution**

Derecognition requirements are applied to a part of a financial asset if that part meets **any of the following three** conditions:

(a) The part comprises only **specifically identified cash flows** from a financial asset (or a group of similar financial assets).

For example, when an entity enters into an interest rate strip whereby the counterparty obtains the right to the interest cash flows, but not the principal cash flows from a debt instrument, derecognition principles are applied to the interest cash flows

(b) The part comprises only a **fully proportionate (pro rata) share of the cash flows** from a financial asset (or a group of similar financial assets).

For example, when an entity enters into an arrangement whereby the counterparty obtains the rights to a 90 per cent share of all cash flows of a debt instrument, derecognition principles are applied to 90 per cent of those cash flows.

(c) The part comprises only a **fully proportionate (pro rata) share of specifically identified cash flows** from a financial asset (or a group of similar financial assets).

For example, when an entity enters into an arrangement whereby the counterparty obtains the rights to a 90 per cent share of interest cash flows from a financial asset, derecognition principles are applied to 90 per cent of those interest cash flows.

The example of a part of a financial asset at (iii) in Illustration 4 above will not qualify conditions at (b) and (c) above since it does not represent pro rata share of all or specifically identified cash flows.

In (b) and (c) above, if there is more than one counterparty, each counterparty is not required to have a proportionate share of the cash flows provided that the transferring entity has a fully proportionate share.

In all other cases, derecognition principles are applied to the financial asset in its entirety (or to the group of similar financial assets in their entirety).

***Same type — not repeated here.*** *What changes in each:*

→ ***SM Ch 11 Unit 5 · Illustration 5: Part of a financial asset*** *— First / last 90% of collections, or 90% sold with an 8% loss guarantee → apply derecognition to the* ***whole*** *asset.*

## Q100 · Derecognition of financial assets

SM Ch 11 Unit 5 · Illustration 6: Proportionate "pass through" arrangement · **Notes §12 (p 11)**

**Illustration 6: Proportionate "pass through" arrangement**

*Entity A makes a five-year interest-bearing loan (the 'original asset') of ₹ 100 crores to Entity B. Entity A settles a Trust and transfers the loan to that Trust. The Trust issues participatory notes to an investor, Entity C, that entitle the investor to the cash flows from the asset.*

*As per Trust's agreement with Entity C, in exchange for a cash payment of ₹ 90 crores, Trust will pass to Entity C 90% of all principal and interest payments collected from Entity B (as, when and if collected). Trust accepts no obligation to make any payments to Entity C other than 90% of exactly what has been received from Entity B. Trust provides no guarantee to Entity C about the performance of the loan and has no rights to retain 90% of the cash collected from Entity B nor any obligation to pay cash to Entity C if cash has not been received from Entity B.*

*Compute the amount to be derecognised.*

### Solution — ICAI

**Solution**

If the three conditions are met, the proportion sold is derecognised, provided the entity has transferred substantially all the risks and rewards of ownership. Thus, Entity A would report a loan asset of ₹ 10 crores and derecognise ₹ 90 crores.

## Q101 · Derecognition of financial assets

SM Ch 11 Unit 5 · Example 1: Situation when transferee has practical ability to sell the financial asset · **Notes §12 (p 11)**

**Example 1: Situation when transferee has practical ability to sell the financial asset**

Transferred asset is subject to an option that allows the entity to repurchase it and it is traded in an active market: transferee has the practical ability to sell the financial asset as it can readily obtain the transferred asset in the market if the option is exercised.

*ICAI example — facts and ICAI's analysis are printed together.*

## Q102 · Derecognition of financial assets

SM Ch 11 Unit 5 · Example 2: Situations when transferee doesn't have practical ability to sell the · Notes §12 (p 11)

**Example 2: Situations when transferee doesn't have practical ability to sell the financial asset**

- Transferred asset is subject to an option that allows the entity to repurchase it and it is not traded in an active market: transferee doesn't have the practical ability to sell the financial asset as it cannot readily obtain the transferred asset in the market if the option is exercised.
- A put option or guarantee with respect to the transferred asset which is sufficiently valuable in the sense that it constrains the transferee from selling the transferred asset because the transferee would, in practice, not sell the transferred asset to a third party without attaching a similar option or other restrictive conditions. Instead, the transferee would hold the transferred asset so as to obtain payments under the guarantee or put option. In this situation, the transferor has retained control of the transferred asset.

**Illustrations on application of derecognition principles**

Paragraph B3.2.16 of Ind AS 109 provides certain illustrations which are summarised below:

*ICAI example — facts and ICAI's analysis are printed together.*

## Q103 · Derecognition of financial assets

SM Ch 11 Unit 5 · Illustration 7: Repurchase agreements · Notes §12 (p 11)

**Illustration 7: Repurchase agreements**

*A financial asset is sold under repurchase agreement. The repurchase price as per that agreement is (a) fixed price or (b) sale price plus a lender's return. Let's look at three alternate scenarios:*

*i. Repurchase agreement is for the same financial asset.*

*ii. Repurchase agreement is for substantially the same asset*

*iii. Repurchase agreement provides the transferee a right to substitute assets that are similar and of equal fair value to the transferred asset at the repurchase date.*

*State whether the derecognition principles will be applied or not.*

### Solution — ICAI

**Solution**

In each of these scenarios, the transferred financial asset is not derecognised because the transferor retains substantially all the risks and rewards of ownership.

Let's look at another scenario:

Repurchase agreement provides the transferor only a right of first refusal to repurchase the transferred asset at fair value if the transferee subsequently sells it

In this scenario, the transferred financial asset is derecognised because the transferor has transferred substantially all the risks and rewards of ownership.

## Q104 · Derecognition of financial assets

SM Ch 11 Unit 5 · Illustration 8: Put options on transferred financial assets · **Notes §12 (p 11)**

**Illustration 8: Put options on transferred financial assets**

*A financial asset is sold and the transferee has a put option. Let's look at some alternate scenarios:*

*i. Put option is deeply in the money*

*ii. Put option is deeply out of the money.*

*State whether the derecognition principles will be applied or not.*

### Solution — ICAI

**Solution**

In the first scenario, the transferred asset does not qualify for derecognition because the transferor has retained substantially all the risks and rewards of ownership. However, in the second scenario, the transferor has transferred substantially all the risks and rewards of ownership.

***Same type — not repeated here.*** *What changes in each:*

→ ***SM Ch 11 Unit 5 · Illustration 9: Call options on transferred financial assets*** *— Call option with the transferor: deep in the money → keep asset; deep out → derecognise; neither, asset readily obtainable in the market → control lost → derecognise.*

## Q105 · Derecognition of financial assets

SM Ch 11 Unit 5 · Illustration 10: Amortising interest rate swaps · **Notes §12 (p 11)**

**Illustration 10: Amortising interest rate swaps**

*An entity may transfer to a transferee a fixed rate financial asset that is paid off over time, and enter into an amortising interest rate swap with the transferee to receive a fixed interest rate and pay a variable interest rate based on a notional amount.*

*Scenarios:*

*i. Notional amount of the swap amortises so that it equals the principal amount of the transferred financial asset outstanding at any point in time.*

*ii. Amortisation of the notional amount of the swap is not linked to the principal amount outstanding of the transferred asset.*

*State whether the derecognition principles will be applied or not.*

### Solution — ICAI

**Solution**

In the first scenario, the swap would generally result in the entity retaining substantial prepayment risk, in which case the entity either continues to recognise all of the transferred asset or continues to recognise the transferred asset to the extent of its continuing involvement.

Such a swap would not result in the entity retaining prepayment risk on the asset. Hence, it would not preclude derecognition of the transferred asset provided the payments on the swap are not conditional on interest payments being made on the transferred asset and the swap does not result in the entity retaining any other significant risks and rewards of ownership on the transferred asset.

## Q106 · Derecognition of financial assets

SM Ch 11 Unit 5 · Illustration 11: Assignment of receivables · Notes §12 (p 11)

**Illustration 11: Assignment of receivables**

*ST Ltd. assigns its trade receivables to AT Ltd. The carrying amount of the receivables is ₹10,00,000. The consideration received in exchange of this assignment is ₹9,00,000. Customers have been instructed to deposit the amounts directly in a bank account for the benefit of AT Ltd. AT Ltd. has no recourse to ST Ltd. in case of any shortfalls in collections.*

*State whether the derecognition principles will be applied or not.*

### Solution — ICAI

**Solution**

In this situation, ST Ltd. has transferred the rights to contractual cash flows and has also transferred substantially all the risks and rewards of ownership (credit risk being the most significant risk in this situation).

Accordingly, ST Ltd. derecognises the financial asset and recognises ₹ 1,00,000, the difference between consideration received and carrying amount, as an expense in the statement of profit or loss.

## Q107 · Derecognition of financial assets

SM Ch 11 Unit 5 · Illustration 12A: Debt factoring with recourse – continuing involvement asset · Notes §12 (p 11)

**Illustration 12A: Debt factoring with recourse – continuing involvement asset**

*Entity C agrees with factoring company D to enter into a debt factoring arrangement. Under the terms of the arrangement, the factoring company D agrees to pay ₹91.5 crores, less a servicing charge of ₹1.5 crores (net proceeds of ₹90 crores), in exchange for 100% of the cash flows from short-term receivables.*

*The receivables have a face value of ₹100 crores and carrying amount of ₹95 crores.*

*The customers will be instructed to pay the amounts owed into a bank account of the factoring company. Entity C also writes a guarantee to the factoring company under which it will reimburse any credit losses upto ₹5 crores, over and above the expected credit losses of ₹5 crores. The guarantee is estimated to have a fair value of ₹0.5 crores. Calculate the amount of continuing involvement asset.*

## Solution — ICAI

**Solution**

In this situation, the "continuing involvement asset" will be recognised at ₹ 5.5 crores i.e. lower of:

(i) the amount of the asset – ₹ 95 crores

(ii) the guarantee amount – ₹ 5.5 crores

***Same type — not repeated here.*** *What changes in each:*

→ ***SM Ch 11 Unit 5 · Illustration 12B: Debt factoring with recourse – associated liability*** *— Associated liability = guarantee 5 cr + FV of guarantee 0.5 cr =* ***5.5 cr****.*

→ ***SM Ch 11 Unit 5 · Illustration 12C: Debt factoring with recourse – gain or loss on derecognition*** *— Entry: Cash Dr 90 · Loss Dr 5 · Continuing involvement asset Dr 5.5 · To Receivables 95 · To Associated liability 5.5 (₹ cr); the 0.5 cr guarantee is amortised to P&L.*

# Ⓘ Adjustments in this topic — what to do

## Regular-way trades

Notes §11 (p 11) · practise: Q96, Q98

**When:** *Purchase/sale with market-standard settlement.*

1. *Trade-date or settlement-date accounting, applied consistently.*
2. *Settlement date: FV change between dates follows the asset's category (AC none, FVTPL P&L, FVOCI OCI).*
3. *Off-market settlement period → derivative.*

**ICAI figures:** *Illus 3: 10,00,000 → 10,50,000 by settlement: FVTPL gain 50,000; FVOCI 50,000 in OCI; AC nothing.*

## Derecognise a financial asset?

Notes §12 (p 11) · practise: Q100, Q103, Q106, Q107

**When:** *Sale, factoring, securitisation, repo.*

1. *Consolidate first; decide part vs whole.*
2. *Rights expired or transferred (or pass-through tests met)?*
3. *Substantially all risks and rewards transferred → derecognise; retained → keep asset + liability for cash received.*
4. *Neither → control retained? No → derecognise; yes → continuing involvement (lower of asset and guarantee).*

**ICAI figures:** *Illus 11: without recourse, 10 lakh for 9 lakh → derecognise,* ***loss 1 lakh****. Illus 12A: continuing involvement asset* ***5.5 cr****.*

# ① Derivatives and embedded derivatives

## Q108 · Derivatives — definition and own-share derivatives

SM Ch 11 Unit 4 · Illustration 1: Prepaid interest rate swap (fixed rate payment obligation prepaid at · **Notes §14 (p 13)**

**Illustration 1: Prepaid interest rate swap (fixed rate payment obligation prepaid at inception)**

*Entity S enters into a ₹ 100 crores notional amount five-year pay-fixed, receive-variable interest rate swap with Counterparty C.*

- *The interest rate of the variable part of the swap is reset on a quarterly basis to three-month Secured Overnight Financing Rate (SOFR).*
- *The interest rate of the fixed part of the swap is 10% p.a.*
- *Entity S prepays its fixed obligation under the swap of ₹ 50 crores (₹ 100 crores × 10% × 5 years) at inception, discounted using market interest rates*
- *Entity S retains the right to receive interest payments on the ₹ 100 crores reset quarterly based on three-month SOFR over the life of the swap.*

*Analyse.*

### Solution — ICAI

**Solution**

The initial net investment in the interest rate swap is significantly less than the notional amount on which the variable payments under the variable leg will be calculated. The contract requires an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors, such as a variable rate bond.

Therefore, the contract fulfils the condition 'no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors'.

Even though Entity S has no future performance obligation, the ultimate settlement of the contract is at a future date and the value of the contract changes in response to changes in the Secured Overnight Financing Rate (SOFR) index. Accordingly, the contract is regarded as a derivative contract.

## Q109 · Derivatives — definition and own-share derivatives

SM Ch 11 Unit 4 · Illustration 2: Prepaid pay-variable, receive-fixed interest rate swap · Notes §14 (p 13)

**Illustration 2: Prepaid pay-variable, receive-fixed interest rate swap**

- *Entity S enters into a ₹ 100 crores notional amount five-year pay-variable, receive-fixed interest rate swap with Counterparty C.*
- *The variable leg of the swap is reset on a quarterly basis to three-month SOFR.*
- *The fixed interest payments under the swap are calculated as 10% of the swap's notional amount, i.e. ₹ 10 crores p.a.*
- *Entity S prepays its obligation under the variable leg of the swap at inception at current market rates. Say, that amount is ₹ 36 crores.*
- *It retains the right to receive fixed interest payments of 10% on ₹ 100 crores every year.*

*Analyse.*

### Solution — ICAI

**Solution**

In effect, this contract results in an initial net investment of ₹ 36 crores which yields a cash inflow of ₹ 10 crores every year, for five years. By discharging the obligation to pay variable interest rate payments, Entity S in effect provides a loan to Counterparty C.

Therefore, all else being equal, the initial investment in the contract should equal that of other financial instruments that consist of fixed annuities. Thus, the initial net investment in the pay-variable, receive-fixed interest rate swap is equal to the investment required in a non-derivative contract that has a similar response to changes in market conditions.

For this reason, the instrument fails the condition 'no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors'. Therefore, the contract is not accounted for as a derivative contract.

## Q110 · Derivatives — definition and own-share derivatives

SM Ch 11 Unit 4 · Illustration 3: Prepaid forward · Notes §14 (p 13)

**Illustration 3: Prepaid forward**

*Entity XYZ enters into a forward contract to purchase 1 million ordinary shares of Entity T in one year*

- *The current market price of T is ₹ 50 per share*
- *The one-year forward price of T is ₹ 55 per share*
- *XYZ is required to prepay the forward contract at inception with a ₹ 50 million payment.*

*Analyse.*

### Solution — ICAI

**Solution**

Purchase of 1 million shares for current market price is likely to have the same response to changes in market factors as the contract mentioned above. Accordingly, the prepaid forward contract does not meet the initial net investment criterion of a derivative instrument.

## Q111 · Derivatives — definition and own-share derivatives

SM Ch 11 Unit 4 · Illustration 4 · Notes §14 (p 13)

**Illustration 4**

*Entity ABC Ltd., whose functional currency is Indian Rupees, sells products in France denominated in Euro. ABC enters into a contract with an investment bank to convert Euro to Indian Rupees at a fixed exchange rate. The contract requires ABC to remit Euro based on its sales volume in France in exchange for Indian Rupees at a fixed exchange rate of 80.00. Is that contract a derivative?*

### Solution — ICAI

**Solution**

Yes. The contract has two underlying variables (the foreign exchange rate and the volume of sales); no initial net investment or an initial net investment that is smaller than would be required for other types of contracts that would be expected to have a similar response to changes in market factors, and a payment provision.

## Q112 · Derivatives — definition and own-share derivatives

SM Ch 11 Unit 4 · Illustration 5 · Notes §14 (p 13)

**Illustration 5**

*The definition of a derivative requires that the instrument "is settled at a future date". Is this criterion met even if an option is expected not to be exercised, for example, because it is out of the money?*

### Solution — ICAI

**Solution**

Yes. An option is settled upon exercise or at its maturity. Expiry at maturity is a form of settlement even though there is no additional exchange of consideration.

## Q113 · Derivatives — definition and own-share derivatives

SM Ch 11 Unit 4 · Illustration 6 · Notes §14 (p 13)

**Illustration 6**

*Silver Ltd. has purchased 100 ounces of gold on 10 March 20X1. The transaction provides for a price payable which is equal to market value of 100 ounces of gold on 10 April 20X1 and shall be settled by issue of such number of equity shares as is required to settle the aforementioned transaction price at ₹ 10 per share on 10 April 20X1. Whether this is classified as liability or equity? Own use exemption does not apply.*

### Solution — ICAI

**Solution**

In the above scenario, there is a contract for purchase of 100 ounces of gold whose consideration varies in response to changing value of gold. Analysing this contract as a derivative –

(a) Value of contract changes in response to change in market value of gold;

(b) There is no initial net investment

(c) It will be settled at a future date, i.e. 10 April 20X1.

Since the above criteria are met, this is a derivative contract.

Now, a derivative contract that is settled in own equity other than exchange of fixed amount of cash for fixed number of shares is classified as 'liability'. In this case, since the contract results in issue of variable number of shares based on transaction price to be determined in future, hence, this shall be classified as 'derivative financial liability'.

Per Ind AS 109.4.2.1 – A derivative financial liability shall be carried at fair value through profit or loss.

## Q114 · Derivatives — definition and own-share derivatives

SM Ch 11 Unit 4 · Illustration 7 : Derivative contract: · Notes §14 (p 13)

**Illustration 7 : Derivative contract:**

*Entity – B Ltd writes an option contract for sale of shares of Target Ltd. at a fixed price of ₹ 100 per share to C Ltd. This option is exercisable anytime for a period of 90 days ('American option'). Evaluate this under the definition of financial instrument.*

### Solution — ICAI

**Solution**

In the above case – B Ltd has written an option, which if exercised by C Ltd. will result in B Ltd. selling equity shares of Target Ltd. for fixed price of ₹ 100 per share. Such option will be exercised by C Ltd. only if the market price of shares of Target Ltd. increases beyond ₹ 100, thereby resulting in contractual obligation over B Ltd. to settle the contract under potential unfavorable terms.

If the market price goes to ₹ 120 then the option will be exercised by C Ltd. So, B Ltd has to buy shares from the market at ₹ 120 per share and sell at ₹ 100, thereby resulting in a loss or exchange at unfavorable terms to B Ltd. Hence, the option will meet the definition of financial liability in the books of B Ltd.

The additional question that arises here is the nature of this financial liability and whether it meets the definition of derivative. A derivative is a financial instrument that meets following conditions:

(a) Its value changes in response to change in specified variable like interest rate, equity index, commodity price, etc. If the variable is non-financial, it is not specific to party to the contract

(b) It requires no or little initial net investment

(c) It is settled at a future date.

Evaluating the above instrument, B Ltd. has written an option whose value changes based on change in market price of equity share, it requires no initial net investment and is settled at a future date (anytime in 90 days). Hence, it meets definition of derivative financial liability in books of B Ltd.

## Q115 · Derivatives — definition and own-share derivatives

SM Ch 11 Unit 4 · Illustration 8: Derivative contract to be settled in own equity instruments · **Notes §14 (p 13)**

**Illustration 8: Derivative contract to be settled in own equity instruments**

*A Ltd. issues warrants to all existing shareholders entitling them to purchase additional equity shares of A Ltd. (with face value of ₹100 per share) at an issue price of ₹150 per share. Evaluate whether this constitutes an equity instrument or a financial liability?*

### Solution — ICAI

**Solution**

In this case, Company A Ltd. has issued warrants entitling the shareholders to purchase equity shares of the Company at a fixed price. Hence, it constitutes a contractual arrangement for issuance of fixed number of shares against fixed amount of cash.

Now, evaluating this contract under definition of derivative –

(i) The value of warrant changes in response to change in value of underlying equity shares;

(ii) This involves no initial net investment

(iii) It shall be settled at a future date.

Hence, this warrant meets the definition of derivative.

Applying definition of equity under Ind AS 32, a derivative contract that will be settled by exchange of fixed number of equity shares for fixed amount of cash meets definition of equity instrument. The above contract is derivative contract that will be settled by issue of fixed number of own equity instruments by A Ltd. for fixed amount of cash and hence meets definition of equity instrument.

## Q116 · Derivatives — definition and own-share derivatives

SM Ch 11 Unit 4 · Illustration 14: Contracts for purchase or sale of non-financial item · **Notes §14 (p 13)**

**Illustration 14: Contracts for purchase or sale of non-financial item**

**Key terms of contracts to buy/sell non-financial items**

*Company Z is engaged in the business of importing oil seeds for further processing as well as trading purposes. It enters into the following types of contracts as on 1 October 20X1:*

| Particulars | Contract 1 | Contract 2 | Contract 3 |
|---|---|---|---|
| ***Nature of Contract*** | Import of oil seeds from a foreign supplier | Purchase of oil seeds from a domestic producer / supplier | Contract to sell oil seeds on the commodity exchange |
| ***Quantity and rate*** | 100 MT at USD 400 per MT to be delivered as on 31 March 20X2 | 50 MT at ₹ 30,000 per MT to be delivered as on 31 January 20X2 | 50 MT at USD 450 per MT, maturing as on 15 January 20X2 |
| ***Net settlement clause included in the contract*** | Yes | Yes | Yes |
| ***Net settlement in practice for similar contracts*** | There have also been several instances of the oil seeds being sold prior to or shortly after taking delivery.<br>These instances of net settlement constitute approximately 30 per cent of the value of total import contracts. | Yes – company Z has net settled some of the domestic purchase contracts.<br>However, these instances constitute only 1 per cent of the total domestic purchase contracts in value.<br>The remaining contracts are settled by taking delivery of oil seeds which are used for further processing. | Yes – these contracts are required to be net settled with the exchange on the maturity date.<br>Company Z enters into these types of derivative contracts to hedge the risks on its domestic oil seeds purchase contracts |

*Company Z is required to determine if the contracts entered into for purchase and sale of oil seeds are derivatives within the scope of Ind AS 109 or are executory contracts outside the scope of Ind AS 109.*

## Solution — ICAI

### Solution

**Contract 1:**

The following factors indicate that this contract does not meet the 'own use' exemption:

- The contract permits net settlement, and
- There is a past practice of a significant proportion (30 per cent in this illustration) of similar contracts being settled on a net basis either in cash or by sale of the oil seeds prior to delivery/shortly after taking delivery.

Therefore, this contract would fall within the scope of Ind AS 109 and should be recognised as a derivative instrument as on 1 October 20X1. The contract would be in the nature of a forward contract to buy 100 MT of oil seeds as on 31 March 20X2 at USD 400 per MT. Company Z would

have to recognise the fair value changes (based on change in forward purchase rate) on this contract in the statement of profit and loss at each reporting date.

**Contract 2**

Contract 2 also permits net settlement in cash. Further, there have been some instances of similar domestic purchase contracts being settled net in cash in the past. However, these have been infrequent in nature and insignificant in proportion to the total value of similar contracts (i.e.1 percent in this illustration).

Company Z is in the practice of taking delivery of the oil seeds purchased under similar contracts and using them for further processing in its plants.

This indicates that the domestic purchase contract meets the criteria for the 'own-use' exemption and should be considered as an executory contract.

Therefore, this contract would not fall within the scope of Ind AS 109.

**Contract 3**

This contract is in the nature of a derivative contract transacted on a commodity exchange and is required to be net settled in cash on maturity. Therefore, this derivative contract would be covered by Ind AS 109 and required to be classified and measured at FVTPL.

## Q117 · Embedded derivatives

SM Ch 11 Unit 4 · Illustration 9 · Notes §14 embedded (p 13)

**Illustration 9**

*A lease contract contains a provision that rentals increase each year by ₹ 3 million. Is there an embedded derivative in this contract?*

## Solution — ICAI

**Solution**

The price adjustment feature does not meet the definition of a derivative on a stand-alone basis since its value does not change in response to changes of some underlying. There is no underlying in this case; hence there is no embedded derivative in the lease contract.

## Q118 · Embedded derivatives

SM Ch 11 Unit 4 · Illustration 10: Debt instrument with indexed repayments · Notes §14 embedded (p 13)

**Illustration 10: Debt instrument with indexed repayments**

*Entity X issues a redeemable fixed interest rate debenture to Entity Y. Amount of interest and principal is indexed to the value of equity instruments of Entity X.*

*Analyse*

### Solution — ICAI

**Solution**

In the given case, the host is a fixed interest rate debt instrument. The economic characteristics and risks of a debt instrument are not closely related to those of an equity instrument.

Hence, the exposure of this hybrid instrument to changes in value of equity instruments is an embedded derivative which is required to be separated.

The response above will not change even if the interest payment and principal repayments are indexed to a commodity index or similar underlying.

## Q119 · Embedded derivatives

SM Ch 11 Unit 4 · Illustration 11: Lease contracts dependent on inflation index · **Notes §14 embedded (p 13)**

**Illustration 11: Lease contracts dependent on inflation index**

*A lease contract, between two Indian companies of an asset in India, includes contingent lease rentals that are dependent upon an US inflation index. Can the entity treat inflation linked features as closely related?*

### Solution — ICAI

**Solution**

For inflation linked features, an embedded derivative in a lease contract is considered as closely related to the host if it is an inflation—related index related to inflation in the entity's own economic environment.

In this case, whilst the asset and the lessor and lessee are located in India, lease payment are linked to US index. Hence, embedded derivative is not closely related and needs to be separated.

***Same type — not repeated here.*** *What changes in each:*

→ ***SM Ch 11 Unit 4 · Illustration 12: Lease contracts dependent on inflation index*** *— Rent rises by 3 m if profit after tax > 200 m → linked to PAT,* ***not*** *closely related (sales-based would be) → separate.*

## Q120 · Embedded derivatives

SM Ch 11 Unit 4 · Illustration 13: Debt instrument with prepayment option · **Notes §14 embedded (p 13)**

**Illustration 13: Debt instrument with prepayment option**

*Entity PQR borrows ₹ 100 crores from CFDH Bank on 1 April 20X1. Interest is payable at 12% p.a. and there is a bullet repayment of principal at the end of the term.*

*Term of the loan is 6 years.*

*The loan includes an option to prepay the loan at 1st April each year with a prepayment penalty of 3%. There are no transaction costs. Without the prepayment option, the interest rate quoted by bank is 11% p.a.*

*Analyse*

## Solution — ICAI

**Solution**

***Step 1: Identify the host contract and embedded derivative, if any***

In the given case,

- Host is a debt instrument comprising annual interest payment at 12% p.a. and bullet principal repayment at the end of 6 years.
- Option to prepay the debt at ₹ 103 crores is an embedded derivative

***Step 2: Determine the amortised cost of the host debt instrument***

Whether the prepayment option is likely to be exercised or not, the amortised cost of the host debt instrument should be calculated as present value (PV) of expected cash flows using a fair market interest rate for a debt without the prepayment option (11% p.a. in this case). This is calculated below as ₹ 104.23 crores:

| Year | Cash outflow | PV @ 11% p.a. | Finance cost | Amortised cost |
|---|---|---|---|---|
| | ₹ crores | | | |
| 1 | 12.00 | 10.81 | 11.46 | 103.68 |
| 2 | 12.00 | 9.74 | 11.41 | 103.09 |
| 3 | 12.00 | 8.77 | 11.34 | 102.43 |
| 4 | 12.00 | 7.90 | 11.27 | 101.70 |
| 5 | 12.00 | 7.12 | 11.20 | 100.90 |
| 6 | 112.00 | 59.88 | 11.10 | - |
| | | **104.22** | **67.78** | |

***Step 3: Compare the exercise price of the prepayment option with the amortised cost of the host debt instrument***

| Year | Amortised cost | Exercise price of prepayment option | Difference |
|---|---|---|---|
| | ₹ Crores | | |
| 1 | 103.68 | 103.00 | 0.7% |
| 2 | 103.09 | 103.00 | 0.1% |
| 3 | 102.43 | 103.00 | -0.6% |
| 4 | 101.70 | 103.00 | -1.3% |
| 5 | 100.90 | 103.00 | -2.1% |
| 6 | - | N/A | |

The management of Entity PQR may formulate an appropriate accounting policy to determine what constitutes "approximately equal". In this case, if the management determines that a difference of more than 2% will indicate that the option's exercise price is not approximately equal to the amortised cost of the host debt instrument, it will need to separate the embedded derivative and account for it as per principles given in the subsequent sub-section.

It may be questioned as to why an option to repay a fixed rate loan early meets the definition of embedded derivative. Let us revisit an important phrase from the definition of embedded derivative:

"...some or all of the cash flows that otherwise would be required by the contract to be modified..."

In the context of a fixed rate debt, it may be interpreted that:

- the option affects cash flows only if exercised; and
- the cash flows of a fixed rate debt do not vary with interest rates.

However, in this context, a variation in cash flows should be interpreted as a possible change in the fair value of expected cash flows. Accordingly, the option's expected cash flows vary according to interest rates in a similar way as a separate option to purchase a fixed rate debt asset at a fixed price. A fixed price option to prepay a fixed rate loan will increase in value as interest rates decline (and vice versa).

## Q121 · Embedded derivatives

SM Ch 11 Unit 4 · Illustration 15: Foreign currency embedded derivatives · Notes §14 embedded (p 13)

**Illustration 15: Foreign currency embedded derivatives**

Company A, an Indian company whose functional currency is ₹, enters into a contract to purchase machinery from an unrelated local supplier, company B. The functional currency of company B is also ₹. However, the contract is denominated in USD, since the machinery is sourced by company B from a US based supplier. Payment is due to company B on delivery of the machinery.

**Key terms of the contract:**

| Contractual features | Details |
|---|---|
| Contract/order date | 9 September 20X1 |
| Delivery/payment date | 31 December 20X1 |
| Purchase price | USD 1,000,000 |
| USD/₹ Forward rate on 9 September 20X1 for 31 December 20X1 maturity | 67.8 |
| USD/₹ Spot rate on 9 September 20X1 | 66.4 |

| | |
|---|---|
| USD/₹ Forward rates for 31 December, on: | |
| 30 September | 67.5 |
| 31 December (spot rate) | 67.0 |

Company A is required to analyse if the contract for purchase of machinery (a capital asset) from company B contains an embedded derivative and whether this should be separately accounted for on the basis of the guidance in Ind AS 109. Also give necessary journal entries for accounting the same.

## Solution — ICAI

### Solution

Based on the guidance above, the USD contract for purchase of machinery entered into by company A includes an embedded foreign currency derivative due to the following reasons:

- The host contract is a purchase contract (non-financial in nature) that is not classified as, or measured at FVTPL.
- The embedded foreign currency feature (requirement to settle the contract by payment of USD at a future date) meets the definition of a stand-alone derivative – it is akin to a USD-₹ forward contract maturing on 31 December 20X1.
- USD is not the functional currency of either of the substantial parties to the contract (i.e., neither company A nor company B).
- Machinery is not routinely denominated in USD in commercial transactions around the world. In this context, an item or a commodity may be considered 'routinely denominated' in a particular currency only if such currency was used in a large majority of similar commercial transactions around the world. For example, transactions in crude oil are generally considered routinely denominated in USD. A transaction for acquiring machinery in this illustration would generally not qualify for this exemption.
- USD is not a commonly used currency for domestic commercial transactions in the economic environment in which either company A or B operate. This exemption generally applies when the business practice in a particular economic environment is to use a more stable or liquid foreign currency (such as the USD), rather than the local currency, for a majority of internal or cross-border transactions, or both. In the illustration above, companies A and B are companies operating in India and the purchase contract is an internal/domestic transaction. USD is not a commonly used currency for internal trade within this economic environment and therefore the contract would not qualify for this exemption.

Accordingly, company A is required to separate the embedded foreign currency derivative from the host purchase contract and recognise it separately as a derivative.

The separated embedded derivative is a forward contract entered into on 9 September 20X1, to exchange USD 10,00,000 for ₹ at the USD/₹ forward rate of 67.8 on 31 December 20X1. Since the forward exchange rate has been deemed to be the market rate on the date of the contract, the embedded forward contract has a fair value of zero on initial recognition.

Subsequently, company A is required to measure this forward contract at its fair value, with changes in fair value recognised in the statement of profit and loss. The following is the accounting treatment at quarter-end and on settlement:

**Accounting treatment:**

| Date | Particulars | Amount (₹) | Amount (₹) |
|---|---|---|---|
| 09-Sep-X1 | ***On initial recognition of the forward contract*** | | |
| | (No accounting entry recognised since initial fair value of the forward contract is considered to be nil) | Nil | Nil |
| 30-Sep-X1 | ***Fair value change in forward contract*** | | |
| | Derivative asset (company B) Dr. [(67.8-67.5) x10,00,000] | 3,00,000 | |
| | To Profit or loss | | 3,00,000 |
| 31-Dec-X1 | ***Fair value change in forward contract*** | | |
| | Forward contract asset (company B) Dr. [{(67.8-67) x 10,00,000} - 3,00,000] | 5,00,000 | |
| | To Profit or loss | | 5,00,000 |
| 31-Dec-X1 | ***Recognition of machinery acquired and on settlement*** | | |
| | Property, plant and equipment Dr. (at forward rate) | 6,78,00,000 | |
| | To Forward contract asset (company B) | | 8,00,000 |
| | To Creditor (company B) / Bank | | 6,70,00,000 |

# ⓘ Adjustments in this topic — what to do

## Is it a derivative? Own-share derivatives

Notes §14 (p 13) · practise: Q108, Q109, Q113, Q115

**When:** Swaps, forwards, options, contracts priced on an underlying.

1. All three: underlying, little or no initial investment, future settlement.
2. Derivatives → FVTPL (unless a hedge).
3. Settled in own shares: variable number → derivative liability; fixed for fixed → equity.

**ICAI figures:** Illus 6: gold paid for in shares worth the gold price → **derivative liability**. Illus 8: rights warrants at fixed ₹ 150 → equity. Asked: Sep 2025 MCQ (silver for variable shares).

## Embedded derivatives

Notes §14 (p 13) · practise: Q118, Q119, Q120, Q121

**When:** Hybrid contract with a non-derivative host.

1. Host is a financial asset → no separation (classify the whole).
2. Otherwise separate if not closely related, would be a derivative alone, and hybrid not at FVTPL.
3. Derivative at FV (FVTPL); host = residual.

**ICAI figures:** Illus 15: USD contract between two Indian companies → embedded forward: +3,00,000 then +5,00,000; PPE at forward rate 6,78,00,000.

# Ⓜ Master question — test yourself

*Do this last. Close the notes, set a timer (14 marks ≈ 25 minutes), write the full answer with working notes, then check against the solution on the next page. For every adjustment you missed, go back to the topic list shown in brackets and redo its practice questions.*

## Q122 · MASTER · Compound instruments — split, conversion, redemption

SM Ch 11 · Test Your Knowledge Q7 · **Notes §4 (p 4–5)**

***Adjustments tested:*** *Compound split at issue — PV at 13% (Group C) · Equity component as residual (Group C) · Repurchase by tender — allocate the price at the current 10% rate (Group C) · Loss on the liability part to P&L; balance to equity (Group C)*

7. On 1st April, 20X1, PS Limited issued 6,000, 9% convertible debentures with a face value of ₹ 100 each maturing on 31st March, 20X6. The debentures are convertible into equity shares of PS Limited at a conversion price of ₹ 105 per share. Interest is payable annually in cash. At the date of issue, non-convertible debt could have been issued by the company at coupon rate of 13%. On 1st April, 20X4, the convertible debentures have a fair value of ₹ 6,30,000. PS Limited makes a tender offer to debenture-holders to repurchase the debentures for ₹ 6,30,000 which the debenture holders accepted. At the date of repurchase, PS Limited could have issued non-convertible debt with a 2 year term bearing coupon interest @ 10%.

   Show accounting entries in the books of PS Limited for recording of equity and liability component:

   (i) At the time of initial recognition

   (ii) At the time of repurchase of the convertible debentures

## Master question — solution (ICAI)

**7. (i) At the time of initial recognition**

| | ₹ |
|---|---|
| **Liability component** | |
| Present value of 5 yearly interest payments of ₹ 54,000, discounted at 13% annuity (54,000 x 3.517) | 1,89,918 |
| Present value of ₹ 6,00,000 due at the end of 5 years, discounted at 13%, compounded yearly (6,00,000 x 0.543) | 3,25,800 |
| | 5,15,718 |
| **Equity component** | |
| (₹ 6,00,000 – ₹ 5,15,718) | 84,282 |
| **Total proceeds** | 6,00,000 |

**Note:** Since ₹ 105 is the conversion price of debentures into equity shares and not the redemption price, the liability component is calculated @ ₹ 100 each only.

**Journal Entry**

| | | ₹ | ₹ |
|---|---|---|---|
| Bank | Dr. | 6,00,000 | |
| To 9% Debentures (Liability component) | | | 5,15,718 |
| To 9% Debentures (Equity component) | | | 84,282 |
| *(Being debentures initially recorded at fair value)* | | | |

**(ii) At the time of repurchase of convertible debentures**

The repurchase price is allocated as follows:

| | *Carrying Value @ 13%* | *Fair Value @ 10%* | *Difference* |
|---|---|---|---|
| | ₹ | ₹ | ₹ |
| Liability component | | | |
| Present value of 2 remaining yearly interest payments of ₹ 54,000, discounted at 13% and 10%, respectively | 90,072 | 93,690 | |

| | | | |
|---|---|---|---|
| Present value of ₹ 6,00,000 due in 2 years, discounted at 13% and 10%, compounded yearly, respectively | 4,69,800 | 4,95,600 | |
| **Liability component** | 5,59,872 | 5,89,290 | (29,418) |
| **Equity component** | 84,282* | 40,710** | 43,572 |
| **Total** | 6,44,154 | 6,30,000 | 14,154 |

**See Note (i)*

***6,30,000 – 5,89,290 = 40,710*

**Journal Entries**

| | | ₹ | ₹ |
|---|---|---|---|
| 9% Debentures (Liability component) | Dr. | 5,59,872 | |
| Profit and loss A/c (Debt settlement expense) | Dr. | 29,418 | |
| To Bank A/c | | | 5,89,290 |
| (Being the repurchase of the liability component recognised) | | | |
| 9% Debentures (Equity component) | Dr. | 84,282 | |
| To Bank A/c | | | 40,710 |
| To Retained Earnings A/c | | | 43,572 |
| (Being the cash paid for the equity component recognised) | | | |

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